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OECD Economic Surveys

Finland

ECONOMICS

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OECD ECONOMIC SURVEYS

1999-2000

Finland

OECD

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Table of contents

Assessment and recommendations 9

I. Macroeconomic conditions 19

Commendable overall performance, but unemployment remains still very high 19
The electronic equipment industry: growth engine of the Finnish economy 22
Economic developments in 1999 and early 2000 25
Easy monetary conditions 36
Fiscal policy: are the medium-term objectives ambitious enough? 36
Short-term outlook 41

II. Structural reforms could boost performance further 47

Labour market performance can be improved by lowering taxes… 50
Further product market reform would boost productivity and enhance consumer choice 55
The financial sector has adapted quickly to new technologies 65
Public sector efficiency could be improved by increased outsourcing 68
Sustainable development 71
Scope for further action 72

III. How will ageing affect Finland? 77

The problems facing Finland 77
Support for the elderly and incentives for early retirement 81
Care for the elderly 98
Ageing will substantially increase the fiscal burden 102
Options for reform 104

Notes 110

Glossary 121

Bibliography 122

Annex: Calendar of main economic events 128

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Boxes

1. Finnish regulatory reform in the 1980s and 1990s 57
2. Pension benefits in the earnings-related scheme 84
3. Early retirement pension schemes 87
4. Pre-funding pensions 92
5. Pension reforms during the 1990s 94
6. The 2000 pension reform 96
7. Synopsis of options to reduce the economic impact of ageing 106

Tables

1. Demand and output 26
2. Household appropriation account 28
3. Labour market developments 31
4. Wages, costs and prices 34
5. Public finances 38
6. Budgetary plans and outcomes 39
7. Short-term projections 42
8. Labour market indicators 49
9. Market shares of banks and insurance companies 67
10. Government employment 69
11. Funding of local government 70
12. Recommendations for further structural reform 73
13. Pension recipients by type of pension 86
14. Disability pensioners in the Nordic countries 88
15. Savings in 2030 due to changes in the pension schemes in the 1990s 95
16. Poverty rates by age group 97
17. Income structure of old-age households by quintile 98

Figures

1. Monthly output developments 20
2. Key indicators in long-term and international perspective 21
3. The electronic equipment industry 22
4. Productivity per sector 24
5. Cost competitiveness and export performance 27
6. Private consumption 28
7. Business and residential investment 29
8. House and share prices 30
9. Labour market 32
10. Prices and labour costs 34
11. Interest and exchange rate developments 37
12. Leading indicators 43
13. GDP and expenditures 44
14. Structure of the working-age population 48
15. Labour market mismatch 50
16. Tax rates in Finland and other OECD countries 51
17. Employment protection legislation 54
18. Labour productivity in the OECD 56
19. Product market regulation 59
20. State aid 61
21. Privatisation proceeds 64
22. Leading Internet banks in Europe 66

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23. Population trends 78
24. Old-age dependency ratios 79
25. Employment rates in selected OECD countries 80
26. Employment rates for older workers in Finland 81
27. Pension income 83
28. Disability pensions 89
29. Pension wealth by route of retirement 90
30. Contribution rates 91
31. Financing of unemployment and disability pensions 93
32. Recipients of the main forms of care for the elderly 100
33. Pension expenditures in selected OECD countries 102
34. Projected pension expenditures 103
35. Health care and other costs for the elderly 105

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BASIC STATISTICS OF FINLAND (1999)

THE LAND

Area (1 000km^2, 1995):	338.1
of which:	
Cultivated land	27.5
Forests	230.0
Lakes	33.6

Major cities (thousand inhabitants, 31.12.98):	
Helsinki	546.3
Espoo	205.0
Tampere	191.3
Vantaa	173.9

THE PEOPLE

Population (thousands, 31.12.99)	5 165
Number of inhabitants per km^2	15.3
Net natural increase (thousands)	8.3
Net migration (thousands)	2.3

Labour force (thousands)	2 557
Employment (thousands)	2 296
Employment (% of total):	
Agriculture, forestry and fishing	6.3
Industry and construction	21.3
Services	72.5

PARLIAMENT AND GOVERNMENT

Composition of Parliament (number of seats):	
Social Democratic Party	51
Centre Party	48
National Coalition (Conservatives)	46
Left Alliance	20
Green League	11
Swedish People's Party	11
Christian League	10
Other	3
Total	200

Government, number of ministers from:	
Social Democratic Party	6
National Coalition (Conservatives)	6
Left Alliance	2
Green League	2
Swedish People's Party	1
Independent	1
Total	18

Last general elections: 21 March 1999

PRODUCTION AND PUBLIC SECTOR

Gross domestic product (billion FM)	718.1
GDP per head (US$)	24 927
Gross fixed capital investment:	
% of GDP	19.3
Per head (US$)	4 813

Public consumption (% of GDP)	21.3
General government (% of GDP):	
Current and capital expenditure	47.1
Current revenue	49.4

FOREIGN TRADE

Exports of goods and services (% of GDP)	37.7
Main exports (% of total):	
Wood, pulp and paper	29.4
Electrical and optical equipment	28.0
Metals, machinery and transport equip.	25.3
Other goods	17.3

Imports of goods and services (% of GDP)	29.4
Main imports (% of total):	
Intermediate goods	40.9
Capital goods	25.9
Consumer goods	24.3
Energy	8.9

THE CURRENCY

Monetary unit: Markka
Fixed conversion rate to euro:
€1 = FIM 5.94573

Currency units per US$, average of daily figures:	
Year 1999	5.58
May 2000	6.55

Note: An international comparison of certain basic statistics is given in an annex table.

This Survey is based on the Secretariat's study prepared for the annual review of Finland by the Economic and Development Review Committee on 7 June 2000.

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After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 23 June 2000.

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The previous Survey of Finland was issued in July 1999.

Assessment and recommendations

A temporary and mild slowdown in 1999 was prompted by weaker external demand

After expanding vigorously for several years, the Finnish economy experienced a temporary and mild slowdown in 1999 prompted by the global downturn in the wake of the financial crisis in Asia and Russia. While the production of some traditional export industries contracted, overall output growth only slackened to 3½ per cent. At the same time, job creation did not falter and employment growth actually picked up to 3½ per cent. The number of unemployed has continued to shrink rapidly and labour shortages are increasingly becoming a bottleneck in some regions and sectors. This has not yet pushed up labour costs, although wages look set to rise. Prompted by the doubling of the oil price, inflation has picked up; it was the fourth highest in the euro area in May 2000 and the differential against the euro area average has widened. While the outlook for the Finnish economy is favourable in many respects, overheating is a distinct risk.

Economic performance has been impressive since 1994, but unemployment is still too high

Despite the slowdown in 1999, output growth outpaced the euro area average for the sixth successive year by a wide margin. Indeed, the rebound since the end of the deep recession of the early 1990s has been remarkably strong: output increased by 4½ per cent per year between 1993 and 1999, the unemployment rate has dropped from 18 per cent in early 1994 to close to 10 per cent, while the government budget balance has swung from a deficit of 7 per cent of GDP in 1993 to a surplus of 2¼ per cent in 1999. Skilful macroeconomic management, moderate wage agreements, labour market reforms, the take-off of the electronic equipment industry (with output increasing by 25 per cent per year), rapid restructuring in other industries and a favourable international economic climate contributed to these

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impressive achievements. Major policy challenges remain, however. The unemployment rate is still twice as high as in the best-performing OECD countries, the tax burden is among the highest in the OECD and further reforms of the pension system are urgent.

Robust economic growth is projected for 2000 and 2001…

Looking ahead, the export-led rebound in activity that already started in the course of 1999 is expected to gather momentum. Broad-based output growth of 5½ per cent is projected for 2000, falling back to somewhat below 5 per cent in 2001 largely due to lack of spare capacity in the paper industry and shortages of skilled labour in the electronic equipment industry. Exports should be spurred by strong external demand, favourable price competitiveness and positive supply-side effects linked to the electronic equipment industry. Easy monetary conditions, despite the European Central Bank's (ECB) rate hikes, are continuing to support domestic demand. Private consumption will be boosted by brisk job creation and higher real wages, by income tax cuts and by the solid wealth position of households. In such an environment, unemployment should fall further to 8½ per cent by 2001. A substantial positive output gap is projected to emerge, highlighting a serious overheating risk. Indeed, abstracting from the impact of oil price movements, inflation is projected to go from below the euro area average to one of the highest, while wages are set to accelerate.

… with stronger wage inflation the main risk

After successive moderate centralised wage agreements in 1996-99, the wage round for 2000 was held at the branch level due to insufficient support within the trade union confederation for another central wage settlement. While the first agreements, covering 90 per cent of all employees, were promising, with a moderate rise in contractual wages of 3.1 per cent, later outcomes showed increases of up to 5 per cent and are likely to lead to catch-up effects in 2001. Including wage drift, the private sector wage rate is expected to pick up. The major domestic risk to the outlook is a strong wage acceleration in 2001 due to growing labour market shortages. In addition, house prices have risen steeply in major growth centres and the Financial Supervisory Authority recently expressed concerns over the rapid growth of credit.

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Fiscal policy should be tight to prevent a boom-boost cycle but supply-side conditions should also be further strengthened

In this context, fiscal policy faces a dilemma as the cyclical situation would argue for an ever tighter fiscal stance, while the soundness of the fiscal position would normally provide considerable room for a much-needed reduction of the tax burden. Demand management and supply-side requirements could be reconciled if tax cuts were accompanied by steep cuts in expenditure. In the light of this, the medium-term fiscal framework should be reassessed. After strong fiscal consolidation since 1993 that lowered government outlays by more than 10 per cent of GDP, the new government set less ambitious targets for the period 1999-2003. It aims at unchanged central government spending in volume terms, a move to a structural central government budget surplus and the reduction of central government debt to below 50 per cent of GDP. Given the more favourable climate and sizeable privatisation proceeds, the latter two targets will soon be met. Moreover, with lower than originally projected social security outlays and interest payments, the current target of unchanged total spending provides room for increases in other expenditures. The temptation to use this margin for additional spending should be resisted and the authorities should use it to reduce government debt. In addition, the government should implement a package of tax and spending cuts to contain demand and strengthen the supply side. Furthermore, a phasing out of mortgage interest relief and an increase in real estate taxes, which are low in international comparison, could help to cool off the housing market and provide room for sharper income tax cuts.

Public sector efficiency should be raised to bring the tax burden down

Improving public sector efficiency would allow the tax burden to be brought down by more than currently envisaged and would help to limit the future tax increases due to ageing. No doubt, the public sector reforms carried out in the 1980s and 1990s have already enhanced the efficiency of the public sector, made services more customer-oriented and improved the transparency of the administration. Concerning the central government, the introduction of a medium-term budgetary framework in 1990 was an important step towards spending restraint, while the change in the financing of local government outlays has provided better incentives to produce services in a cost-effective way. However, even after these reforms, the Finnish public sector

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remains among the largest in the OECD and the room for further progress is considerable. The central government should thus become more active in pursuing its commitment to promoting competition in areas where private provision is possible, while local governments should make more use of outsourcing so as to increase efficiency. Moreover, expenditure programmes could be made more selective and distorting state aid could be ended.

At the same time, further labour market reform is needed to raise employment…

Strengthening the functioning of the labour market should also be a priority. Reducing structural unemployment and increasing the employment rate would be helped not only by tax cuts but also by various labour market initiatives, many of which would reduce government outlays at the same time. These should include measures with an immediate impact on labour supply such as raising incentives for older workers to remain in work by lifting the ceiling on pensions above the current limit of 60 per cent of the pensionable wage and by shortening the unemployment "pipeline" to pensions. In addition, job search activity could be increased by phasing down unemployment benefits during the first 500 days of unemployment. Finally, a less rigid legislation on fixed-term contracts would improve the adaptability of companies to change. In this context, some of the recently proposed changes to the Employment Contracts Act go in the wrong direction.

… while eligibility criteria should be strictly enforced…

The recent reforms of the Public Employment Service (PES) and of the active labour market programmes were steps in the right direction as counselling and training of the unemployed improves the chance of finding a job. However, the PES should also fully apply the job-search rules. This will need strong organisational and political commitment. Furthermore, the authorities could consider exposing the PES to market forces, as has been successfully done in a number of other OECD countries.

… and a greater role for local collective bargaining would be beneficial

The two most recent central wage rounds served the Finnish economy well as their outcomes kept cost pressures low and competitiveness strong. But for this year, there was insufficient support to proceed in this way and a return in 2001 to centralised negotiations may prove to be difficult as

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some branch settlements are two-year agreements and the differences between branches in the 2000 wage agreements are large. Decentralised wage negotiations also have virtues as they can improve the allocation of labour and strengthen incentives to increase skills as skill-induced productivity differences will be reflected in wage differentials. However, the differentiated settlements of the current wage round do not reflect productivity differences but rather the market power of strong unions which has been partly underpinned by labour and product market regulation. Further decentralisation to the local level would allow wage developments that reflect both skill differences and market conditions. It could lead to a wider wage dispersion which would enhance both the employability of low-skilled workers and the work incentives for higher skilled workers.

The ICT sector is very strong, but there are only limited signs so far of the "new economy"

The electronic equipment industry was a major growth engine of the Finnish economy in the second half of the 1990s and is likely to remain so in the coming years. Government policy has played some role in this success, for instance by concentrating academic research in a limited number of centres, by providing an engineering-oriented educational system, by early and far reaching liberalisation of the telecommunications sector and by allowing foreign competition in critical segments of the market. However, more important were strategic decisions made by the management of Nokia, the main company in the information and communication technology (ICT) sector. Except for the financial sector, there is little evidence so far that the leading role in ICT production has boosted the performance of the rest of the Finnish economy. However, in the OECD area, Finland is leading in the use of ICT, with one of the highest penetration ratios for personal computers, mobile phones and Internet connections. Service industries, especially, are adapting quickly to the new possibilities, and Finnish banks are very advanced in providing Internet services. Potential output growth could therefore be stronger in the medium term than currently expected. Ensuring that framework conditions are in place to underpin the current leading role in ICT will be a major policy challenge in the coming years, especially for the education system, and may also require changes to the immigration policy regime. Moreover, the

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government should continue to support changes by ensuring a competition-friendly environment and by modernising labour and product market regulations. Well-functioning markets are essential for a smooth restructuring of the economy.

Further product market reform is required to boost productivity

Despite the phenomenal rise in the electronic equipment industry, labour productivity still lags behind that of many OECD countries. Further product market reform and a strengthening of competition policy are therefore necessary. In particular, more progress should be made in reducing public ownership in traditional industries, while privatisation in other industries should be actively pursued. The recent proposal by the government to enlarge the privatisation mandate is a step in the right direction. The authorities should also continue to evaluate state aid to industry carefully, while restructuring of the heavily subsidised agriculture sector should be stepped up and policy goals concerning rural areas should be pursued in a less distorting manner. Finally, only a strong competition authority will be able to ensure that the fruits of liberalisation are fully reaped. In this respect, the Finnish Competition Authority should be provided with the power to apply the strict EU rules on cartels and abuse of a dominant position and should be appropriately staffed, while the Competition Council should be converted into a special court.

The authorities have little time to prepare for ageing

The special chapter of this *Survey* reviews the impact of ageing on the Finnish economy and the scope for reform. Ageing will occur earlier than in most OECD countries and the time available to the authorities to react is therefore even shorter. The number of persons of working age per person of pensionable age will fall from four in 2000 to two in 2035, a level only reached in 2050 for the OECD average. In 2030, the share of the elderly in the population will be the second highest in the European Union. Even under the optimistic assumption of a considerable rise in the employment rate, the private sector pension contribution rate is projected to increase by around 10 percentage points to just above 30 per cent in 2050 as pensions are only partly prefunded. In addition, the impact of ageing on health and non-health care costs for the elderly, estimated at 3½ per cent of GDP, will need to be financed. This estimate only takes into

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account the changing population structure and does not allow for a possible lengthening of disability-free lives – which would lower costs – or technical progress in the provision of health care, or more capital intensive care – which would increase costs.

Changes to the old-age pension system are needed

To prevent such a steep rise in the overall tax burden, an increase in the effective retirement age should be pursued as the main policy goal. The measures put in place in January 2000 acknowledge this and are a step in the right direction. They have made retirement through unemployment pensions less favourable and have introduced labour market programmes to make it easier for 55 to 59 year olds to remain in work. However, the new measures are not sufficient to reach the government's goal of an increase in the effective retirement age by 2 to 3 years in the long run. Moreover, reaching this goal will only mitigate but not prevent a steep rise in contribution rates. The early retirement problem should be tackled by changes to the old-age pension system. An important step in this respect would be to allow pension rights to accrue until the official retirement age, or indeed beyond. This would provide incentives for older workers to continue to work after they have accrued the current maximum benefit level. In addition, an increase in the funded part of the earnings-related pension schemes should be considered. This would reduce the need for sharp increases in contribution rates later on. At a minimum, contribution windfalls due to stronger employment and output growth or a higher than expected rate of return on investments should be used to increase the degree of funding. Finally, the introduction of defined-contribution personal pension accounts for older workers should be considered as it would increase incentives to work longer.

Early-retirement schemes should become less attractive

There are several additional options that would have the effect of increasing the average retirement age. *First*, in the disability and unemployment pension schemes the old-age pension accruals during the period of early retirement should be eliminated. *Second*, entry to the disability scheme should only be granted on purely medical grounds. *Third*, the "pipeline" to an unemployment pension should be shortened. This should be combined with raising the incentive of

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larger enterprises to employ older workers by eliminating the current age-dependency of the pension contribution rate they face.

Incentives to enter institutional care should be further reduced

In the area of health care and care for the elderly, Finnish policies appear to have been rather successful to date and a full range of care is provided at a cost which is close to the OECD average. The trend towards institutionalising the elderly has been reversed, partly reflecting incentives for local governments to be cost-effective due to the financing of a high percentage of outlays by block grants. However, as highlighted in the 1998 *Survey*, there are problems associated with the co-ordination between care providers and there is a wide range of care practices across municipalities. The recent "Social and Health Care Target and Action Programme" put in place by the government is a useful first step in solving these problems. The use of user charges for health and care services may also require review. The current approach, which partly relies on income-testing, may create incentives for individuals to enter institutional care. One response to this dilemma might be to make long-term care not only subject to an income test but also to a charge on the estate, which would partly cover the long-term care costs. This would increase user charges on the wealthy and reduce the net cost of these services to the taxpayer. In any case, such policies would have to be carefully designed if they are not to have distorting effects on the volume and allocation of savings.

Summing up

Since the end of the deep recession of the early 1990s, Finland's economic performance has been impressive in most respects, even though unemployment remains high and major policy challenges still lie ahead. Output increased by 4½ per cent per year between 1993 and 1999, unemployment dropped steeply, albeit from exceptionally high levels, and the government budget moved into surplus. Output growth is projected to remain robust in 2000 and 2001, partly due to the vigorous growth in the ICT sector. However, labour shortages are increasingly becoming a bottleneck, even with an unemployment rate that is around 10 per cent. Fiscal policy thus faces a serious dilemma as the cyclical situation would argue for a tighter fiscal stance,

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while tax cuts and shifts in the tax mix are much needed to boost the supply side of the economy. A re-assessment of the medium-term government expenditure target is therefore warranted so as to both restrain demand and make tax cuts possible at the same time. This should be supplemented by a wage settlement system that allows for sufficient relative wage flexibility and by labour market measures that boost labour supply and reduce structural unemployment. In this respect, additional measures to increase the average retirement age are crucial. Measures introduced earlier this year are insufficient. Additional initiatives are thus required given the economic implications of ageing, the special topic of this *Survey*. The time available to the authorities to put in place the appropriate policies is even shorter than in other OECD countries as the Finnish population will age faster. Furthermore, product market reforms are required to increase labour productivity that still lags behind that of many other OECD countries. Indeed, Finland has advanced further on fiscal consolidation than any other OECD country but it has been lagging in implementing structural reforms. More rapid progress should be made, for instance, in reducing public ownership. In this context, the recent proposal by the government to enlarge the privatisation mandate is a step in the right direction. Over the longer term, growth potential may be boosted by the "new economy" so long as further structural reforms provide a conducive environment. Advancing in these directions would help to increase living standards, to reduce structural unemployment and to maintain prosperity in an ageing society.

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I. Macroeconomic conditions

Commendable overall performance, but unemployment remains still very high

In 1999, output growth remained substantially above the euro area average. However, weaker world demand, set in motion in early 1998 by the Asian crisis and reinforced by the Russian debt moratorium later in that year, led to a mild slowdown from 5 per cent in 1998 to 3½ per cent in 1999. This is the slowest rise in six years, even though a significant acceleration in the course of 1999 has occurred due to the improving conjuncture in Europe (Figure 1). The slowdown in activity was thus short and shallow, with only a temporary drop in output in the traditional export industries. Despite the more subdued activity, employment growth accelerated to 3½ per cent, the strongest rise since the recovery started in 1994. The unemployment rate dropped to 10.2 per cent on average in 1999, marginally above the euro area average. Labour shortages are increasingly becoming a bottleneck in some sectors and regions, but have not led so far to a substantial hike in wage inflation. Price inflation has picked up, largely due to oil price rises; it has been above the euro area average since April 1999 and the difference has widened.

In a longer-term perspective, the Finnish economy has recovered admirably from the deep economic recession of the early 1990s that was caused by capital inflows and excessive credit expansion related to financial market deregulation, over-expansionary macroeconomic policy in the second half of the 1980s and the implosion of trade with the Soviet Union (Honkapohja and Koskela, 1999). The sustained sound management of fiscal and monetary policy, in combination with moderate wage agreements, has been instrumental in realising the sharp recovery since 1994 (Figure 2). Budgetary discipline has been strong throughout this period, fostering a more predictable economic environment that was conducive to robust business sector activity. Because of the sharp recovery, the level of Finnish per capita output has caught up with that of the euro area. Output had dropped by 10 per cent in 1990-93 while in the euro area it had increased by 5 per cent. Over the whole period 1990-99, however, output growth was 16 per cent, only 4 percentage points less than in the euro area.[1] Moreover, the unemployment rate has dropped 8 percentage

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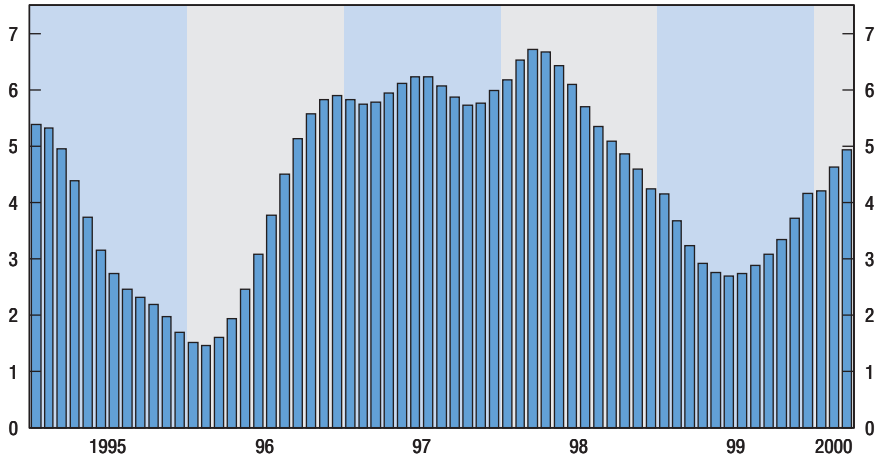
Figure 1. **Monthly output developments**
Per cent change over 12 months[1]



1. Monthly indicator of total output (1995 = 100), trend.
Source: Statistics Finland.

points from its peak of 18 per cent in early 1994, the second strongest decline ever recorded in the OECD area over such a short period. Many economic imbalances have been rectified or abated in recent years. In contrast with the trough of the recession, the financial position of households is now solid, companies have sound balance sheets and the banking industry is in a healthy state. The government budget swung from a sizeable deficit of 7 per cent of GDP in 1993 to a surplus of 2.3 per cent in 1999, while government debt dropped from 58 to 47 per cent of GDP. However, some policy challenges remain. The unemployment rate is still above 10 per cent, more than double the average of the best-performing countries in the OECD while the employment rate is still 8 percentage points below its 1990 peak. Furthermore, the tax burden is very high: the tax-to-GDP ratio is 3 percentage points above the already high euro area average and 2½ percentage points above the pre-recession level. Even with the existence of a pole of excellence in the electronic equipment industry, such a high tax rate could undermine the economy's strong performance over the medium term.

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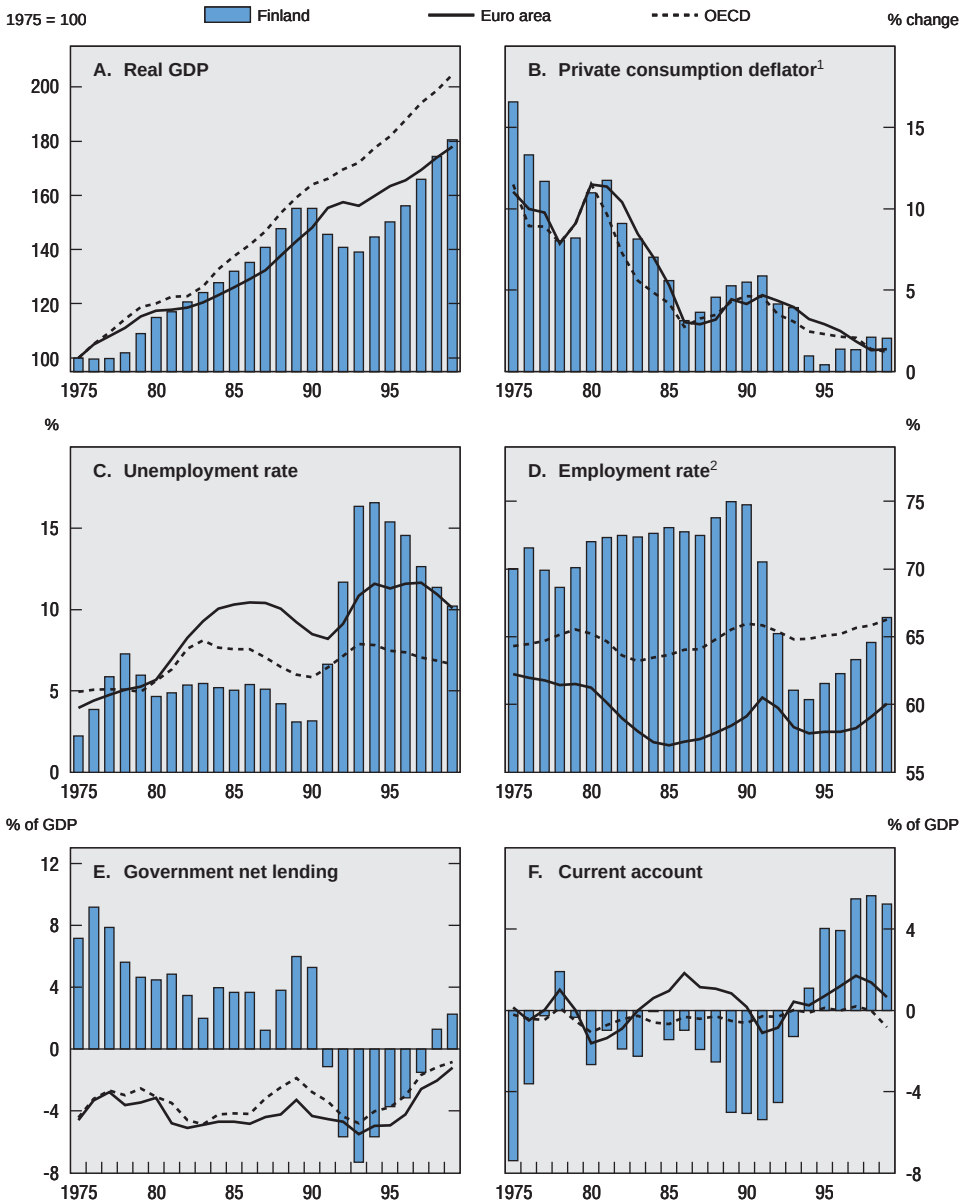
Figure 2. **Key indicators in long-term and international perspective**



1. OECD excludes high inflation countries.
2. Total employment as a per cent of working-age population (aged 16-64).

Source: OECD Secretariat.

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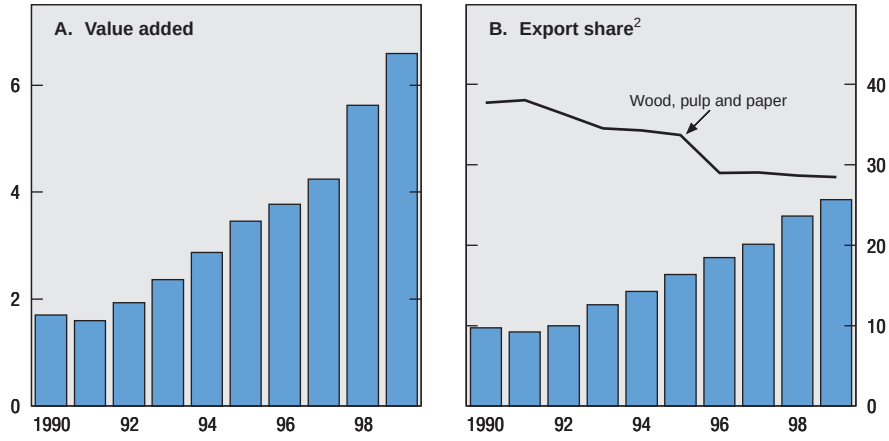
The electronic equipment industry: growth engine of the Finnish economy

The electronic equipment industry has been a major growth engine of the Finnish economy in the second half of the 1990s and is likely to remain so in the coming years. Its contribution to GDP growth was ¾ percentage point a year in 1995-99, with the impact increasing to 1¼ percentage points in 1999, of which 1 percentage point was contributed by Nokia, the dominant company, alone (Figure 3) (Ali-Yrkkö *et al.*, 2000). The phenomenal output growth of the industry, 25 per cent per year over 1994-99, reinforced the major structural changes that the Finnish economy underwent in the 1990s. Finland's export composition, in particular, is now completely different from a decade ago. The share of the electronic equipment industry tripled to 26 per cent, thus ending the dominant position of the forest-related industry (Figure 3). The booming sector has made the economy more export-oriented – domestic sales of Nokia are only 3 per cent of total sales – and also boosted exports of services, with these being a quarter of Nokia's sales abroad. It has also been a major factor behind the surge in import penetration as many intermediate products are produced abroad. Furthermore, it has contributed to the surge in Foreign Direct Investment (FDI) outflows.[2] As a leading producer and centre of excellence in information and communication technologies

Figure 3. **The electronic equipment industry**[1]
Per cent of total



1. Electrical and optical equipment.
2. Goods exports.
Source: Statistics Finland; OECD, *Foreign Trade Statistics*, series C and OECD Secretariat.

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(ICT), Finland has one of the highest Research and Development (R&D) intensities in the OECD (3 per cent of GDP in 1998) and factor intensity has shifted from physical capital to R&D and human capital. Around a third of Nokia's employees work in R&D. The surge in the importance of the electronic equipment industry has made the economy more dynamic as the ICT cluster is characterised by short product cycles and a pronounced network production structure with substantial outsourcing and subcontracting. The new ways of organising production, coupled with the extraordinary labour productivity rise of 15 per cent annually in the 1990s, has kept employment in the sector relatively small, at around 3 per cent of total employment. However, shortages of skilled labour, especially engineers, have become a factor limiting employment growth. Keeping the current leading role in ICT will be a challenge in the coming years, especially for the education system, and may require changes in immigration policy.[3]

The Finnish ICT sector is larger than just Nokia, although this company is clearly dominant. Nokia produces 4 per cent of GDP (including subcontractors), 20 per cent of exports, and accounts for one third of private R&D in Finland.[4] At the end of 1999, it was Europe's largest company by market capitalisation, and accounted for 60 per cent of the Helsinki stock market capitalisation. Almost half of Nokia's global output still takes place in Finland. Many companies within the ICT cluster are suppliers to Nokia and/or its offshoots. The number of Nokia's first-tier subcontractors is estimated at around 300, employing 14 000 persons, while the total number of firms in the Finnish ICT cluster is estimated at 3 000 (Ali-Yrkkö *et al.*, 2000).[5] Some of them are Finnish subsidiaries of major foreign ICT companies that have been created to gain access to technical innovations through co-operation with leading Finnish companies and research centres.

Government policy has played some role in this success, mostly by providing an engineering-oriented educational system, for instance by the creation and expansion of the polytechnic (AMK) system (OECD, 1999) and by concentrating academic research in a limited number of centres. Unlike most other countries, Finland always allowed foreign competition in the telecommunication equipment market. Furthermore, it permitted competition between private and public telecommunication operators (in the 1930s, there were 815 operators) and thereby stimulated the diffusion of technical progress. In 1922, Helsinki became the first European capital with fully automated exchanges. In 1991, it was the world's first country to introduce a digital mobile network, while in 1999 it was the first country to grant licenses for a third-generation mobile phone network. Early deregulation of the telecommunication market (competition among long-distance operators was already allowed in the mid-1980s) was also important for the take-off of the ICT industry. The early shift in industrial policy towards fostering R&D and creating good framework conditions may also have played some role. Finland was one of the few OECD countries with a rise in government support to industrial technology in the 1990s (OECD, 1999*b*). Finally, rapid growth was reinforced in the second half

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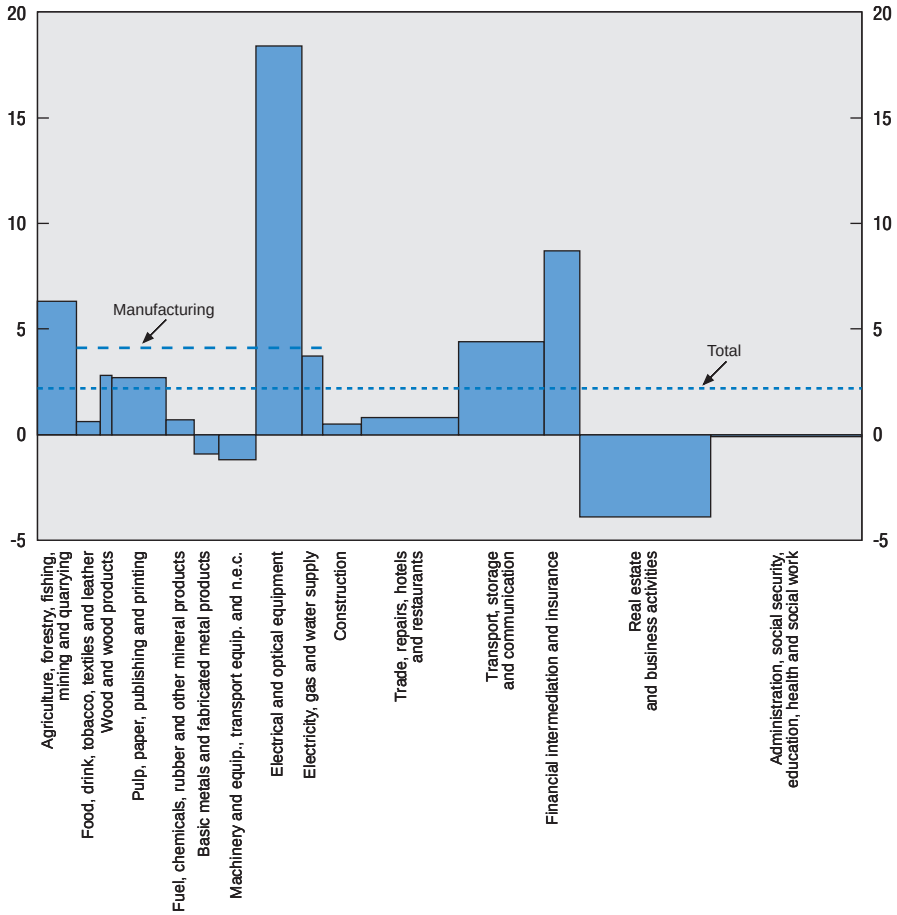
of the 1990s by economic policy that improved the macroeconomic situation substantially. However, more important than government policy for the Finnish ICT success were strategic decisions made by the management of Nokia, the main ICT company.

Figure 4. **Productivity per sector**[1]
Percentage change, annual rate, 1995-99



1. The width of the bar represents the share of each sector in total value added in 1998.
Source: Statistics Finland and OECD Secretariat estimates.

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Trend labour and multi-factor productivity has picked up since the 1980s but, thus far, this may be largely due to the strong productivity growth in the ICT sector itself (Figure 4).[6] Finland is leading in the use of ICT, with one of the highest penetration ratios for personal computers (PCs), mobile phones and Internet connections.[7] Service industries are adapting quickly to the new possibilities. Finnish banks, for instance, are more advanced in providing Internet services, and the financial sector has also shown rapid productivity gains (see Chapter II), but it is difficult to say whether this is due to technical progress or to the heavy restructuring effort in the aftermath of the recession in the early 1990s. For the moment, while the Finnish economy is capturing the benefits of the new technologies, it is too early to provide robust estimates of the extent to which this has already affected productivity and potential output developments in the rest of the economy.

Economic developments in 1999 and early 2000

Exports started to pick up in the second half of 1999

The slowdown in world demand reduced export volume growth from 9.3 per cent in 1998 to 7.4 per cent in 1999 (Table 1). With Russian imports continuing to fall, the geographical composition had a negative effect on Finnish exports. Goods exports to Russia dropped by around a third in value terms, hurting especially food exports. Russian exports were only 4 per cent of total goods exports in 1999, compared with 7 per cent in 1997. Despite slowing, the overall export performance in 1999 was strong with export growth surpassing weighted world demand by 4 percentage points.[8] This reflects continuing positive supply effects in the electronic equipment industry (exports of this industry increased by 26 per cent in volume terms) and the robust and further improving competitive position (Figure 5). Exports were weak in the first half, followed by a sharp upturn in the second, especially in traditional export industries (pulp and paper, chemicals and basic metal industries).[9] In the first months of 2000, the upward trend in total exports has continued. Weak world demand for traditional export products (pulp and paper, chemical and basic metal products) and productivity-driven price falls for electronic equipment exports led to a drop in export prices of 5.8 per cent in 1999. However, as for export volumes, there has been a turnaround for traditional products during the year, with prices continuing to rise in the first months of 2000.

Import volume growth fell sharply in 1999, to 3.4 per cent from 8.5 per cent in 1998. All import categories slackened. In value terms, imports rose strongly from south-east Asia (16 per cent) and eastern Europe (9 per cent) while less was imported from the rest of the European Union (–1 per cent). Import prices were negatively affected by the increasing imports of intermediate ICT products which show a trend decline. But due to the oil price hike and the depreciation of the

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Table 1. **Demand and output**
Percentage change, volume

	1996 Current prices, billion FIM	1997	1998	1999	Seasonally adjusted, annual rate		
					1998 2nd half	1999 1st half	1999 2nd half
Private consumption	308.5	3.5	4.6	2.9	5.0	2.0	2.8
of which: Durable goods	28.9	7.4	13.2	7.3	13.2	3.3	9.7
Government consumption	135.6	4.1	1.5	0.3	4.3	–3.1	3.3
Gross fixed capital formation	99.7	11.9	7.8	4.8	14.4	0.8	4.1
Public sector	16.9	15.0	–0.4	–6.3	2.4	–14.2	2.2
Private sector	82.8	11.3	9.6	7.0	16.9	3.8	4.5
Residential	19.6	21.5	7.4	10.7	6.9	14.2	7.8
Non-residential	63.2	8.1	10.4	5.7	20.6	0.4	3.3
Final domestic demand	543.9	5.2	4.5	2.7	6.7	0.5	3.2
Stockbuilding[1, 2]	–1.5	0.7	0.8	–0.7	0.7	1.4	–6.9
Exports of goods and services	219.9	14.1	9.3	7.4	–4.1	4.0	27.3
Imports of goods and services	175.6	11.3	8.5	3.4	1.0	1.6	9.5
Foreign balance[1]	44.3	2.0	1.1	2.0	–2.1	1.1	7.8
Statistical discrepancy[1]	–0.8	–1.1	–1.0	–0.2	..	..	..
GDP	585.9	6.3	5.0	3.5	4.5	3.1	3.5
of which: Manufacturing	123.8	9.9	9.2	5.4	8.1	3.9	5.8

1. Contribution to GDP growth.
2. The semi-annual data includes the statistical discrepancy.
Source: Statistics Finland and OECD Secretariat.

euro, import prices in 1999 dropped less than in the previous year (1.0 per cent versus 3.0 per cent). Energy import prices increased by 22 per cent, after falling 19 per cent in 1998. The price push continued in the first months of 2000, with import prices in March 15 per cent above the average price in 1999.

The deterioration in the terms of trade in 1999 led to some drop in the trade balance, to FIM 64.5 billion (balance-of-payments basis), FIM 2.2 billion below the record level in 1998. With the service and transfer balances broadly unchanged, the current account balance showed a comparable drop, to FIM 37.2 billion, but was, at 5¼ per cent of GDP, the second-largest surplus in the euro area. Unlike the situation in the euro area as a whole, the trade balance improved in the first months of 2000, with the impact of buoyant export volumes and rising paper prices only partly offset by the further rise in energy import prices. Due to the substantial current account surplus and despite the depreciation of the euro, interest-bearing foreign debt fell further in 1999, to FIM 106 billion (15 per cent of GDP). Due to the depreciation of the euro, the

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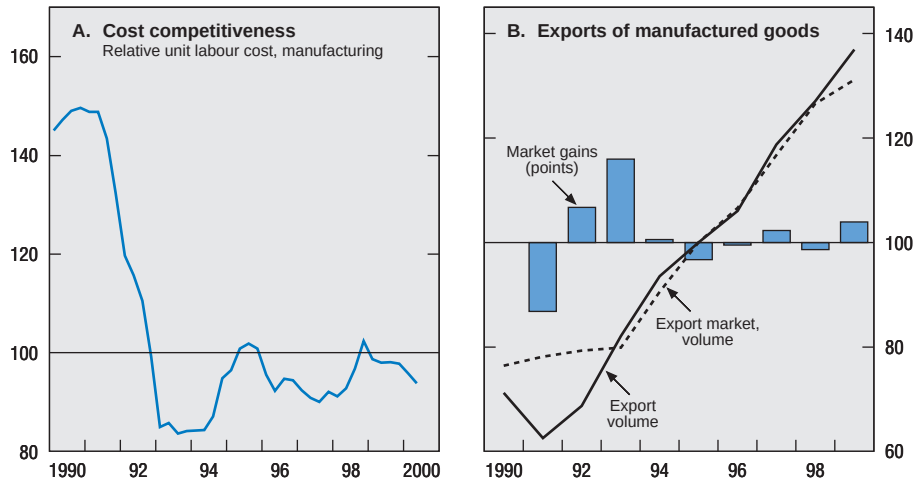
Figure 5. **Cost competitiveness and export performance**
1995 = 100



Source: Statistics Finland and OECD Secretariat.

foreign debt of the central government increased slightly to FIM 199 billion. However, the net international investment position (net foreign liabilities) more than doubled to FIM 1 261 billion (185 per cent of GDP) at the end of 1999 from FIM 473 billion a year earlier, reflecting the explosion in Finnish share prices, which are largely held abroad.

Private consumption surprisingly subdued

Private consumption increased by only 2.9 per cent in 1999, the slowest rise since the start of the recovery in 1993 (Table 1 and Figure 6). Consumption of durable goods slowed most, by 6 percentage points from the exceptionally strong 13 per cent in 1998. Private consumption was surprisingly weak in the light of the strong increase in disposable income (Table 2), sharply improving wealth positions, low interest rates and strong consumer confidence. The saving ratio even increased – possibly reflecting the surge in exercised job-related share options, from FIM 1 billion in 1998 to FIM 4 billion in 1999 (1 per cent of disposable income), and the high saving rate on such income.[10] Available data for the first months of 2000 indicate a pick-up in private consumption.

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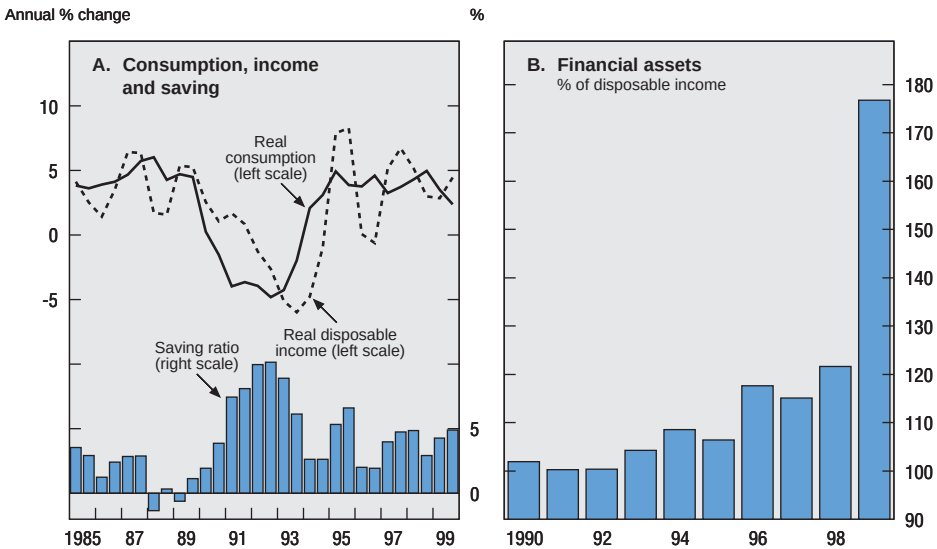
Figure 6. **Private consumption**



Source: Statistics Finland, Finnish Bankers' Association and OECD Secretariat.

Table 2. **Household appropriation account**

	1993 Current prices, billion FIM	1994	1995	1996	1997	1998	1999
		Percentage changes					
Real disposable income	279.1	–2.9	8.1	–0.3	5.9	4.0	3.7
Real consumption expenditure	269.1	2.6	4.4	4.2	3.5	4.6	2.9
Saving ratio (per cent)[1]	7.6	2.7	6.0	2.0	4.4	3.9	4.6
		Percentage points					
Contribution to disposable income							
Compensation of employees	260.1	1.7	6.1	4.1	5.2	7.4	6.2
Entrepreneurial and property income	78.1	–0.8	1.9	–0.6	2.4	2.0	1.2
Transfers received	124.7	2.0	–0.1	0.1	0.1	0.4	1.0
Less:							
Transfers paid	85.7	3.1	0.3	0.4	0.8	1.9	2.2
Direct taxes	74.9	3.6	–0.6	3.3	0.1	1.6	0.6
Interest on consumer debt	23.2	–1.8	–0.3	–1.1	–0.5	0.0	–0.2
Disposable income	279.1	–2.0	8.5	1.1	7.4	6.2	5.8

1. Ratio of household saving to disposable household income.
Source: Statistics Finland and OECD Secretariat.

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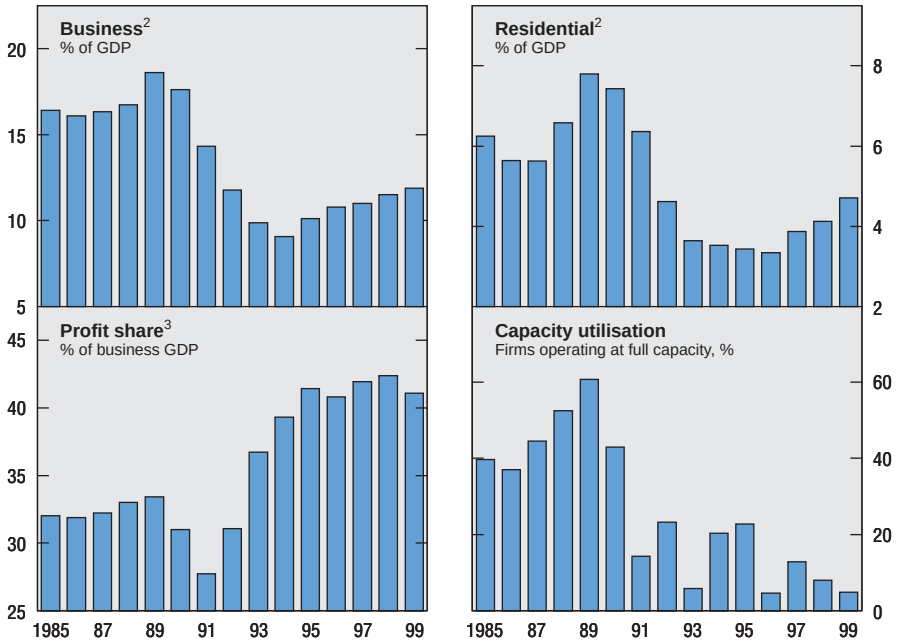
Residential investment constrained by supply

In contrast to the subdued consumption growth, residential investment rose by 10.9 per cent in 1999 and was limited by supply constraints (Table 1 and Figure 7). These were strongest in the Helsinki area and the other major cities where domestic migration is leading to strong population growth. Construction is hampered by land-use planning bottlenecks, leading to a shortage in housing lots, and by a lack of skilled construction workers in fast-growing areas. Demand is strong, driven by the favourable income development in recent years, the positive economic prospects, expectations of further house price rises, low interest rates and strong domestic migration. Structurally, demand is supported by a favourable tax treatment of residential property, but state-subsidised construction was substantially reduced in 1999 for budgetary and cyclical reasons. At the end of 1999

Figure 7. **Business and residential investment**[1]



1. Data for 1999 are projections.
2. Nominal.
3. Business sector GDP less compensation and net indirect taxes.

Source: Statistics Finland; OECD, *Main Economic Indicators* and OECD Secretariat.

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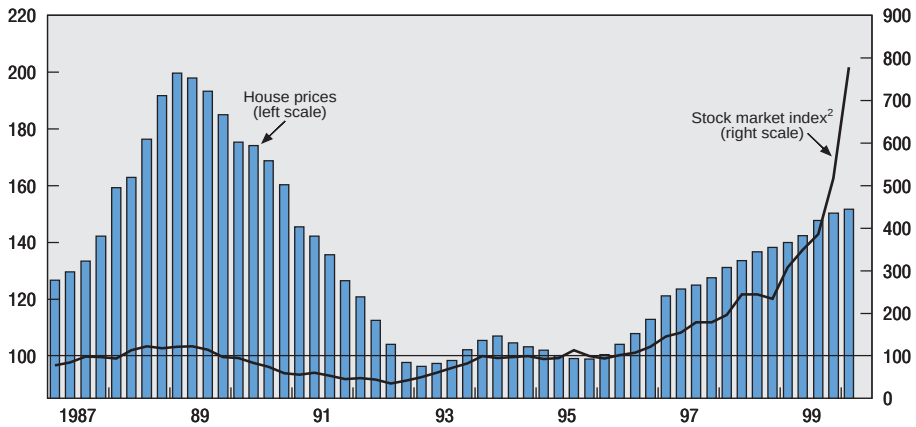
Parliament approved changes in taxation aimed at increasing land available for housing construction, but the impact on supply is likely to be limited.[11] Construction permits issued in the first months of 2000 indicate continued strong residential investment.

The tight housing market has led to strong price rises for existing dwellings (Figure 8). House prices at the end of 1999 were 16 per cent and 11 per cent higher than a year earlier in Helsinki and in Finland as a whole, respectively. In late 1999 the nominal price of flats per square metre in the Greater Helsinki area, was 79 per cent above the depressed levels of early 1996 (Spolander, 2000). For the country as a whole, the rise was 57 per cent. House prices continued to rise in the first months of 2000 and are likely to rise further in the near future. However, with supply gradually reacting to above average profitability in the construction sector, the upward trend may not continue at its current pace.

Business investment affected by weaker business sentiment

Lower capacity utilisation due to the slowdown in external and domestic demand growth, coupled with a deterioration in business sentiment, reduced growth in business investment from 10.4 per cent in 1998 to 5.6 per cent in 1999 (Table 1 and Figure 7). The slowdown was mitigated by brisk shopping centre

Figure 8. **House and share prices**
Real prices,[1] 1995 = 100



1. Deflated by the consumer price index.
2. HEX all share index. Quarterly average.
Source: Statistics Finland and OECD Secretariat.

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construction and the lower cost of equity capital due to the sharp rise in share prices. While capacity utilisation in the manufacturing sector dropped in the first part of 1999, a strong recovery occurred at the end of the year and continued in the first months of 2000, especially in the pulp and paper industry. Business investment increased more strongly than GDP for the sixth successive year but, in volume terms, the investment share in output is still 4 percentage points below that of 1989 on the eve of the recession. Moreover, the downward trend in the capital-output ratio has continued, reflecting not only the over-investment in the 1980s, but also the profound structural change in the business sector towards a more human-capital intensive production.

The strong drop in government investment, of 6.3 per cent, was mainly statistical. In 1999, the State Real Property Authority became a state enterprise and its investment is now booked in the national accounts in the business rather than the government sector.

Labour market: record employment growth

In 1999, employment increased by 3½ per cent, the strongest rise since the start of the recovery in 1994, while the employment rate increased by almost 2 percentage points to 66 per cent (Table 3 and Figure 9). This acceleration in 1999

Table 3. **Labour market developments**

	1988-92 average[1]	1993	1994	1995	1996	1997	1998	1999
	Percentage changes							
Employment rate (%)[2]	70.8	60.6	59.9	61.1	61.9	62.9	64.1	66.0
Real GDP per worker	2.7	6.6	6.6	2.6	3.0	3.4	3.0	–0.2
Employment	–2.8	–6.1	–0.8	2.2	1.4	2.0	2.4	3.3
Labour force	–0.8	–0.9	–0.5	0.7	0.4	–0.2	1.0	1.9
	Per cent of labour force							
Unemployment rate	5.8	16.3	16.6	15.4	14.6	12.7	11.4	10.1
Persons unemployed for more than 12 months (per cent of total)[3]	5.8	17.8	27.0	30.1	30.1	30.5	30.2	28.1
Active labour market programmes *of which*:								
Job creation	1.5	2.3	2.7	2.6	2.6	2.5	2.3	2.1
Labour market training	0.7	1.1	1.3	1.6	2.1	2.3	2.1	1.9

1. Annual rate.
2. Total employment (persons aged 15-64) as a per cent of working-age population (age 15-64).
3. Registered unemployed.

Source: Ministry of Labour, *Finnish Labour Review*; Ministry of Finance and OECD Secretariat.

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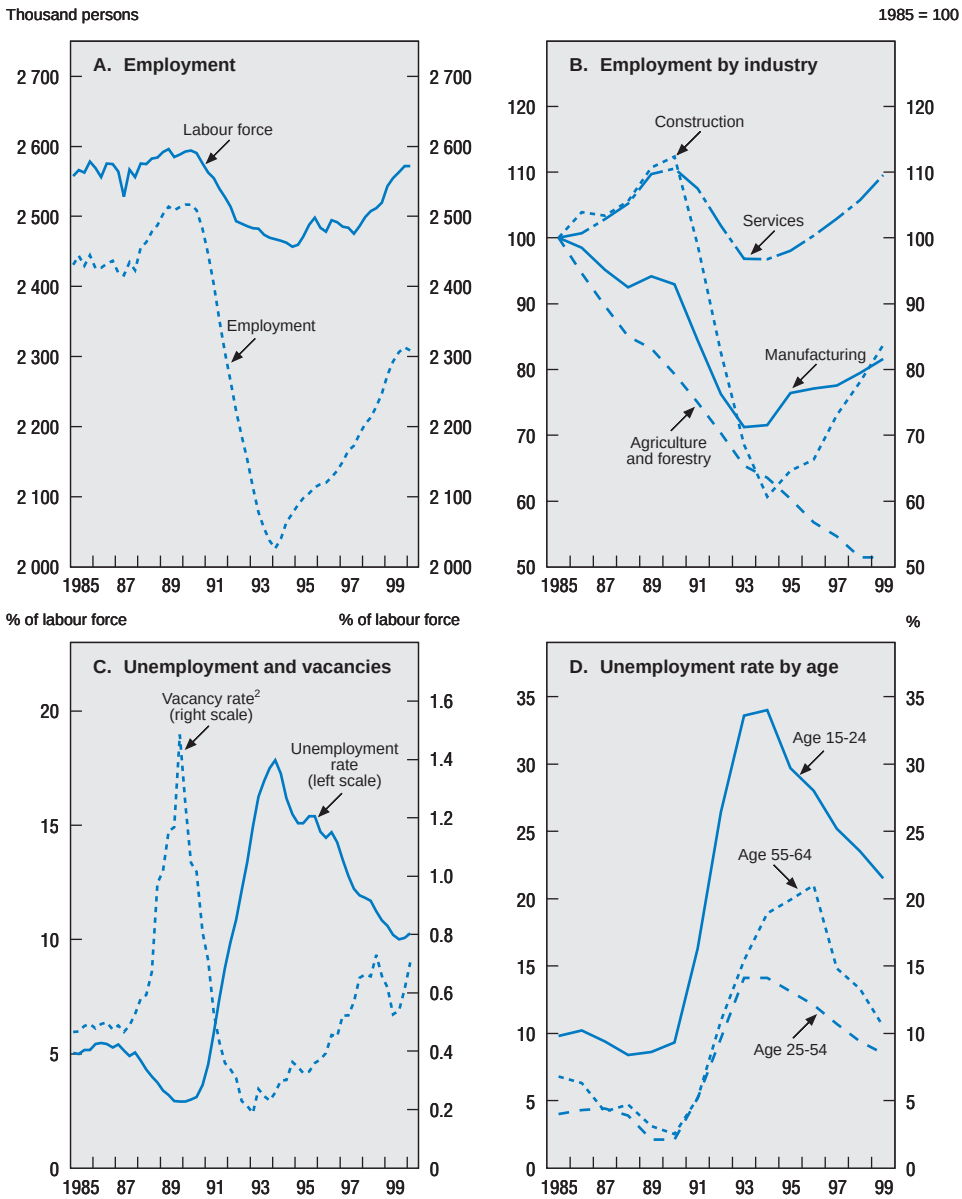
Figure 9. **Labour market**[1]



1. Break in series in 1988.
2. Change in legislation in 1988 forcing firms to declare vacant jobs.

Source: Ministry of Labour, *Finnish Labour Review* and OECD, *Main Economic Indicators.*

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is surprising in the light of slackening output growth. It can be partly explained by the lagged response of employment to output and by the recent shift of output growth to more labour-intensive service sectors as well as some labour hoarding in traditional export industries in reaction to the temporary production slowdown. The number of fixed-term jobs decreased due to the transformation of existing contracts into permanent ones. Fixed-term contracts remained, however, an important way of entering the labour market. Employment growth was especially buoyant in the construction sector (+7.5 per cent) and in the finance and business services sector (+7.0 per cent) while employment dropped only in the transport and communication sector (–0.6 per cent). Part-time employment increased substantially (+9.5 per cent).

The improving employment situation brought discouraged workers back into the labour market. Due to a substantial rise in the participation rate, the labour force increased by 1.1 per cent, the strongest rise in the 1990s. As a consequence, the unemployment rate fell by only 1.2 percentage points, to 10.2 per cent on average in 1999, 8 percentage points below the 1994 peak.[12] This is already somewhat below the Secretariat estimate of the NAWRU, the non-accelerating wage rate of unemployment, but such estimates are surrounded by great uncertainty. The improving labour market situation is also indicated by the rising trend in vacancies. In the first four months of 2000, 11 per cent more vacancies were reported than a year earlier while the average number of unfilled vacancies was up 7 per cent.

Registered long-term unemployment dropped by 11 per cent in the twelve months to December 1999, much more than the drop of 5 per cent for total registered unemployment. However, at 26 per cent, those unemployed for more than twelve months have remained a substantial part of total unemployed. The stronger drop may be partly due to the reforms of the Public Employment Service and active labour market programmes (ALMPs) and may also be partly caused by older unemployed moving into unemployment pensions. The number of unemployment pensioners, for instance, increased by 6 per cent during 1999.

Inflation rises above the euro area average

Higher oil prices, together with the effective depreciation of the euro, had a sizeable effect on inflation (Table 4). Measured by the twelve-month change in the harmonised consumer price index, inflation rose from a trough of 0.5 per cent in January 1999 to 3.2 per cent in March 2000 and 2.7 per cent in May 2000 (Figure 10).[13] Around 1 percentage point of the increase is due directly to rising petrol and light fuel oil prices. Moreover, there are indirect effects on air travel and package tours. The impact of the oil price rise is somewhat stronger than elsewhere in the euro area because oil consumption is above average due to the climate, and taxation is below average. Excluding energy, consumer prices

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Table 4. **Wages, costs and prices**

Percentage changes

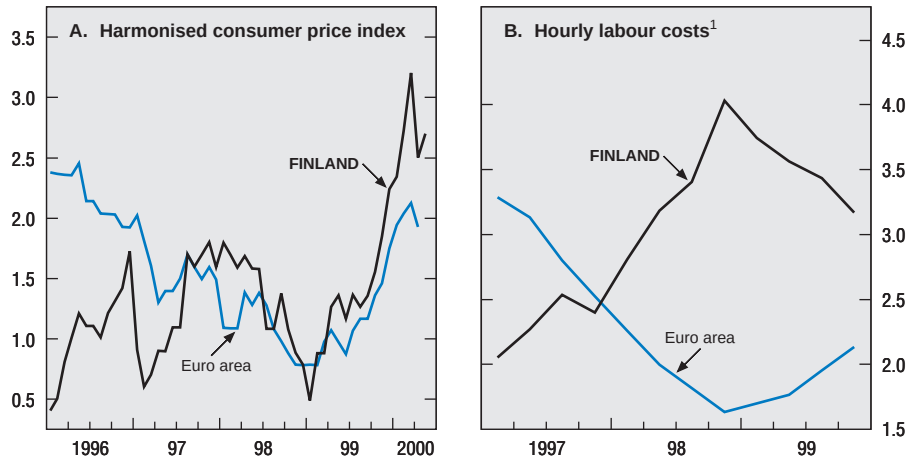
	1992	1993	1994	1995	1996	1997	1998	1999
Wages								
Negotiated wages[1]	0.9	0.1	0.6	3.6	3.1	1.3	2.7	1.8
Wage drift[1]	1.1	0.7	1.4	1.0	0.8	1.1	0.8	0.8
Wage rate[2]	1.9	0.7	2.0	4.4	4.2	2.4	3.5	2.6
Wage rate[3]	0.5	0.2	2.8	5.0	3.3	4.1	5.7	2.4
Compensation rate[3]	1.8	1.3	4.6	4.1	2.1	2.8	5.2	2.6
Unit labour costs	**–2.7**	**–5.4**	**–2.6**	**2.6**	**–0.1**	**–1.0**	**2.3**	**3.0**
Consumer prices	**2.6**	**2.2**	**1.1**	**1.0**	**0.6**	**1.2**	**1.4**	**1.2**
At year end[4]	2.1	1.5	1.6	0.3	1.0	1.9	0.8	2.0
Contribution from:								
Labour cost and profit margins	–2	0	0	½	–¼	½	¾	½
Import prices	3½	2	½	0	½	½	–½	1¼
Housing costs	–½	–¾	0	0	–¼	¾	½	¼
Indirect taxes	1¼	¼	1	¾	½	¼	0	0
Food prices	0	0	0	–1¼	0	0	0	0

1. Annual average of quarterly data.
2. Total wage and salary earnings index, break in series in 1995.
3. Private sector, national accounts data.
4. Rates of change from December to December.

Source: Statistics Finland, Ministry of Finance and Bank of Finland.

Figure 10. **Prices and labour costs**

Year-on-year percentage change



1. Total cost for industry and services (excluding public administration). Nominal value. Four quarter moving average.

Source: Statistics Finland and Eurostat.

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increased by 1.6 per cent in the twelve months to May 2000, compared with 1.1 per cent in January 1999 and 0.8 per cent in September 1999. A strong rise in housing rents contributed to the pick-up in core inflation. In general, price rises have been steeper for services, but communication service prices have been falling, prompted by technological developments and strong competition. Since April 1999, Finnish consumer price inflation is above the euro area rate (Figure 10) and the difference has widened. In May 2000, inflation was 0.8 percentage point above the euro area average, and the fourth highest after Ireland, Luxembourg and Spain. Excluding energy, inflation was 0.6 percentage point above the euro area average.

Wages rise in consecutive 2000 *wage agreements*

In 1999, wage inflation – as measured by the wage and salary earnings index – receded somewhat, as has usually occurred in Finland in the second year of two-year wage settlements (Table 4). Wage drift is estimated to have added 0.8 per cent to the total compensation rate, unchanged from 1998 and remarkably low in the light of increasing labour market bottlenecks in some sectors and regions. Wage inflation was even smaller on a national accounts basis – 2.6 per cent in 1999 – and showed a substantially larger deceleration. One reason for this may be the strong job creation in low-productivity sectors, mostly occupied by 15-24 year olds, lowering average wage gains on a national accounts basis.[14] The numbers are nevertheless somewhat puzzling as, at the same time, the rise in executed job-related share options increased the wage sum by FIM 3 billion (1¼ percentage points). Unit labour costs, nevertheless, picked up somewhat as the more subdued wage rises were more than offset by the poor productivity performance. As a consequence, unit labour costs rose by more than the euro area average for the second consecutive year and profitability dropped somewhat, though remained at a very high level.

Wage negotiations were held this year at the branch level due to insufficient support within the Confederation of Trade Unions (SAK) for a central wage round. Traditionally, agreements reached at the branch level have led to somewhat higher wage rises than central settlements. In January, agreements for the metal industry and the construction sector were struck with rather moderate contract wage increases of 3.1 per cent, setting the benchmark for the other negotiations. As a result, for 90 per cent of employees, the wage round resulted in a contract wage increase of 3.1 per cent, safeguarding the strong competitive position of the Finnish business sector. However, later on, negotiations led to higher contract wage rises for the chemical sector (4.1 per cent), the transport sector (4.9 per cent) and the paper industry (3.8 per cent). In an economy with the second highest unionisation rate of the OECD (80 per cent) and some rivalry between unions, there is a major risk that this will lead to pressures in 2001 by the trade unions in the "3.1 per cent" industries to catch-up.

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Compared with centralised negotiations, decentralised wage negotiations can have advantages as productivity differences can show up in wage developments, thus improving the allocation of labour and strengthening incentives to increase skills. It is, however, difficult to justify the dispersion in earnings gains between branches in the current round on the basis of productivity differences or relative scarcity. The market power of strong unions appears to be a better explanation.

Easy monetary conditions

With the substantial depreciation of the euro and the monetary policy easing up to November 1999 reflecting the weak economic development in the euro area as a whole, monetary conditions were very loose for Finland in 1999 (Panel C of Figure 11). They continue to be so in 2000 despite the ECB's policy rate hikes between November 1999 and June 2000 of 150 basis points and the expected further rise in the months to come.

The easy monetary conditions have contributed to buoyant credit growth. Lending of Finnish banks to Finnish residents increased 10.2 per cent in 1999, down from 11.9 per cent in 1998 but still stronger than the growth of bank lending in the euro area.[15] Credit growth was also boosted by strong merger and acquisition activities. Bank lending decelerated somewhat further in the first months of 2000, rising by 9.0 per cent in the twelve months to March. The Financial Supervision Authority (FSA) has expressed its concerns about the rapid credit growth and has urged banks to pay due attention to the long-term credit risks. In its view, the current interest rate margins will probably not generate enough income to cover growing loan losses in the longer term (Bank of Finland, 1999). Margin buying (share acquisitions financed by credit) by households has probably increased somewhat recently, but remains relatively limited. Concerning residential investment, the steep increase in mortgages seems mainly demand-driven.

Fiscal policy: are the medium-term objectives ambitious enough?

The new government that was formed after the March 1999 general elections set out three fiscal policy targets in its programme:

- Central government total spending should be kept constant in volume terms over the government's term in office.[16]
- The central government budget should move towards a structural surplus.
- The central government debt should fall below 50 per cent of GDP, from 61 per cent in 1998.

Furthermore, the government announced tax cuts of FIM 10-11 billion (1½ per cent of GDP) through 2003, with the timing influenced by the cyclical position of the economy. Given the need to bring alcohol prices more in line with the rest of the European Union when the current derogation from free alcohol trade ends, it announced a reduction of FIM 5 billion in excise taxes in 2003, to be partly

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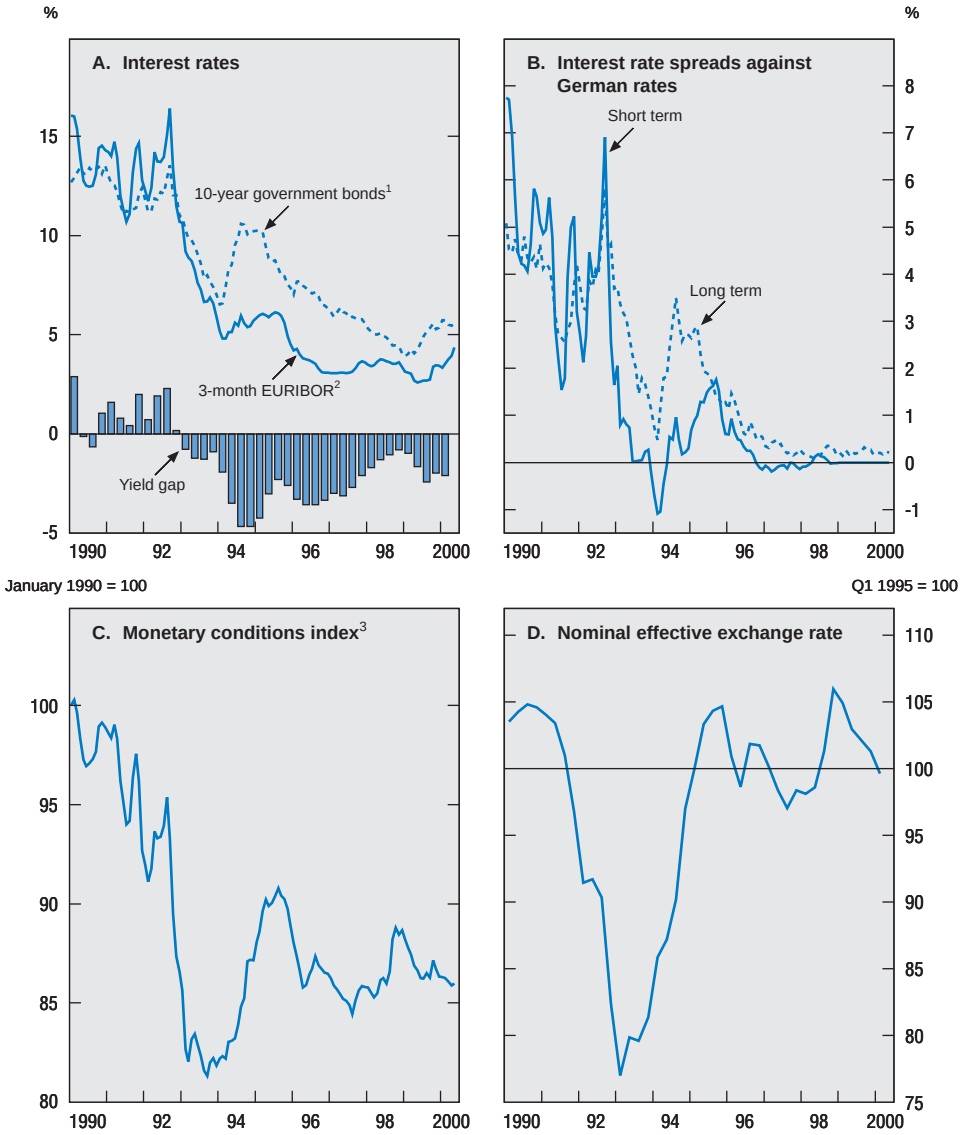
Figure 11. **Interest and exchange rate developments**



1. Ten-year government bond rate from January 1993 onwards, five-year rate for earlier period.
2. HELIBOR prior to January 1999.
3. Weighted average of changes in the three-month money market rate and the effective exchange rate. An effective appreciation of 2.5 per cent has the same impact on the index as a 1 percentage point increase in the short-term interest rate.

Source: Bank of Finland and OECD, *Main Economic Indicators.*

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offset by higher environmental and energy taxes. Unlike in many other European Union countries, the government does not intend to lower value added tax (VAT) rates for labour-intensive services.

These targets are not very ambitious, especially after the upward revision in economic prospects and the sizeable privatisation proceeds in 1999 and the first half of 2000, and are unlikely to lead to sufficient fiscal policy restraint. This year already, the central government budget is likely to show a surplus, albeit a small one, while the central government debt is likewise set to fall below the target already in 2001, even if no further privatisations occur. Given falling unemployment outlays and interest payments, the total spending target provides substantial room for an increase in other government outlays. An adjustment to the fiscal policy framework should therefore be contemplated. The favourable budgetary development could be used to bring the tax burden further down than the planned FIM 10-11 billion, although this raises the question of whether this is advisable in current circumstances given the risk of overheating.

The 1999 budget outcome

General government outlays increased moderately in 1999, by 2 per cent, causing the expenditure ratio to fall by 1.3 percentage points to 47.1 per cent of GDP, 12 percentage points below the peak in 1993 (Table 5).[17] Within the

Table 5. **Public finances**
Per cent of GDP

	1992	1993	1994	1995	1996	1997	1998	1999
Expenditure	57.7	59.1	57.5	54.3	54.0	51.3	48.4	47.1
Revenue	52.0	51.8	51.8	50.6	50.9	49.8	49.7	49.4
Tax[1]	46.3	45.6	47.6	45.9	46.6	46.0	46.0	45.8
Other revenue[2]	5.7	6.2	4.1	4.7	4.2	3.9	3.7	3.6
Net lending	–5.6	–7.3	–5.7	–3.7	–3.2	–1.5	1.3	2.3
of which:								
Central government	–8.1	–10.6	–10.8	–8.7	–7.2	–3.7	–1.5	–0.6
Local government	–0.1	0.5	1.3	1.2	0.8	–0.7	–0.3	–0.2
Social security funds	2.6	2.8	3.8	3.8	3.3	2.8	3.1	3.1
Gross debt[3]	40.7	56.0	58.0	57.2	57.1	54.1	49.0	47.1
of which: Central government	34.0	51.9	58.9	63.6	67.5	65.8	61.2	57.2
Government bond yield (%)[4]	. .	8.8	9.1	8.8	7.1	6.0	4.8	4.7

1. Including social security contributions.
2. Property income and transfers received other than social security contributions.
3. EMU definition.
4. Ten-year government bond rate.

Source: Statistics Finland; Bank of Finland and OECD Secretariat.

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government sector, local government consumption expenditure increased most. Although the shift to the ESA95 system of national accounts hampers the comparison of the outcomes for 1999 with the original budget proposals, it is nevertheless clear that, as in the previous years, central government budgetary discipline was high and spending overruns were negligible (Table 6).[18]

Tax cuts prompted a slight drop in general government revenues, of 0.3 percentage point to 49.5 per cent of GDP (Table 5), 2.5 percentage points below the 1992 peak. All marginal central government income tax rates except the highest one were lowered by 0.5 percentage point, while the earned income deduction in local government income taxes and the standard deduction for

Table 6. **Budgetary plans and outcomes**

Billion FIM, national accounts basis[1]

	Outcome			1999		2000	
	1996	1997	1998	Budget[2]	Preliminary results	Budget[2]	Revised[3]
Central government							
Revenue	144.0	160.9	175.7	183.4	179.4	196.4	199.8
Expenditure[4]	186.2	184.2	185.8	189.5	183.8	191.1	187.8
Balance	–42.2	–23.3	–10.1	–6.1	–4.4	5.3	12.0
% *of* GDP	–7.2	–3.7	–1.5	–0.9	–0.6	0.7	1.6
Net financing requirement (–)[5]	–36.8	–13.4	–0.4	–1.9	19.2	6.6	18.5
Local government							
Revenue	102.6	99.6	104.4	106.8	106.8	112.7	113.9
Expenditure[4]	98.1	103.9	106.7	106.1	108.5	110.2	112.6
Balance	4.5	–4.3	–2.3	0.7	–1.7	2.6	1.2
% *of* GDP	0.8	–0.7	–0.3	0.1	–0.2	0.3	0.2
Social security							
Revenue	138.2	138.3	141.7	145.0	143.9	150.4	147.2
Expenditure[4]	119.0	120.3	120.6	121.4	121.6	122.7	123.4
Balance	19.2	18.0	21.1	23.6	22.3	27.8	23.8
% *of* GDP	3.3	2.8	3.1	3.3	3.1	3.6	3.1
General government balance	–18.5	–9.6	8.7	18.2	16.2	35.7	37.1
% *of* GDP	–3.2	–1.5	1.3	2.5	2.3	4.7	4.8
Underlying projections, %:							
Real GDP growth	4.0	6.3	5.0	4.0	3.5	4.2	5.2
Unemployment rate	14.6	12.7	11.4	9.0	10.2	9.3	9.5

1. The budget numbers are not fully comparable with outcomes, preliminary results and revised budget numbers as the latter are based on the revised ESA95 national accounts.
2. September of preceding year.
3. June 2000.
4. Including consumption of fixed capital, capital formation and net capital transfers.
5. On a cash basis.

Source: Ministry of Finance.

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work-related expenses were raised.[19] The drop in the tax ratio was limited by the strong rise of tax revenues on capital gains from stock options.[20] Within the government sector, central government revenues increased the most due to the strong increase in the indirect tax revenues.

With the expenditure ratio substantially down and the overall tax rate only marginally lower, the government budget balance improved further (Table 5). The general government budget balance, positive in 1998 for the first time since 1990, increased by 1 percentage point to 2.3 per cent of GDP in 1999, the highest surplus in the euro area after Luxembourg (2.4 per cent). The improvement was mainly in the central government budget, where the deficit virtually disappeared,[21] while the surplus for the social security sector remained hefty due to the surpluses of the pension funds, and the local government sector remained in small deficit. Within the local government sector, there are major differences and substantial budgetary problems exist in rural areas losing population and employment.[22] The fiscal stance, as indicated by the Secretariat's cyclically-adjusted primary balance, was clearly tightening. However, the restraint was not strong enough to have a clear impact on growth.[23]

The budget surplus and the large privatisation proceeds of FIM 20 billion led to a drop in the gross government debt ratio to 47.1 per cent of GDP (Table 5), the lowest ratio in the euro area after Luxembourg. The assets of the earnings-related pension funds included in the general government sector stood at FIM 374 billion at the end of 1999 (52 per cent of GDP), an increase of FIM 69 billion compared with 1998, with the impact of the asset price boom (FIM 48 billion) more than twice as big as that of the financial surplus (FIM 21 billion).

The 2000 *budget*

The draft central government budget for 2000 was adopted almost unchanged by Parliament in late 1999. Already in February 2000 the upward revision to the economic prospects led to the expectation of higher tax revenues; in June the prospects were again revised upwards (Table 6). As in previous years, expenditure is projected to increase moderately in nominal terms and to drop as a ratio of GDP, by 2.1 percentage points. One measure leading to additional expenditure is the introduction of free pre-school education for six year olds in August 2000, but with only marginal budgetary consequences in 2000.[24] The central government budget contains measures of FIM 1 billion to improve the local government financial position. The income tax cut of around FIM 1.5 billion, will be partly offset by the increase in the corporate and capital income tax rate by 1 percentage point to 29 per cent.[25] Even after the rate hike, capital taxation will remain low in international comparison. Effective from June, all income tax rates have been lowered by 0.5 percentage point while, as in previous years, the

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earned-income deduction in the municipal income tax and the maximum standard deduction for work-related expenses are increased to improve work incentives of lower paid workers. Unemployment insurance contributions were lowered by 0.35 percentage point for employees and 0.4 percentage point for employers.[26] Despite the tax cut, the tax burden is expected to increase slightly, by 0.3 percentage point, as the combination of favourable economic developments and the progressivity of the tax system will push up revenues. The general government budget surplus is officially projected to increase by 2.5 percentage points to 4.8 per cent of GDP, with a surplus of 1.6 percentage points foreseen for the central government, the first since the 1980s. The so-called EMU-buffers in the unemployment insurance scheme and in the earnings-related pension scheme are likely to reach their maximum level already this year, leading, on the basis of the current rules, to lower contribution rates in 2001.[27] The OECD Secretariat fiscal stance estimates indicate that fiscal policy will remain restrictive in 2000.

The 2001 *budget deliberations*

In March, the government set expenditure guidelines for 2001-04. The central government expenditure ceiling for 2001 was set at FIM 193.8 billion in 2000 prices, 0.1 per cent above the projected 2000 level. A drop of the central government surplus of 0.2 percentage point to 1.4 per cent of GDP is officially projected (Ministry of Finance, 2000). In the explanatory note to the guidelines, the government stressed that "signs of overheating are becoming alarmingly widespread" but acknowledged that under the new expenditure framework fiscal policy is slightly less restrictive in 2001 than in 2000 (Ministry of Finance, 2000*b*).

Short-term outlook

The short-term growth prospects are favourable and the economy already started in the second half of 1999 to bounce back to a high growth trajectory (Table 7). In 2000-01, exports should benefit from strong international demand, while private consumption will be boosted by strong employment growth, a robust rise in real disposable income, solid wealth positions and brimming consumer confidence (Figure 12). Moreover, exports will continue to be buoyed by the positive supply and demand influences coming from the electronic equipment industry, only marginally offset in 2001 by some deterioration in price competitiveness.[28] At the same time, strong consumption and export growth will spur business investment. As a result, real GDP is projected to increase by 5½ per cent in 2000, falling back slightly to close to 5 per cent in 2001, still exceeding most estimates of potential output growth.[29] The slight deceleration in 2001 is mainly due to lack of spare capacity in the paper industry and shortages of skilled workers in the electronic equipment industry. Nevertheless, output growth will

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Table 7. **Short-term projections**
Percentage changes, volume

	1996 Current prices, billion FIM	1997	1998	1999	2000	2001
Private consumption	308.5	3.5	4.6	2.9	3.4	3.3
Government consumption	135.6	4.1	1.5	0.3	0.5	0.6
Gross fixed capital formation	99.7	11.9	7.8	4.8	6.6	6.2
Public sector	16.9	15.0	–0.4	–6.3	0.5	0.8
Private sector	82.8	11.3	9.6	7.0	7.7	7.1
Residential	19.6	21.5	7.4	10.7	8.3	7.1
Non-residential	63.2	8.1	10.4	5.7	7.4	7.0
Final domestic demand	543.9	5.2	4.5	2.7	3.4	3.3
Stockbuilding[1]	–1.5	0.7	0.8	–0.7	0.0	–0.1
Total domestic demand	542.3	6.0	5.4	1.9	3.4	3.1
Exports of goods and services	219.9	14.1	9.3	7.4	9.9	8.7
Imports of goods and services	175.6	11.3	8.5	3.4	6.2	5.8
Foreign balance[1]	44.3	2.0	1.1	2.0	2.4	2.1
Statistical discrepancy[1]	–0.8	–1.1	–1.0	–0.2	0.0	0.0
GDP	585.9	6.3	5.0	3.5	5.4	4.8
GDP *of the euro area*	. .	2.3	2.7	2.3	3.5	3.3
Employment	2 127.3[2]	2.0	2.4	3.3	2.3	1.8
Unemployment rate (%)	14.6	12.7	11.4	10.2	9.2	8.5
Output gap (%)[3]	–4.2	–1.2	0.3	–0.1	1.3	2.2
Household saving ratio[4]	2.0	4.4	3.9	4.6	3.8	3.6
Private consumption deflator	. .	1.3	2.1	2.1	2.6	2.5
GDP deflator	. .	2.1	2.9	1.0	2.4	2.6
Private sector wage rate	. .	4.1	5.7	2.4	4.6	5.2
Current account (% of GDP)	. .	5.5	5.6	5.2	6.5	7.7
Interest rates (%)						
Short-term	. .	3.2	3.6	3.0	4.3	5.1
Long-term	. .	6.0	4.8	4.7	6.0	6.3

1. Contribution to GDP growth.
2. Thousand persons.
3. Deviations of actual GDP from potential GDP as a percentage of potential GDP.
4. Per cent of disposable income.

Source: Statistics Finland and OECD, *Economic Outlook*, No. 67.

continue to exceed that in the euro area by a wide margin and the projections imply that the arrears in output growth since 1990, caused by the deep recession in the early 1990s, will have been fully recovered in 2001 (Figure 13).

Despite the gradual monetary tightening by the ECB, monetary conditions are likely to remain very easy in the light of the strong cyclical situation. As a consequence of the strong growth performance, the output gap is estimated to be

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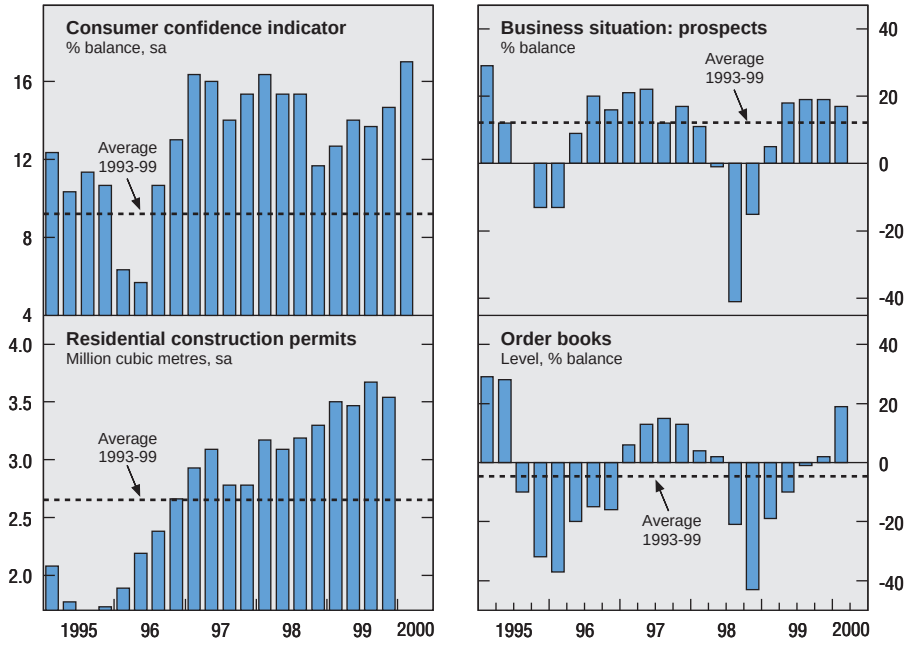
Figure 12. **Leading indicators**



Source: OECD, *Main Economic Indicators*.

sizeable at the end of the projection period, indicating a high level of excess demand, surpassed only by Ireland and the Netherlands in the euro area. Due to the diverging output growth in the 1990s, capacity constraints are substantially stronger for the export sector than for the domestic sector.

Strong output gains should be accompanied by substantial job creation, although probably somewhat less so than in 1999 as productivity growth is likely to rebound. The unemployment rate is therefore projected to drop further, to 8.5 per cent in 2001 and labour shortages, already encountered in some regions and sectors, are likely to intensify. This will probably lead to an acceleration in wage inflation in 2001. On average, contract wage rises in 2000 are still rather moderate, but wage drift could increase somewhat due to tight labour market conditions, and wage inflation is likely to accelerate in 2001 under the impact of catch-up effects. Unit labour cost increases could be somewhat smaller, with higher wage rises than in 1999 more than offset by a better productivity performance. Nevertheless, consumer price inflation is projected to rise in 2000, mainly because of

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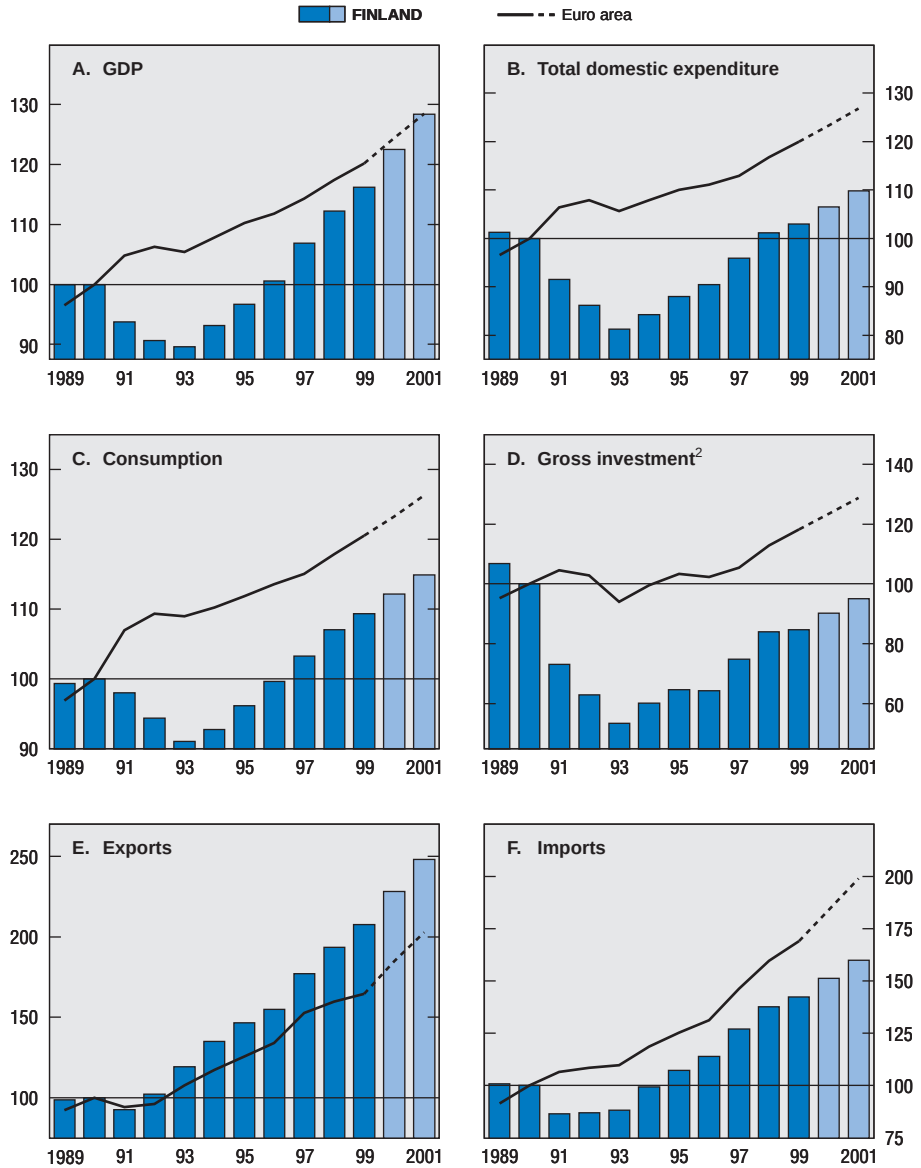
Figure 13. **GDP and expenditures**[1]
Volume, 1990 = 100



1. Data for 1999 are provisional, 2000-01 are OECD Secretariat projections.
2. Including stockbuilding.

Source: Statistics Finland and OECD, *Economic Outlook*, No. 67.

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the higher oil price. Higher health care charges, rent increases and increasing profit margins prompted by high capacity utilisation will also contribute to the pick-up in inflation.

The favourable economic development and the tightening fiscal stance will induce a further rise in the general government surplus, to 5 per cent of GDP in 2001. As a share of GDP, expenditures are projected to fall further while revenues will be broadly constant despite the tax cut in June 2000 and the further tax cut in 2001 (on the basis of the Government Programme assumed at around FIM 3 billion). The projected government surplus of 5 per cent of GDP is outstanding. However, if, as in the private sector, accrual accounting were to be applied, taking fully into account the increase in future pension and other obligations, the budget would probably still be in deficit.[30]

Risks more on the upside

The main domestic risk concerns labour market imbalances. Given that labour demand and supply imbalances have to be somehow resolved, rising labour market shortages seem likely to push up wages substantially at some stage. Wages could therefore accelerate by more than projected. This would boost domestic demand and output in the short term, but would have strong negative effects in the longer run as competitiveness deteriorates. However, there is not only this upward risk but also a downward risk, albeit a smaller one. It cannot be excluded that additional labour market reform measures and tax cuts within the framework of a central wage agreement in 2001 would lead to lower tensions than projected. Stronger output and price developments than projected may not only be caused by labour market tensions but also by easy monetary conditions leading to strong credit growth stimulating consumption and investment. Finally, there is uncertainty about the wealth effects on private consumption. Concerning the stock market, recent volatility suggests that the wealth effect could go either way, while for house prices the likelihood is distinctly more on the upside.

Over the medium-term, growth may be somewhat stronger than the 2.6 per cent per year assumed in the Finnish Stability Programme for 2002 and 2003. This Programme is based on rather cautious growth assumptions and certainly does not embody any contribution from "new economy" factors. Until now, the strong productivity performance has to a major extent been a cyclical recovery from the deep recession. Stronger productivity performance, as witnessed in the United States in recent years, may well occur in coming years in Finland, given the rapid introduction of new technologies, but it is difficult to predict the size of any prospective improvement. Moreover, the impact of such an acceleration on output growth will be partly offset by the drop in the working-age population.

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The policy challenges in the current conjunctural situation

At the current juncture, the main economic policy challenge is to prevent overheating, followed by a bust phase, and to strengthen the supply side of the economy to sustain high output growth in the longer term. Preventing overheating by fiscal policy in an open economy like Finland is not an easy task. Simulations with the Secretariat's INTERLINK model indicate that a substantial budgetary tightening is needed to influence demand and output because of the high import penetration ratio and that it will dampen wage and price inflation only with a lag. Due to import leakage and despite domestic multipliers, the planned income tax cuts would need to be reduced by more than 1 percentage point of GDP – or government expenditures would need to be cut by a similar amount – to reduce annual GDP growth by 0.5 percentage point over a two-year period. This would still leave the economy growing above potential. At a minimum, given the current conjuncture, lower social security outlays and interest payments due to more favourable prospects than originally expected should not lead to higher government outlays elsewhere, although the total outlay ceiling of the Government Programme would allow this. Such restraint should be supplemented by structural reforms with an immediate impact on labour supply, such as a sizeable reduction in incentives to retire early.

If the external environment remains favourable, the planned tax cuts may have to be postponed for the rest of this government's period in office to prevent overheating. But this would entail a most unfortunate delay to a much-needed improvement of supply-side conditions. Alternatively, tightening through additional spending restraint would not have such supply-side drawbacks – they could even strengthen the supply side, for instance if certain budget programmes were to be made more selective. These would also allow a larger income tax cut than planned to enhance potential output growth and to lower the structural rate of unemployment. The room for income tax cuts could be increased further by a phasing out of mortgage interest relief and an increase in real estate taxes, which are low in international comparison; such measures could at the same time help to cool off the housing market. Apart from the supply-side argument, there is also a political economy consideration in favour of using the favourable economic situation for bigger tax cuts: a tax cut reduces the risk that a large government surplus would undermine budget discipline. If, however, priority were given to dampening the cycle by tax measures, it would be preferable to refrain from lowering the pension contribution rate rather than postponing the income tax cut.[31] Pursuing these policy options would have two advantages: it would mean increased funding, which would somewhat reduce the financial burden associated with ageing in later years, and it would avoid the build-up of an extraordinarily high central government surplus that could undermine the central government's budgetary discipline.

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II. Structural reforms could boost performance further

Finland has achieved rapid output, productivity and employment growth in recent years. The employment rate reached 66½ per cent in 1999, up by 6 percentage points from the nadir in 1994, but still considerably below the 75 per cent zenith reached in 1989 (Figure 14 and Table 8). The government has set an employment rate target of close to 70 per cent by 2003. The unemployment rate has declined impressively, from 18 per cent in early 1994 to close to 10 per cent in early 2000, but is still more than double the rate of the best performing countries in the European Union. Moreover, labour market bottlenecks have already surfaced and wage inflation is rising. The uncertainties surrounding estimates of the Finnish NAWRU, the non-accelerating wage rate of unemployment, are considerable, and even larger than is typically the case for similar estimates of other OECD countries. The range of available estimates is thus, wide; for the current year from 10 per cent down to 6 per cent with most estimates around 8 per cent (Nickell, 1999 and Pohjola, 1999). On the Secretariat's estimate, the actual unemployment rate is already slightly below the NAWRU. The present combination of high unemployment and high levels of unfilled vacancies also suggests that unemployment is already close to its structural rate or that there are limits to the speed with which unemployment can be brought down (Figure 15).

Additional labour and product market reforms will be necessary to prolong the current phase of strong non-inflationary growth, even though they may reduce labour productivity growth for some time as they could draw large numbers of less-productive workers into the labour market. GDP per capita is largely a function of labour input and productivity. The labour productivity level, for the total economy as well as for the business sector, is still considerably below that of the best-performing OECD countries, despite the extremely strong rise in the productivity of the electronic equipment industry in recent years (Figure 4). In 1998, productivity per hour worked was 11 per cent below the euro area average, and 18 per cent below that of the United States (OECD, 2000 and Scarpetta *et al.*, 2000). Nevertheless, due to the greater number of hours worked and a higher participation rate, GDP per capita is equal to that in the euro area. However, it is a third

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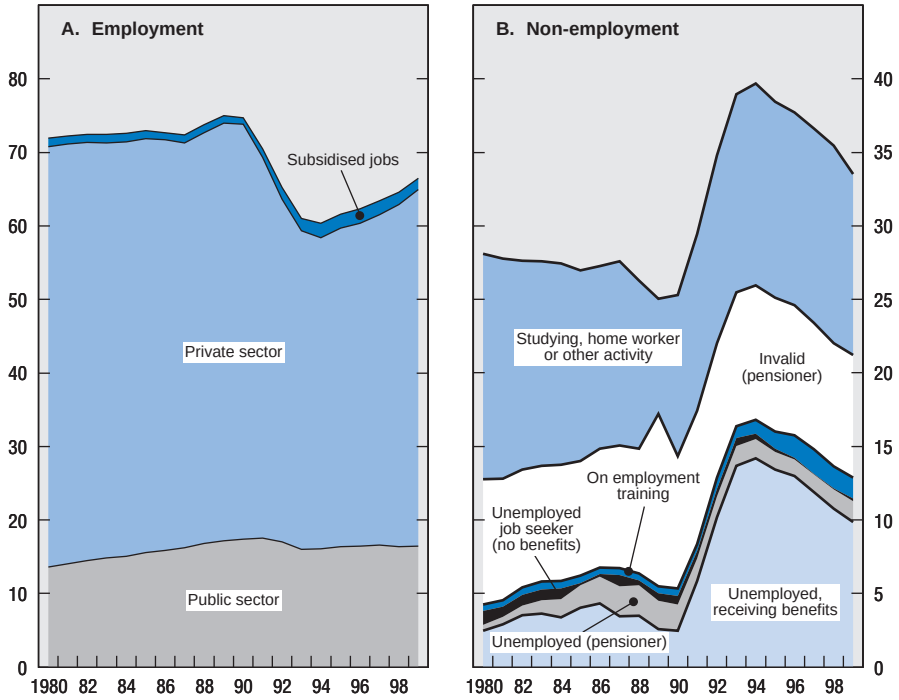
Figure 14. **Structure of the working-age population**
Per cent of population aged 15-64



Source: Ministry of Labour, Statistics Finland and OECD Secretariat.

lower than in the United States and 10 per cent below that of the five best-performing countries of the European Union.

Substantial reforms were implemented in the 1990s improving the conditions for sustained high non-inflationary growth. The labour market conditions improved due to reforms of the social security system, while product and financial markets were strengthened by deregulation. Concerning the telecommunication and electricity markets, liberalisation was faster and went further than in most other OECD countries. Furthermore, measures were taken to improve efficiency in the public sector. This chapter focuses on ways living standards could be increased further by reform initiatives raising productivity and labour utilisation.

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Table 8. **Labour market indicators**

	Units	1990	1993	1998	1999
Employment					
Employment rate[1]					
Total	%	74.7	61.0	64.6	66.5
Men	%	77.5	62.1	67.5	69.1
Women	%	71.9	60.0	61.6	63.8
Total by age group:					
55-59	%	60.1	51.0	39.9	43.5
60-64	%	25.0	18.8	16.9	18.7
Subsidised employment	Thousand	31	57	57	52
Rate	% of labour force	1.2	2.3	2.3	2.0
Unemployment					
Total (labour force survey)	Thousand	82	405	285	261
Unemployment rate					
Total	% of labour force	3.2	16.5	11.4	10.2
Men	% of labour force	3.6	18.1	10.9	9.8
Women	% of labour force	2.7	14.4	12.0	10.7
Long-term unemployment[2, 3]	Thousand	3	86	113	98
Rate	% of labour force	0.1	3.5	4.5	3.9
Rate	% of registered unemployed	2.9	17.8	30.2	28.2
Youth unemployment (age 15-24)[2]	Thousand	22	98	47	44
Rate	% of youth labour force	5.8	34.2	15.7	13.6
Rate	% of total youth	3.4	15.4	7.2	6.7
Unemployment (age 55-59)[2]	Thousand	8	33	57	54
Rate	% of labour force	3.2	17.3	15.4	11.5
Average unemployment duration	Weeks	15	30	52	52
Pensions and invalidity					
Recipients of:					
Old-age pensions	% of working-age population	19.7	20.4	21.8	. .
Unemployment pensions	% of population of age 60-64	23.3	18.2	18.3	18.8
Invalidity pensions	% of working-age population	8.1	8.1	7.4	. .
Training					
Persons on employment training	Thousand	17	27	41	38
Rate	% of labour force	0.7	1.1	1.7	1.5
Flexibility indicators					
Fixed-term jobs	% of total	. .	. .	23.2	22.4
Part-time jobs	% of total	9.5	11.4	11.4	12.1

1. Employment as a per cent of population of working age (15-64 years old). The definition of the employment rate is slightly different to that used in Table 3 and by the Finnish authorities.
2. Registered unemployed (*i.e.* unemployed job seekers).
3. Persons who have been unemployed for over a year.

Source: Ministry of Labour, *Finnish Labour Review* and Statistics Finland, *Bulletin of Statistics*.

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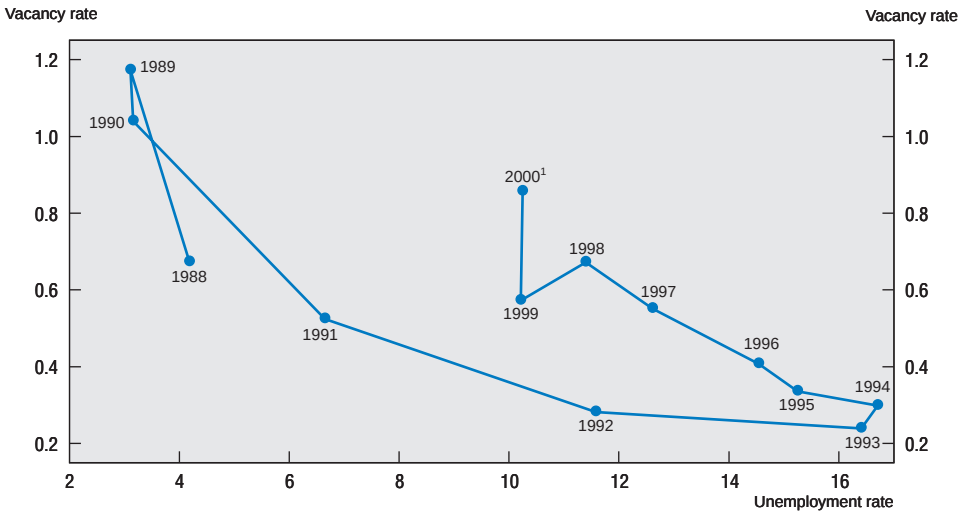
Figure 15. **Labour market mismatch**
Per cent



1. Average of monthly data available.
Source: Statistics Finland and OECD Secretariat.

Labour market performance can be improved by lowering taxes…

The current high unemployment partly reflects the extraordinary character of the 1990-93 slump, by far the deepest post-war recession in the OECD area, the late start of labour market reforms and the time it takes before such reforms improve performance. However, it also reveals that there are still substantial obstacles to the proper functioning of the labour market such as:

– Strong incentives to retire early (analysed in detail in Chapter III).

– Disincentives to raise work effort due to high payroll taxes.

– Disincentives to search for work stemming from the social security system.

The current large tax wedges and high replacement ratios weaken work incentives and could prevent unemployment from falling much further in the near future. Work has become more rewarding as a result of tax cuts in recent years, but the Finnish average and marginal tax rates on labour income remain among the highest in the OECD (Figure 16).[32] In 1999, based on preliminary data, only four OECD countries had a higher "all in" average tax rate for the average worker than Finland, while the marginal tax rate was higher in only two countries. Both low and high-income earners are affected by high marginal tax rates. For low-paid workers,

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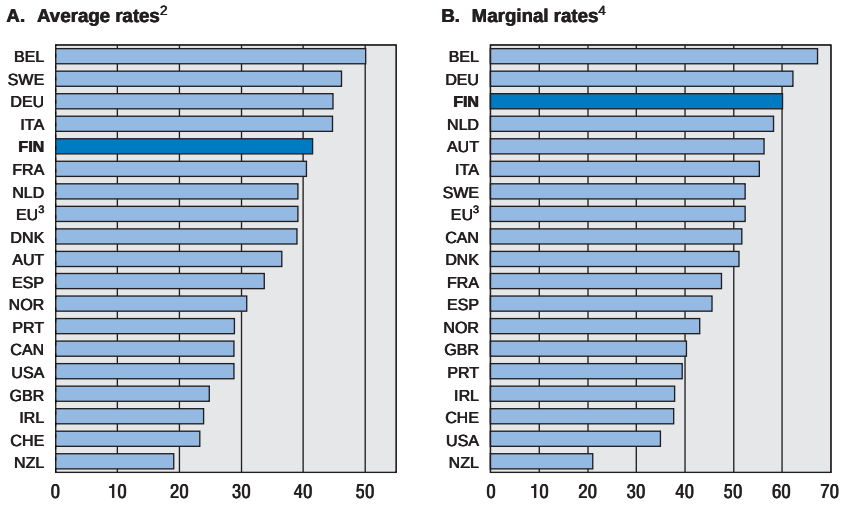
Figure 16. **Tax rates in Finland and other OECD countries**
In 1999 for a married couple with two children,[1] per cent



1. Where the principal earner makes 100% and the spouse 67% of the income of an average production worker.
2. Income tax plus employee and employer contributions less cash benefits.
3. Weighted average.
4. Income tax plus employee and employer contributions. Assumes a rise in gross earnings of the principal earner in the household.

Source: OECD (1999), *Taxing Wages 1998-1999.*

the marginal effective tax rates are extremely high due to means-tested social benefits such as the housing allowance, which create a large poverty trap (disincentives to raise work effort). At a wage level of two-thirds of the average pay, the marginal tax rate, at 56 per cent, is at the high end among the OECD countries (OECD, 1999*c*).[33] For high-paid workers, the marginal top tax rate of 60.2 per cent in 2000 is clearly a disincentive to increase working hours and to improve skills and competencies.

A substantial tax cut is probably necessary for a marked reduction in the NAWRU and recent empirical studies for Finland suggest that lowering the tax wedge by 4 to 5 percentage points would reduce the NAWRU by 1 percentage point (Pohjola, 1999; Holm *et al.*, 1999; Honkapohja *et al.*, 1999). However, the possibilities for offsetting substantial tax cuts on labour income through increases in other taxes are very limited. A sharp increase in the corporate and capital income tax is likely to reduce investment activity and to lead to capital outflows, while an

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increase in the VAT rate might not boost incentives much as it also falls on households. Finally, energy taxes are already relatively high in international comparison, while an increase in environmental taxes would not provide a substantial amount of additional revenues because of the small tax base. Therefore, improving work incentives by a substantial cut in the labour income tax would necessitate a vigorous restraint of government outlays.

... and by further reform of the unemployment benefit system

Labour market performance can also be enhanced by further reform of the social security system, especially the unemployment benefit scheme. In this respect, important steps were already taken in the 1990s (summarised in Annex I of the 1999 S*urvey*) and additional measures to increase the low effective retirement age were introduced in early 2000 (described in Box 6 in Chapter III). But other policy changes could be considered. Most importantly, to increase job search intensity, it might be desirable to have benefits declining during the unemployment benefit period. Currently, the benefit level is constant for the first 500 days of unemployment. Before 1989, benefits were lowered by 12½ per cent after 200 days, which provided a better incentive to take up work more rapidly.

For the unemployed, incentives to seek a job are lowered by the high replacement rates (the ratio of out-of-work and in-work income). Currently, the replacement rate in the initial period of unemployment, taking into account housing and other allowances, stands at 84 per cent for a couple with two children at the average wage level. This is among the highest in the OECD. With a replacement rate of 94 per cent, finding a job is even less rewarding for the unemployed whose expected wage level is two-thirds of the average.[34] For two-earner couples, net household income can even fall in some cases when a job is found (OECD, 1999*d*).

Welcome reform of employment offices and ALMPs

Proper counselling of the unemployed and effective active labour market programmes (ALMPs) are important to reduce unemployment and reach a high employment rate. The reform of the Public Employment Service (PES) in 1998-99 was therefore a step in the right direction and may have contributed to the slightly above average drop in long-term unemployment in 1999.[35] Job-search activity of benefit recipients is now stimulated by an entry interview, by compulsory half-yearly intensive interviews, by job-search training and by compulsory individual job-search plans.[36] To ensure the proper functioning of this more targeted approach, the number of job counsellors at employment offices has been increased substantially. The authorities have set the goals of a monthly PES contact and a half-yearly interview with every unemployed person, but these goals have not yet been met.[37] The introduction of the PES reform has been

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accompanied by tougher sanctions on inadequate job-search. The period during which benefits are suspended in case an unemployed person stops looking for a job or refuses to accept a suitable job or training was increased. Sanctions became somewhat stiffer in 1999 but job-search rules are still not fully applied.[38] This also holds for the rule that after three months of unemployment, persons have to accept work outside their own profession. Eligibility rules have been tightened further at the beginning of 2000, with an enlargement of the regions within which the job seeker has to accept a job offer or an ALMP measure.[39]

The composition of ALMPs has changed in recent years, with more emphasis on counselling and training of the unemployed, while the drop in unemployment has led to a lower number of programme participants. In 1999, 4 per cent of the labour force was on ALMPs, ¾ percentage point less than in 1997. There has been a shift from subsidised jobs in the public sector to training. In order to prevent long-term unemployment – one of the most important causes of social exclusion – a new start (training or a job subsidy) is offered to young unemployed during the first six months of unemployment, and to older workers during the first twelve months, with a compliance rate of 95 per cent for both groups in 1999.[40] The shift in ALMPs is partly the result of evaluations of existing programmes (Aho *et al.*, 1999; Hämäläinen, 1999). The evaluations suggest that subsidising employment in the public sector has not been effective and has even worsened the likelihood of finding a regular job. Vocational training, employment subsidies in the private sector and start-up grants have, however, a positive influence on finding a regular job. These evaluation results are in line with the findings elsewhere in the OECD (Martin, 2000).

Changes to employment protection legislation could stimulate job creation

Overall, the restrictiveness of Finnish employment protection legislation is close to the European average but far above that in some non-European countries (Figure 17). Rigid regulation of hiring and firing can hamper job creation, especially by small and medium-sized enterprises (SMEs) in periods of rapid economic change. For individual dismissal of regular staff, the notice period is rather short in Finland, there are no severance payments required by law, dismissals do not need to be directly related to the financial situation of the enterprise and compensation in case of unfair dismissal is relatively limited (OECD, 1999*e*). The employers' ability to dismiss is, however, somewhat restricted by procedural requirements, especially for collective dismissals.[41] For such dismissals, there are seniority-based selection procedures in most collective agreements but no severance payments are mandated. The rules on temporary lay-offs became stricter in 1999 due to the ruling of the labour tribunal that temporary lay-offs are only possible under "extremely exceptional circumstances".

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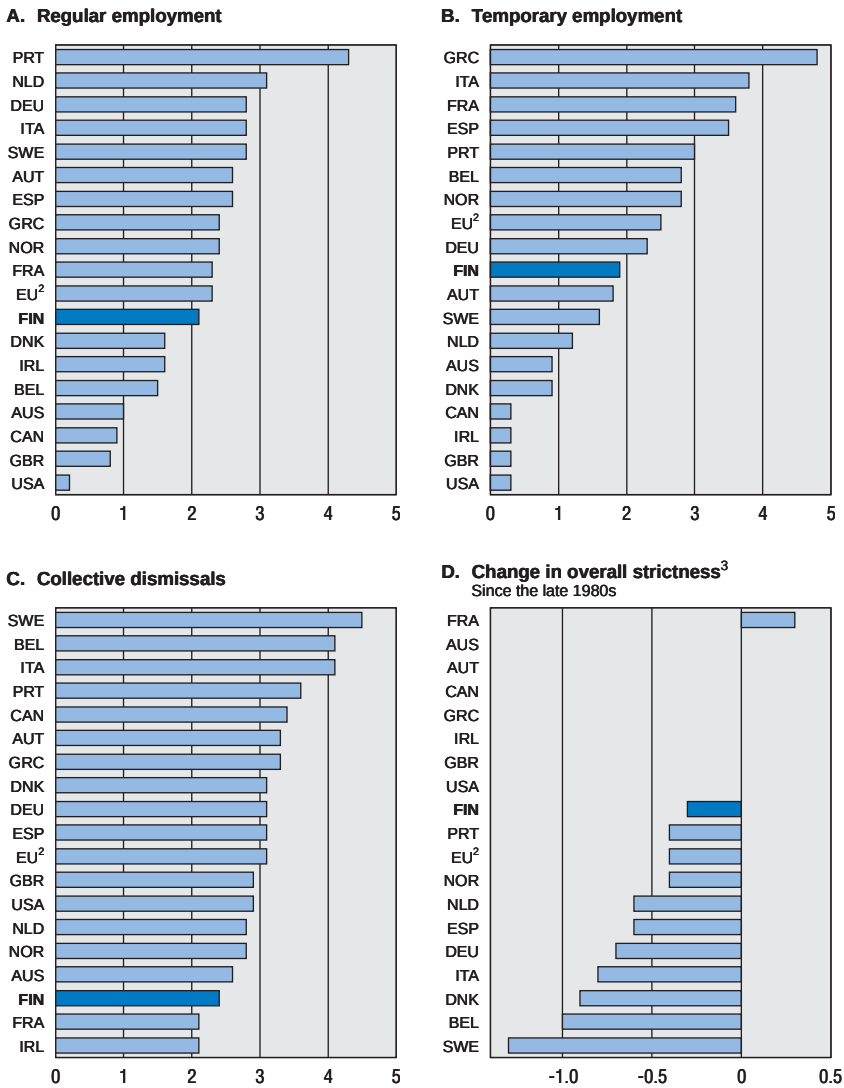
Figure 17. **Employment protection legislation**[1]
Late 1990s



1. Indicators of strictness of legislation. Scores can range from 0 to 6 with higher values representing stricter legislation.
2. Weighted average.
3. Average of indicators for regular and temporary contracts.

Source: OECD (1999), *Employment Outlook.*

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Hiring is facilitated by a trial period of four months and may be influenced by the priority that has to be given to rehire staff fired because of lack of work. On the other hand, the regulation of fixed-term contracts is quite strict, as circumstances that allow recourse to a temporary work contract are limited. A fixed-term contract can only be signed if the work is considered temporary or seasonal or if demand is not stable. Hiring-in of outside labour is restricted in collective wage agreements. In the paper industry, for instance, subcontracting can only occur if approved by the trade union. There are no restrictions on temporary work agencies and other private placement services since 1994 but placement is marginal – 13 000 employees in 1998 – because of the strict rules on fixed-term contracts.

The legislation has allowed a substantial rise in atypical jobs in recent years. Part-time jobs were 12.1 per cent of total jobs in 1999, compared with 9.5 per cent in 1990, while a fifth of the employees had fixed-term contracts in 1999. In February, following long consultations, a tripartite committee submitted a proposal concerning the reform of the 1970 Employment Contracts Act (Hietanen, 2000). The majority of the committee proposed to tighten the rules on fixed-term and part-time contracts, especially by introducing the obligation to offer additional work to part-time workers when hiring additional labour.[42] Furthermore, the committee proposed to bring staff from temporary work agencies under the collective agreement of the employing company.

Job creation is not only influenced by hiring and firing regulations but also by other labour market regulations, such as those concerning the flexibility of working hours. Options for greater flexibility were introduced by the 1996 changes to the Working Hours Act. Recently, several local agreements led to more flexible arrangements, for instance, via the annualisation of working hours (Hietanen, 1998).

Further product market reform would boost productivity and enhance consumer choice

Despite the strong restructuring in 1993 to 1995 and the phenomenal rise in the electronic equipment industry after 1995, total economy labour productivity still lags behind that of many OECD countries (Figure 18) while the overall price level excluding taxes exceeds the EU average by around 6 per cent (European Commission, 2000). In 1998, euro area productivity per hour worked was 11 per cent higher than in Finland while the gap with the five leading countries was 20 per cent or more (OECD, 2000; Scarpetta *et al.*, 2000). Below average productivity is not due only to the sizeable government sector as business sector productivity is also relatively low in Finland. Further product market reform could improve labour productivity and at the same time reduce prices and enhance consumer choice. Moreover, an effective competition policy is needed to enjoy the fruits of reform.

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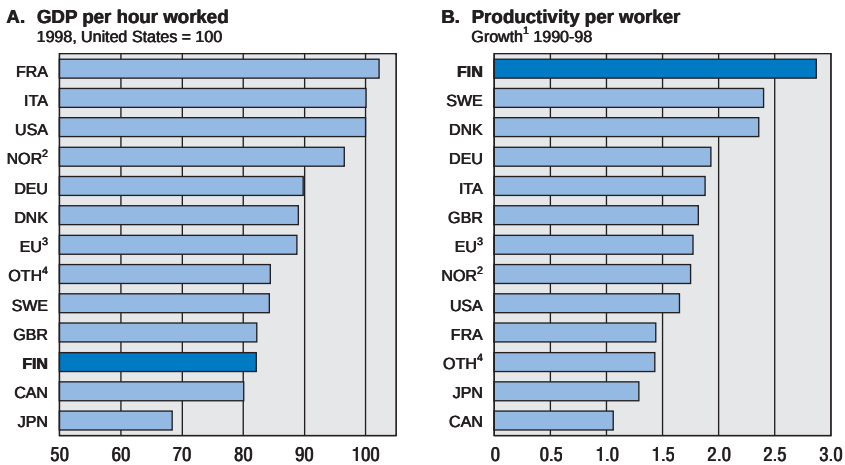
Figure 18. **Labour productivity in the OECD**



1. Percentage change at annual rate, trend series.
2. Mainland.
3. Weighted average.
4. Other Europe is the weighted average for the following countries: Austria, Belgium, Greece, Ireland, Luxembourg, Netherlands, Portugal, Spain and Switzerland.

Source: OECD Secretariat.

As in many other OECD countries, Finland has experienced far-reaching regulatory reforms in the past two decades (Box 1). Rising concerns about the net costs of regulation, technological developments and increasing scepticism about the ability of regulation to contribute to a high level of employment or industrial and regional policy goals led to a reduction in regulatory intensity and a greater reliance on market mechanisms. In the Finnish case, this liberalisation process was deepened and accelerated by the severe recession of the early nineties and EU membership. After entry, greater reliance on market mechanisms was positively influenced by the speedy implementation of EU directives.[43] The OECD International Regulation Database suggests that the Finnish regulatory environment was marginally more restrictive in 1998 than on average in the European Union and clearly less business friendly than in EU countries like the United Kingdom and Ireland, and non-EU countries such as Australia and the United States (Figure 19).[44] The overall regulation indicator is pushed up by the relatively high level of state control due to public ownership and by a heavy administrative burden. Privatisation since 1998, the base year of the OECD International Regulation Database, has reduced government involvement in Finland, as in many other

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Box 1. Finnish regulatory reform in the 1980s and 1990s

The liberalisation of the *telecommunication sector* started in the mid-1980s, relatively early compared with other OECD countries, and the market is now completely liberalised although incumbents still have dominant positions. Finland was one of the first countries allowing cable companies to offer voice telephone services and is rather unique in not regulating retail prices in local telecommunication services. The mobile phone market was competitive from the beginning, with licences granted without charge to all interested financially-sound companies. After the liberalisation of local, long distance and international calls in 1994, there have been several new entrants, but the partly state-owned Sonera, the former monopoly in international calls, still has a dominant position in the international call market with a market share of about 55 per cent. Moreover, in the local call market, the traditional 45 local telephone companies continue to have near monopolies. Local operators are obliged to hire out their fixed lines to other operators but network charges are set so high that competing companies have been unable to enter the market. The national competition authorities have started to examine this and two cases of abuse of dominant position by local telephone companies are pending at the Competition Council, while in March 2000, the European Commission initiated proceedings against Finland. It accuses Finland of shortcomings in local call competition, arguing that the current practice of free choice among telecommunication service providers in long distance and international calls (by dialling a short prefix) should be extended to local calls to enhance competition and bring charges for local calls down further.

Increased competition, especially in the international and long distance call market has led to a significant fall in call charges and has clearly had a positive impact on the quality of services and consumer choice in the telecommunication sector. For international calls, charges have dropped by around 70 per cent since 1994, while local call charges have declined by approximately 30 per cent over the same period. Finland has the highest mobile phone density in the OECD, with the penetration rate exceeding 60 per cent. Mobile phone services are among the cheapest in the OECD, even though the market share of the two major companies is 90 per cent. In data transfer services, which are important in particular for businesses, charges are among the lowest internationally. The Internet market is highly competitive with many service providers, although the market share of the three major Internet Service Provider (ISP) companies is over 80 per cent. Internet charges are the second lowest in the OECD area (OECD, 2000*b*).

The *electricity market* has been fully liberalised and has been integrated in the Nordic electricity market. Deregulation started in 1995. Since then, electricity users with power demand exceeding 500 kW can invite tenders from all electricity suppliers. In early 1997, this limit was abolished, but small users could not fully benefit from the system in the first phase as the acquisition of relatively expensive hourly consumption metering equipment was required. However, since September 1998 metering is no longer necessary and the freedom to choose the electricity supplier is now available to all customers. Although only 1 to 2 per cent of small users have changed their electricity supplier since 1998, electricity prices

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Box 1. **Finnish regulatory reform in the 1980s and 1990s** (*cont.*)

declined (from the already low level) by 10 to 20 per cent depending on the end-user group (Ministry of Finance, 1999). Concentration remains substantial, with a market share of the mainly state-owned Fortum of close to 40 per cent. The Finnish Competition Authority (FCA) aims at improving the competitive conditions in the electricity market. In 1999, it proposed to the Competition Council to impose a competition infringement fine on a major local energy company. Even though network services have not been subject to competition, due to the establishment of Fingrid in 1997 (the company responsible for the main grid transmission services), total transmission prices have fallen by 10 per cent. The IEA recently commended the Finnish authorities for its design of Fingrid (IEA, 1999).

For *postal services*, the general monopoly was abolished in 1994 but standard letters remain to some extent regulated. Other services, such as parcels, newspapers, express deliveries and courier services are, however, fully liberalised. A license can also be granted for a standard letter postal service but a fee has to be paid aimed at securing the provision of postal services in sparsely populated areas. This approach is different from that in telecommunication where the incumbent pays the costs of public services. A second license was granted in 1997 to Suomen Suoramainonta (Finnish Direct Marketing), but it has not started its operations yet due to the introduction of the fee and the state-owned Finland Post Group kept its monopoly. The charge, which can amount to up to 20 per cent of the total value of postal services in the area covered by the license, may act as a barrier to entry.

R*ailways* are still heavily regulated, although a liberalisation process has begun. Preparations have started to open up the Finnish railway network to competition, but there is no intention to privatise the state-owned railway company, VR Group, which has already separated passenger and freight traffic from rail maintenance. The Ministry of Transport and Communications proposed in Spring 1998 that the domestic freight traffic and local passenger services in the capital city area could be opened for competition. This means that half of the traffic currently managed by the VR Group as an exclusive right would be liberalised. The Finnish Competition Authority has argued for greater competition, however, by suggesting that in addition to domestic freight and capital area local traffic services, the traffic between Finland and Russia, as well as domestic long-distance passenger traffic, should be opened for competition.

In the *retail trade* sector, state-owned Alko has a monopoly on alcohol and, in 1999, it became an independent state-owned company while the wholesale and import businesses were separated from retail sales. The impact of the liberalisation of wholesale trade will be limited as long as Alko maintains its retail trade monopoly.

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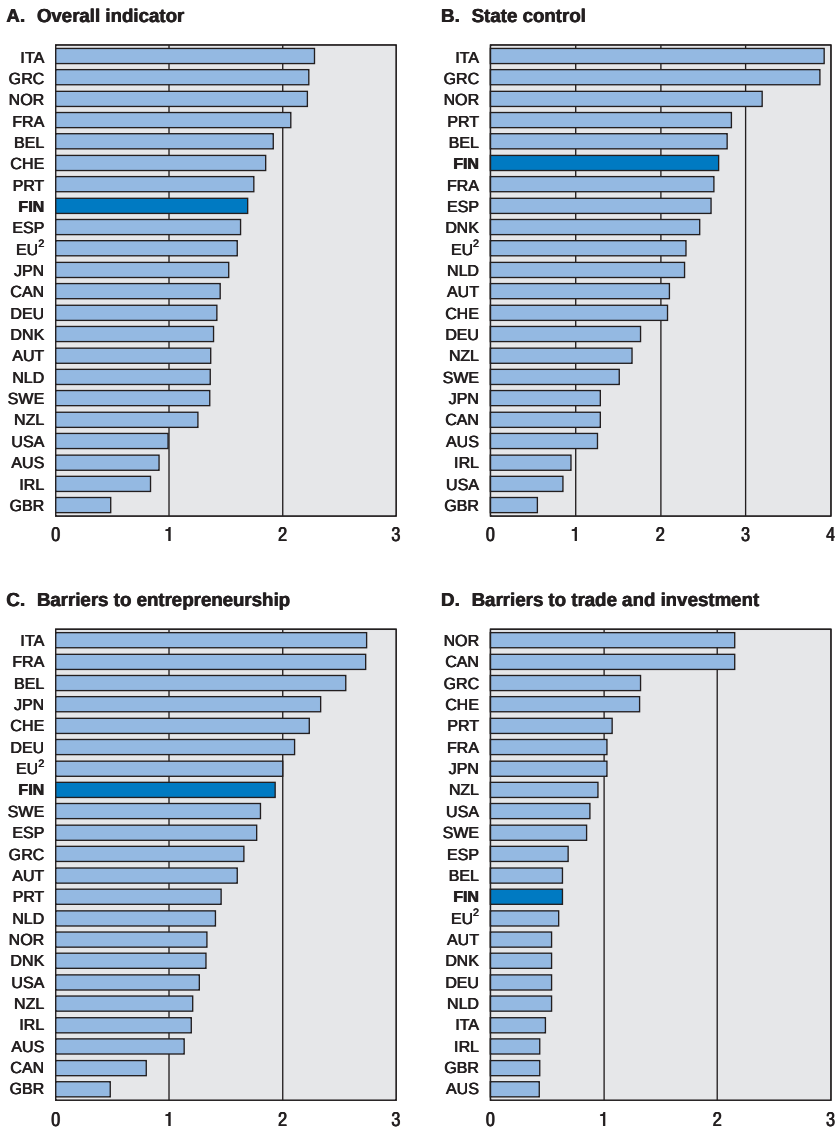
Figure 19. **Product market regulation**[1]
1997-98



1. Indicators of strictness of legislation. Scores can range from 0 to 6 with higher values representing stricter regulation.

Source: OECD Secretariat.

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OECD countries. The same holds for further deregulation. For instance, following a recommendation by the Finnish Competition Authority, the monopoly on state payment transactions by the state-owned Leonia bank ended in May 2000.

The lowering of the administrative burden on business has been a government priority in recent years. It has led to the simplification of licensing procedures, for example the introduction for company start-ups of a joint foundation notification to the National Board of Patents and Registration and to the National Board of Taxation. Companies are also able to submit their auditors' report to various authorities in a combined electronic form. In addition, the shift to electronic data transfer between companies and authorities will alleviate the administrative burden. The Ministry of Finance has selected five major private EDI (electronic data interchange) service providers to which companies can send all administrative reports, which are then passed on to the different government administrations (OECD, 2000*c*). This system of electronic administrative reporting is already operational for the tax administration and Statistics Finland. Furthermore, 77 regional offices of three ministries (Trade and Industry, Labour, and Agriculture) were merged in 1997 into 15 Employment and Economic Development Centres to serve as one-stop shops for companies at the regional level.[45]

State aid to industry drops, but agricultural subsidies remain very high

State aid to non-agricultural businesses has become less distorting in recent years as *ad hoc* and sector-specific aid virtually disappeared while horizontal aid (support to R&D and SMEs) became predominant and total aid dropped (Figure 20). Subsidies have declined from the 1993 peak of 1.0 per cent of GDP to less than 0.4 per cent of GDP in 1997, comparable to the level in the 1980s and far below the EU average. In the view of the government, competition can be distorted by state aid and recent studies indicate that the positive effects of grants are minimal (Ministry of Finance, 1999). Therefore, the government aims to reduce industrial subsidies further and to foster entrepreneurship that is independent of any state aid. Moreover, it intends to improve the effectiveness of the aid programmes by regular evaluation of subsidy schemes.[46]

Research and development expenditure in Finland amounted to nearly 3 per cent of GDP in 1998 (OECD, 1999*f*), the second highest ratio in the European Union, and has probably risen further in 1999.[47] Moreover, the proportion of private R&D is notably high. Two-thirds of the R&D outlays are financed by enterprises, while the government covers the remainder, of which about half is funded by privatisation proceeds. The electrical and electronics industry accounts for a considerable part of R&D expenditures; about half of the total industrial R&D spending is allocated to electronic circuits, telecommunication and telecommunications equipment. The government's approach, besides bolstering R&D activity in general, comprises strengthening the interaction between science and industry,

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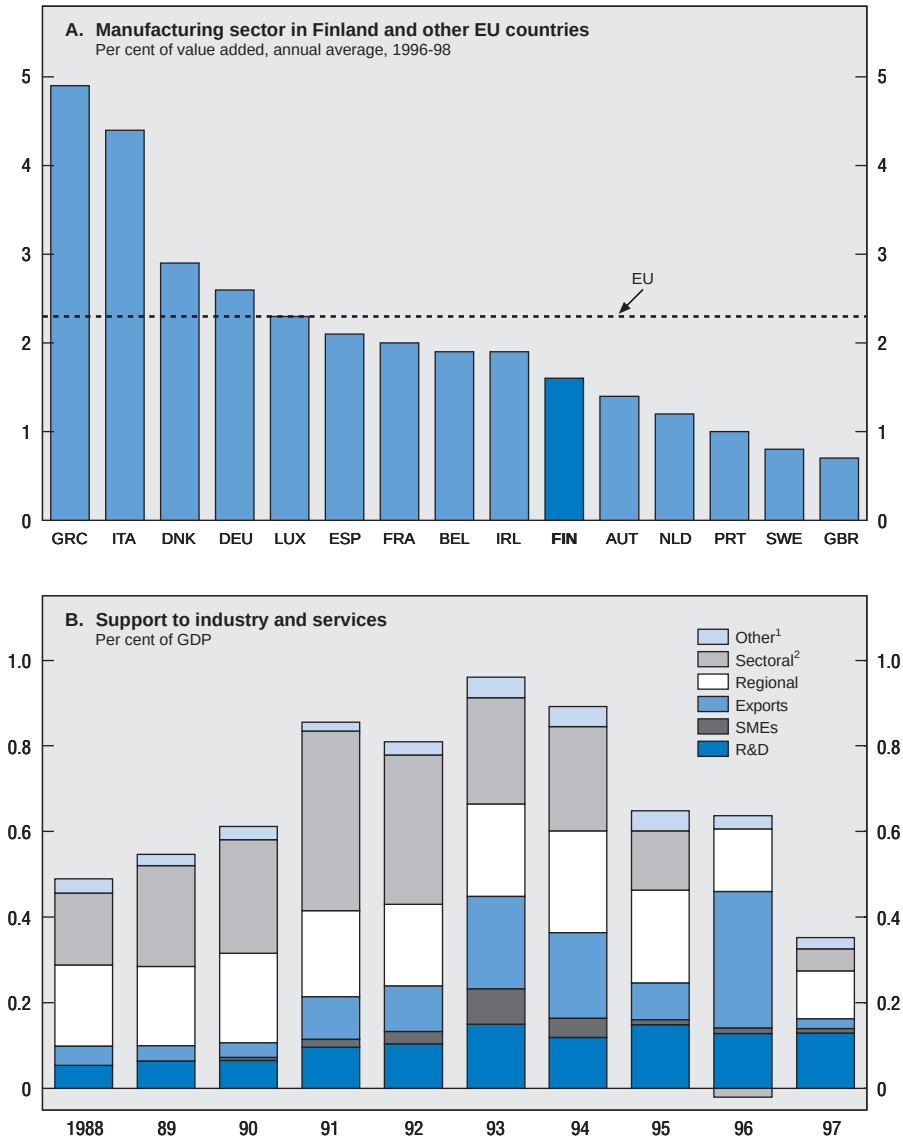
Figure 20. **State aid**



1. Environment and energy.
2. Sectoral support in 1996 was FIM –123 million due to the withdrawal of State guarantees to shipbuilding.

Source: European Commission and Government Institute for Economic Research.

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and enhancing the transfer of innovations and new technology from universities and public research centres to companies. Public R&D support is mainly channelled through research councils of the Academy of Finland and through technology development centres (TEKES) of the Ministry of Trade and Industry. Evaluation has been an integral part of these R&D support programmes, but direct support programmes of ministries – amounting to around FIM 1 billion in 1999 – are not yet systematically evaluated. The efforts to evaluate subsidy programmes are welcome but the question remains as to the role government should play in influencing technical progress. While it is commonly accepted that government can stimulate technical progress indirectly through the provision of a stable macroeconomic environment, non-distortional and low taxation, and good regulatory frameworks, there is less consensus about the positive effects of direct measures such as R&D subsidies.

Around 70 per cent of industrial support is directed to SMEs. The support programmes to SMEs were assessed in 1998 (Muotio, 1998).[48] According to this appraisal, over half of the projects that received aid would have been less far-reaching and technically less advanced without support and one-fifth of the projects would not have been implemented at all. Despite many small companies in the ICT sector, SMEs account for a somewhat smaller share of total employment, 60 per cent in 1998 compared to 66 per cent in the European Union as a whole in 1995 (Statistics Finland, 1999; Eurostat, 1999).[49] The relatively low share of SMEs is due to big companies in the capital-intensive paper and metal industries.

Regional aid, over 4 per cent of GDP on a broad definition, has not succeeded in narrowing regional inequalities in production, income and employment according to a recent government report (Ministry of the Interior, 2000).[50] At best, it slowed the current trend of concentration of production and employment in urban areas. The regional differences in unemployment have remained substantial, with the unemployment rate in 1999 somewhat above 15 per cent in the eastern and northern parts of Finland, while only 6½ per cent in the Helsinki region.[51] In 1999, over 60 per cent of the new jobs were created in the south of the country. Rural areas in eastern and northern Finland encounter a "vicious" circle, with depopulation causing a drop in public and private services leading to more outward migration. At the same time, new regional problems arise in areas with heavy immigration, especially lack of affordable housing and insufficient infrastructure. Since the migration from rural communities to growth centres, especially to the Helsinki region, is likely to continue, the government should pay more attention in its regional policy to the problems of urban areas.

Before Finland joined the EU in 1995, the agricultural sector was among the most heavily subsidised within the OECD. Aid to the agricultural sector has dropped by 20 per cent since 1995 but remains very high. In 1999, total support amounted to FIM 8½ billion (1¼ per cent of GDP), of which FIM 5½ billion was

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national aid.[52] The degree of subsidisation will be broadly unchanged in 2000. The "transitional" national support implemented to cushion the fall in farm income due to EU membership ended in 1999, but the Commission has approved a national aid programme for Southern Finland for 2000-03 to facilitate the full integration into the Common Agricultural Policy, with aid of around FIM 1 billion in 2000. Other parts of Finland benefit from EU programmes for low-productivity regions, the least favoured areas (LFA) support. The programme for Southern Finland foresees a limited drop in aid, of 15 per cent between 2000 and 2003. As described in detail in the previous *Survey*, especially Box 9, the authorities should reconsider the current agricultural aid as there are less costly and distorting ways to achieve rural and environmental goals.

Record privatisation proceeds in 1999

In 1999, privatisation proceeds doubled to a record of FIM 20 billion (nearly 3 per cent of GDP) (Figure 21). All proceeds were generated by the public offering of 19.9 per cent of the shares in Sonera (the dominant telecommunications company).[53] The state lowered its stake in Sonera by an additional 3½ percentage points to 54.5 per cent in March 2000, with proceeds of FIM 12 billion,[54] and intends to privatise the company completely in the coming years.[55] Since 1992, the sale of public holdings has generated net privatisation proceeds of FIM 51 billion. In October 1999, a further privatisation step was set by the agreement to merge the fully state-owned bank Leonia and the private insurance company Sampo. After the merger at the end of 2000, the initial state share in the new Sampo-Leonia group will be 43 per cent. The government intends to keep a 20 per cent share.

Although the privatisation process has intensified during recent years, state ownership still remains substantial. At the end of April 2000, the potential proceeds of the unused privatisation mandates were estimated at FIM 60 billion (8½ per cent of GDP), while a complete privatisation of all listed public enterprises would yield about FIM 180 billion (25 per cent of GDP).[56] The government intends to continue the pragmatic and gradual privatisation process started in 1992, with the changes in the ownership base of the enterprises made on a company-by-company basis.[57] The limited number of companies that fulfil public policy goals, such as special financial institutions, will remain fully under government control; state ownership in companies of strategic importance will be lowered to two-thirds or half; and state ownership in other companies will be reduced to a minority holding of one-third or will be ended by full privatisation. As in the past, privatisation proceeds will be mainly used to repay state debt, with some of the proceeds used to maintain the current level of expenditure for research and development and some to provide venture capital and additional resources for universities.[58]

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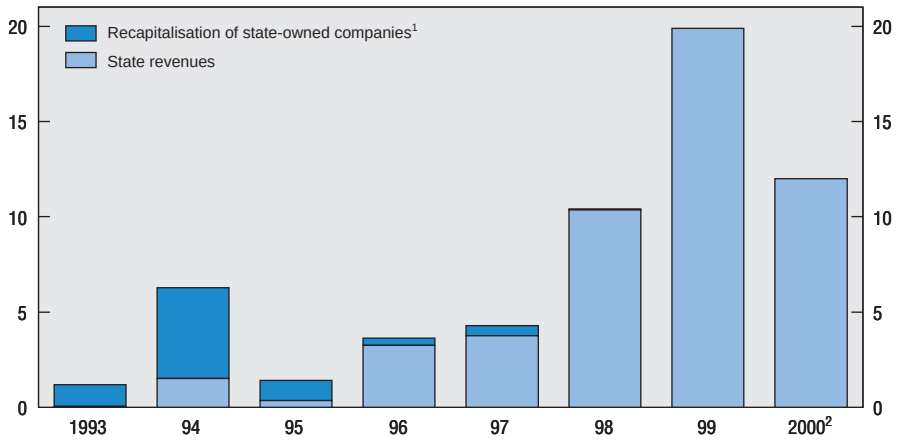
Figure 21. **Privatisation proceeds**
Billion FIM



1. New share issues to strengthen the capital base of the companies.
2. At end May.
Source: Ministry of Trade and Industry.

Not much progress has been made recently in the reduction of public ownership in traditional industries. Several studies show, however, that privatisation leads to higher productivity and profitability of companies, and that there is a link between ownership, internal monitoring mechanisms and managers' incentives (OECD, 2000*d*; Gonenc *et al.*, 2000). In most cases, private or privatised companies perform better than public enterprises.[59] The sensitivity of management to financial performance as well as the frequency of management turnover both typically increase after privatisation, which indicates that private ownership provides better incentives for managers to improve performance. The slow process of privatisation in traditional industries partly reflects the need for restructuring before privatisation and partly the relatively low share prices of some of the "old economy" companies. The slow speed is therefore to some extent understandable, although the government does not have superior knowledge about future market developments. Privatisation of traditional companies should not be postponed too long as this would hamper further efficiency gains. The proposal by the government to Parliament in May to enlarge the privatisation mandates for traditional industries is, therefore, a step in the right direction.[60]

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The clout of the Competition Authority has been somewhat strengthened

Since 1998, the Finnish Competition Authority (FCA) has been able to impose conditions on announced concentrations (mergers and acquisitions) and it can propose a ban to the Competition Council. The concentration cannot go ahead before the FCA's analysis is concluded. Until now, it has not proposed any ban but it has put conditions on several concentrations.[61] Given around 300 mergers per year, this change has clearly strengthened the possibilities of the FCA to promote competition, but it still lacks the power to apply the EU rules on cartels and abuse of a dominant position which are stricter than the national legislation.[62] At the moment, the European Commission has a role to play here, but its resources are limited. This deficiency is the more regrettable as there is concern about the impact of high concentration in some sectors, especially in the retail and banking sectors. In the retail sector, the five largest companies have a market share of more than 70 per cent, the highest ratio in the EU. In principle, the government favours extending the power of the FCA but prefers to wait till decisions are taken on competition policy reforms at the EU level. In April 1999, the European Commission proposed in a White Paper to decentralise the application of competition rules from the Commission to national competition authorities. Currently, the Competition Council has the power to impose sanctions in case of violations of the Competition Act but its functioning is undermined by the fact that it is mostly staffed by experts, such as university professors, working on a part-time basis. This probably hampers the effectiveness and enforcement of competition law. In February 1999, a committee set up by the Ministry of Justice proposed to convert the Competition Council into a special court to speed up procedures and make better use of experts.

The financial sector has adapted quickly to new technologies

The Finnish banking sector stands out for its speedy adoption of new technologies such as the Internet. Like elsewhere in Scandinavia, change has probably been accelerated by the deep banking crisis of the early nineties which made cost-cutting through the introduction of new technologies a matter of survival (Koskenkylä, 2000).[63] The scrapping of old distribution channels has halved employment in the banking sector and the branch network has been pruned by a third. Restructuring goes far beyond what most other European countries have achieved so far. Internet-banking and telebanking have risen rapidly, serving almost 2 million bank customers in 1999, and the three leading European Internet banks are currently all Finnish (Figure 22).[64] More than 85 per cent of all money transfers are carried out via network connections. Around 80 per cent of corporate customers do their banking transactions with a direct electronic data link to their bank while already one fourth of the adult population handles the bulk of their banking business via the Internet. Mobile phones are now also being used for

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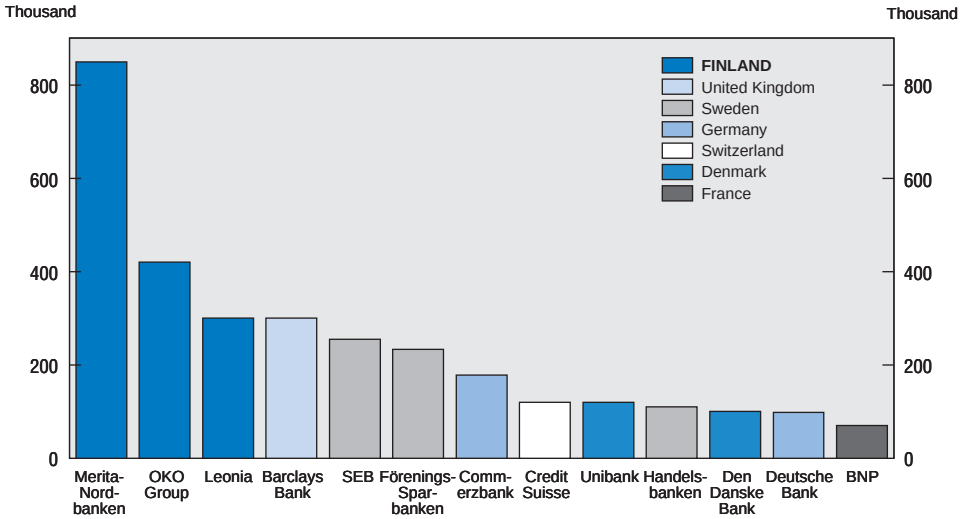
Figure 22. **Leading Internet banks in Europe**
Private customers with Internet contracts, August 1999



Source: Finnish Bankers' Association.

banking transactions and are likely to become a more important channel than PCs in coming years. As a result of these developments, Finland is the first European country with a falling number of automatic teller machines (ATMs) and giro ATMs,[65] while, unlike in other countries, households no longer use cheques and the use of banknotes is the lowest in the EU (ECB, 2000). The new technologies allow customers to obtain a better service level while they reduce bank transaction costs and offer a wider range of marketing instruments.

The rapid efficiency improvement and capacity reduction have led to a sharp rise in profitability in the second half of the 1990s. Bank profits soared to FIM 8.5 billion in 1999, in sharp contrast to the FIM 10.6 billion loss in 1992. Finnish banks obtained a rate of return on capital of around 20 per cent, comparable with US banks and around 10 percentage points higher than the EU average. In 1999, the 12 per cent increase in profits was largely due to record low credit losses. Although credit growth continued at a robust pace of 11.8 per cent, the bank's net income from financial operations remained broadly unchanged, as the interest rate margin declined to the record low of 3½ percentage points and cost efficiency improved, which may indicate that concentration in the banking sector has not affected competition negatively. The Financial Supervision Authority (FSA) has expressed its concerns about the rapid credit growth and has urged banks to pay due attention to the long-term credit risks.

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Reorganisation and mergers have meant that only three of the former five major banking groups exist nowadays. They have a market share of about 85 per cent (Table 9). With the scope for domestic consolidation practically exhausted, the recent mergers and takeover bids have been of a cross-border nature or between banks and insurance companies. In March 2000, the Finnish-Swedish MeritaNordbanken and Unidanmark Bank, the second largest bank in Denmark, agreed to merge. In September 1999, MeritaNordbanken made a takeover bid for the second largest commercial bank in Norway, Christiania Bank – a bid it has extended since then.[66] In October 1999, the fully state-owned Leonia bank and the Finnish private insurance company Sampo agreed to merge, forming the first

Table 9. **Market shares of banks and insurance companies**

Percentage share, 1999

	Credits	Deposits	Mutual funds
A. Banks[1]			
MeritaNordbanken	41.0	41.1	28.6
OKO Group	26.1	28.5	14.3
Leonia	19.5	15.7	10.3
Saving Banks	5.3	7.7	. .
Local cooperative banks	1.9	2.7	. .
Ålandsbanken	1.4	1.5	. .
Mandatum Bank	0.3	1.1	. .
Subsidiaries of foreign banks	4.4	1.8	. .
Other banks	. .	. .	17.5
Other financial institutions	. .	. .	29.3
Total	100	100	100
	Employee pension	**Personal life and pension**	**Non-life**
B. Insurance companies			
Varma-Sampo	38.8	25.8	33.5
Pohjola group	. .	17.7	24.0
Tapiola group	14.4	6.4	14.2
Ilmarinen	33.1	. .	. .
Merita	. .	28.8	. .
Fennia group	9.4	1.4	9.5
Local insurance group	. .	. .	7.7
Verdandi	4.0	2.5	. .
Aurum	. .	9.5	. .
Leonia	. .	5.2	. .
Skandia Life	. .	2.5	. .
Other	0.3	0.1	11.2
Total	100	100	100

1. At 31 December.

Source: Finnish Bankers' Association and Ministry of Finance.

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financial conglomerate in Finland and the largest financial services group in terms of balance sheet.[67] The Finnish insurance sector is dominated by three companies with a market share of about 70 per cent (Table 9).[68] The formation of large financial conglomerates may challenge the present supervisory system of the banking and insurance sectors, since the financial and insurance supervisory authorities are currently acting separately. The new Insurance Supervision Authority (ISA) began to operate in April 1999, replacing direct supervision by the Ministry of Social Affairs and Health. Co-operation with the FSA is facilitated as most members of its board also sit on the board of the ISA but may need to be increased. More importantly, in order to guarantee sufficient supervision in the future, international co-operation between financial supervisors will have to be enhanced.

Share prices on the Helsinki stock exchange increased by 162 per cent in 1999, the strongest rise in western Europe, and have been very volatile in the first months of 2000. The sharp rise and volatility are mainly due to the information and communication technology shares. The turnover of the stock exchange almost doubled to FIM 610 billion in 1999, while the total market capitalisation reached almost 300 per cent of GDP, the highest level in Europe. According to the Bank of Finland, upgrading of the settlement systems is needed given this very rapid rise in turnover. Around 15 per cent of the share trade is now done through the Internet. The importance of mutual funds increased steeply, with the number of households owning these funds more than doubling in the year to March 2000. The overall development of the stock exchange was heavily influenced by two large companies, Nokia (electronic equipment) and Sonera (telecommunications), with a combined share of three quarters of total market capitalisation and turnover. Non-residential holdings have increased rapidly from one-third of the total market capitalisation in 1996 to two-thirds in late 1999. The surge of new issues continued in 1999 as 28 companies were newly quoted, most of them small and medium-sized high-tech enterprises. The market for venture capital is active and rapidly developing. In 1999, venture capital investors made 350 investments amounting to a total of FIM 1.7 billion, a substantial rise from the FIM 1.1 billion in 1998 in 265 projects. Private funds provided 88 per cent of the investment while government-sponsored funds accounted for 12 per cent. The total volume of venture capital amounted to FIM 12 billion at the end of 1999, FIM 4 billion more than a year earlier.

Public sector efficiency could be improved by increased outsourcing

The efficient use of resources in the public sector is important for overall economic performance, especially in countries like Finland where many services are provided collectively. In 1999, government employment was almost a quarter of total employment, the highest share in the OECD after the three other Nordic countries. Lack of efficiency means poor use of national resources and a higher tax burden on the exposed sector with a negative impact on its competitive position.

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Substantial public sector reforms have been carried out in Finland since the late 1980s to increase public sector efficiency: tasks have been moved from central government to municipalities; within central and local governments decision-making powers have been decentralised; a large number of state bodies have been converted into state enterprises;[69] many state agencies have been merged and restructured; units have been released from the obligation to use public services with positive effects from outsourcing; and the central government has introduced a result-oriented budget and performance management system.[70] As the recession of the early 1990s led to a massive budget deficit, the government stepped up its efficiency drive and set clear savings targets.[71] As a consequence, the number of employees in the public sector was reduced by 8 per cent between 1991 and 1993 to 534 000 (Table 10). Since then public sector employment has increased gradually reaching 557 000 in 1999, still 4 per cent below the 1991 peak level and 2 per cent below the pre-recession level of 1989. However, with business employment down, the ratio of government employment to total employment, at 24.7 per cent in 1999, was still 1 percentage point higher than before the recession.

Concerning the central government, the introduction of a medium-term budgetary framework in 1990 was an important step to restrain spending. Since then, before the yearly budgetary process starts, the government agrees on politically binding budgetary ceilings per ministry for the following three years. The multi-annual expenditure framework gives ministries full responsibility in steering and controlling the budget process in their own administrative field. This approach has contributed to solid budget discipline. The goals of the major retrenchment programmes of the 1990s were met and budgetary overruns of ministries have been rare. In 1999, the government took the reform a step further by starting to develop a new method for resource allocation for those major policy areas which cross the organisational borders of the ministries. Moreover, in 2000, Parliament has become more involved in the setting of the budgetary ceilings, increasing the political legitimacy of the process and strengthening the commitment to the multi-annual budget planning.

Table 10. **Government employment**
Thousand persons

	1991	1992	1993	1994	1995	1996	1997	1998	1999[1]
Government activities	581.5	565.4	533.7	536.1	542.2	546.5	558.0	553.3	556.8
Central government	152.2	151.9	146.2	144.9	144.7	141.3	140.1	139.1	139.1
Local government	420.5	404.7	378.8	382.4	388.4	396.2	408.9	405.2	408.6
Social security funds	8.8	8.8	8.7	8.8	9.1	9.0	9.0	9.0	9.1
As a % of total employment	24.9	26.1	26.3	26.7	26.6	26.4	26.1	25.4	24.7

1. Estimate.
Source: Statistics Finland, *National Accounts* 1991-1999 and OECD Secretariat.

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Furthermore, since 1995, performance management has been applied in central government ministries and bodies, shifting the emphasis from inputs and rules to outputs and results. As a result, the contractual model replaced the hierarchical, compliance-based guidance and control system.[72] Performance management can enhance strategic thinking and prioritisation by ministries. Moreover, it may step up the search for cost-effective measures.

In Finland, all basic welfare and education services are provided by the municipalities. Consumption and investment of the municipal sector was 15 per cent of GDP in 1999 and local government employment accounted for around one fifth of total employment. During the recession in 1991-93, the municipal sector downsized considerably and the number of employees was reduced by 10 per cent. Moreover, funding of local government spending changed dramatically, as the drop in state grants was offset by higher local taxes and user charges (Table 11). The share of state grants declined from 30 per cent of total local revenues in 1990 to 14 per cent in 1999. This and the replacement of earmarked state grants by a block grant increased the incentives for spending restraint and effective use of resources.

Before 1993, municipalities had to produce social welfare, health care and basic education services themselves or in collaboration with other municipalities. Since 1993, however, municipalities may purchase all statutory services from private service producers. So far, these new opportunities have not led to major changes. For instance, in 1999 the public sector and charities produced about 85 per cent of all health care services. For social welfare services, the private sector's market share is even smaller (only 2 per cent). Outsourcing is in general limited to auxiliary tasks such as cleaning, laundry and laboratory services. Public bodies still produce services unrelated to their actual function and at high costs. The Finnish Competition Authority has criticised the lack of competition in health care services, arguing that greater competition and the introduction of tendering

Table 11. **Funding of local government**
1999[1]

	Billion FIM	Per cent
General revenues	91	65.0
Tax	72	51.4
Grants	19	13.6
Fees and charges	37	26.4
Borrowing	5	3.6
Investment and other income	7	5.0
Total municipal sector income	140	100.0

1. Estimate.
Source: Association of Finnish Local and Regional Authorities.

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could create vast savings. The government acknowledges that the utilisation of private service providers can reduce costs for public services (Ministry of Finance, 1999). Improving the accounting of own-produced services by local government would be a first step in providing greater transparency. At present, local government authorities rarely have the instruments for comparing the costs of their own service provision with the prices of purchased services.[73] The small size of some municipalities may lead to higher costs as the negotiation position of small municipalities is probably weak *vis-à-vis* private service providers.[74] Some concentration of purchases, for instance by encouraging a reduction in the number of municipalities, may therefore be helpful. On the other hand, local government administrative costs have been reduced by the increasing use of information technology. For instance, the Citizens Guide Internet service (*http://www.opas.vn.fi*) allows citizens and companies to download forms and send them to 60 governmental agencies and over 200 municipalities. Methods for authentication and digital signature have boosted the use of this online service.

No doubt the reforms carried out in the 1980s and 1990s have enhanced the efficiency of the public sector, made services more customer-oriented and improved the transparency of the administration. However, it did not make the performance of the Finnish public sector outstanding in Europe and the room for further progress is considerable.[75] The Finnish Competition Authority should step up its monitoring of the local government sector, which should make more use of tenders in purchasing goods and services. Central government could stimulate cost savings by providing more information on cost differences between production of goods and services by municipalities and private companies. More generally, the central government should become more active in pursuing its commitment to promote competition in areas where public and private enterprises compete. New public service requirements, for instance new services for the increasing number of frail elderly, could be provided by the private sector.

Sustainable development

The previous *Survey* contained a special chapter on environmentally sustainable economic growth (OECD, 1999*g*). Since the publication of this *Survey*, environmental measures taken by the government were limited. Finland has developed an extensive institutional framework for environmental management, with the Ministry of Environment responsible for a large part of environmental policy and various regional bodies implementing them and providing information to the public. The National Commission for Sustainable Development, chaired by the Prime Minister, has played a useful role as a forum of debate and in increasing the awareness of sustainable development issues. However, a weakness in the government's approach to sustainable development is the lack of systematic economic assessment. As highlighted in the previous *Survey*, policy has succeeded in

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reducing the discharges of a large number of pollutants and the country is in a very good position to meet its international commitments for reducing sulphur dioxide (SO_2) and nitrogen oxide (NO_x) emissions. Some further measures are necessary to reduce nutrient discharges in the Baltic Sea. Direct regulation has remained an important policy instrument, but since the late 1980s tax instruments, including a carbon dioxide (CO_2) tax, have played an increasingly important role in providing incentives for cleaner production and consumption patterns. The *Survey* concluded that there is scope for realising greater cost-effectiveness of environmental measures by increasing the use of economic instruments, such as taxes, subsidies and tradable permits. Furthermore, the consistency between sectoral and environmental policies could be improved.

Meeting the Kyoto targets for greenhouse gas emissions is the most challenging current issue. Recently, the ministerial group on climate change matters has decided on a timetable for implementing the Finnish national strategy on meeting the Kyoto commitments. Sectoral strategies will be agreed upon by the individual ministries during Spring 2000, and a committee on emission trading and other Kyoto mechanisms will publish its report in September 2000. The government will finalise the national strategy proposal by the end of the year. The use of economic instruments, notably taxes, for environmental purposes has not changed over the last year, but the government set up in September 1999 a working group to investigate the level and incidence of energy and environmental taxes and their impacts. Another working group is examining possibilities to eliminate the problems experienced in energy taxation.[76] Concerning command-and-control policy, a consolidated Environmental Protection Law entered into force in March 2000, replacing the separate laws on air pollution control, noise abatement and environmental permit procedures.

Scope for further action

The Finnish economy could benefit from further structural reforms. Table 12 provides a summary of recent reforms, a follow-up to the recommendations of previous *Surveys*, and a synthesis of options for further structural reforms. Concerning the labour market, most needed are reforms that reduce the inflow into early retirement schemes, which is discussed in detail in the next chapter on "How will Ageing Affect Finland?" Furthermore, changes in the rigid regulations concerning fixed-term contracts would increase adaptability to change and could raise labour productivity. Concerning product market reforms, the focus should be on strengthening competition policy and further privatisation. Furthermore, increased outsourcing by central and local government would strengthen public sector performance. To take advantage of policy complementarities, reforms should be comprehensive, covering a wide range of structural policies. In this case, they will reinforce each other and further enhance the macroeconomic prospects of the economy.

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Table 12. **Recommendations for further structural reform**

Based on previous and current *Surveys* and action taken since early 1999

Previous *Survey*	Action taken	Current *Survey*
A. Reduce tax burden		
Continue reducing income tax rates, especially marginal rates on low incomes, to raise work effort.	Income tax rates, especially for low-income, were cut in 1999 and 2000.	Tax cuts announced in the Government Programme are relatively limited.
B. Reform unemployment and related benefits		
a) Shorten maximum unemployment benefit duration to increase job search intensity. Phase down unemployment benefits during the first 500 days of unemployment.		Currently, the benefit level is constant for the first 500 days of unemployment. Before 1989, benefits were lowered by 12½ per cent after 200 days, which provided a better incentive.
b) Make eligibility criteria for social security benefits stricter.	Labour market training no longer counts for 16 weeks of the qualification period for the unemployment insurance scheme (early 1999).	Same as previous *Survey*.
c) Enforce strictly the eligibility criteria for unemployment benefits.		Same as previous *Survey*.
d) Increase regional mobility of the unemployed.	The regions were enlarged for which the job seeker has to accept a job offer or an ALMP measure (early 2000).	Same as in previous *Survey*. Lift the condition that placement involving relocation is suitable only if the vacancy cannot be filled locally.
e) Introduce medical re-examination of disability pension beneficiaries.		Same as previous *Survey*.
C. Reduce incentives for early retirement		
a) Increase gradually the minimum age for unemployment pension; shorten "unemployment pipeline to pensions"; reduce incentives to retire early.	The minimum age of the individual early retirement scheme was raised from 58 to 60 years; unemployment pensions were lowered (early 2000).	Measures taken are going in the right direction but are probably insufficient to reach the government goal of an increase in the effective retirement age by 2 to 3 years in the long run.
b) Reduce impediments for hiring older workers. Reduce, for instance, the contribution of the last employer to disability and unemployment pensions.	Financial disincentives for large employers to use the unemployment pension scheme were increased while those for the disability pension scheme were reduced (early 2000).	Same as previous *Survey*.
c)		Lift the pension ceiling of 60 per cent of the pensionable earnings in order to make work above the age of 60 years attractive.

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Table 12. **Recommendations for further structural reform** (*cont.*)

Based on previous and current *Surveys* and action taken since early 1999

Previous *Survey*	Action taken	Current *Survey*
D. Make active labour market programmes more effective		
a) Pursue better job counselling, for instance, reach the target of one contact per month with every unemployed person.	The reform in 1998-99 of the Public Employment Service has improved job counselling.	Development is in the right direction. This should be accompanied by tougher sanctions on inadequate job-search.
b) Reduce the number of subsidised jobs offered by local government and continue to shift the focus from subsidised jobs to training and job counselling.	The number of subsidised jobs offered by local government is falling and the focus is shifting from subsidised jobs to training and job counselling.	Proceed with shifts in recent years.
c) Evaluate the effectiveness of all active labour market programmes and end programmes with poor results.	Several programmes were evaluated.	Same as previous *Survey*.
E. Increase wage and labour cost flexibility		
a) Reform employment protection and working time legislation needed to encourage job creation, especially by SMEs.	Labour tribunal made rules on temporary lay-offs more strict (1999). A proposal for the reform of the 1970 Employment Contracts Act was published; it is proposed to make the rules on temporary and part-time employment stricter (2000).	Recent developments are going in the wrong direction.
b) Support greater wage differentiation in wage agreements, to promote the employability of low-skilled workers, while maintaining moderate average wage rises.	Greater differentiation in 2000 wage agreements is unlikely to promote employability of low-skilled workers while it may lead to an acceleration in wage inflation in 2001.	Promote local wage negotiations. Same recommendation as previous *Survey*.
F. Enhance product market competition		
a) Examine scope for completing privatisation of partially privatised state enterprises to increase efficiency.	Public stake in Sonera was reduced from 78 per cent in early 1999 to 55 per cent in early 2000. Record privatisation proceeds in 1999.	Same as previous *Survey*. Privatisation of enterprises in traditional industries should not be postponed.
b) Assess state aid carefully and end programmes with poor results.	Several aid programmes channeled through research councils were evaluated.	Evaluate aid programmes of ministries as well.
c) Reduce agricultural subsidies further.	European Commission has approved a new national aid programme for southern Finland for 2000-03.	The reduction in aid in 2000-03 will be limited. Same recommendation as previous *Survey*.

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Table 12. **Recommendations for further structural reform** (*cont.*)

Based on previous and current *Surveys* and action taken since early 1999

Previous *Survey*	Action taken	Current *Survey*
d) Strengthen competitive forces by reforming the Finnish competition authorities.		The Finnish Competition Authority should get the power to apply the stricter European Union rules on cartels and abuse of a dominant position.
e) Promote genuine level playing fields in the energy and telecommunication markets.		Incumbents are still very dominant. Same recommendation as in previous *Survey*.
G. Improve public sector efficiency		
a) Step up outlays restraint to make sizeable income tax cuts possible.	Outlays continued to drop as a percentage of GDP.	Reassess the medium-term fiscal framework as it does not lead to sufficient fiscal policy restraint.
b) Shift tax burden off labour.	Income tax has been cut in 1999 and 2000 while other taxes remained broadly unchanged.	Same as previous *Survey*. Increase in energy and environmental taxes has been announced in Government Programme.
c) Increase economic efficiency of local government services.		Same as previous *Survey*.
d) Apply more user charges.		Same as previous *Survey*.
H. Enhancing sustainable development		
a) Systematic economic assessment of sustainable development issues is needed.		Same as previous *Survey*.
b) Increase the cost-effectiveness of environmental measures by greater use of economic instruments, such as taxes, subsidies and tradable permits.	Government is preparing the national strategy on meeting the Kyoto commitments; a working group is investigating the level and incidence of energy and environmental taxes and their impacts.	Same as previous *Survey*.
c) Consistency between sectoral and environmental policies should be improved.		Same as previous *Survey*.

Source: OECD Secretariat.

III. How will ageing affect Finland?

In Finland, as in most OECD countries, the ageing of the population is one of the major long-term policy challenges. In 2030, the share of the elderly in the population will be the second highest in the European Union. The more rapid ageing than in most other OECD countries makes tackling the problem more urgent than elsewhere while the low effective retirement age makes it a more daunting task. On the other hand, the pension system is partly funded, in contrast to many other OECD countries, and the pension reforms of the 1990s have reduced the fiscal implications of ageing to some extent. As stated in the OECD report on *Maintaining Prosperity in an Ageing Society* (OECD, 1998), a key response to the ageing challenge will be to ensure that resources are available to allow economic output to grow as quickly as possible. In this way, the young can enjoy a growing living standard while maintaining an adequate living standard for an increasing number of elderly people. In the case of Finland, bringing the effective retirement age closer to the official retirement age of 65 would greatly boost the funds available to the pension system in the future. To accomplish this, further reforms of the pension system and other social programmes are needed as – separately and in combination – they encourage withdrawal from the labour market before the official retirement age. The present chapter first explores the scale of the demographic change, the relevant institutions and their effect on the decision to retire. In light of the increase in the number of elderly expected over the coming years, various issues concerning their economic position and health care are considered. The chapter then considers the impact the demographic changes will have on the economy: the cost of the pension system will increase by a third. Health care spending and the cost of care for the frail elderly are also likely to rise. It ends by outlining the policy options to cope with ageing.

The problems facing Finland

A *major demographic challenge*

The Finnish population is ageing more rapidly than in any other OECD country.[77] Reflecting the low birth rate since the 1970s and the continuous increase in life expectancy, the share of the working-age population in the total population

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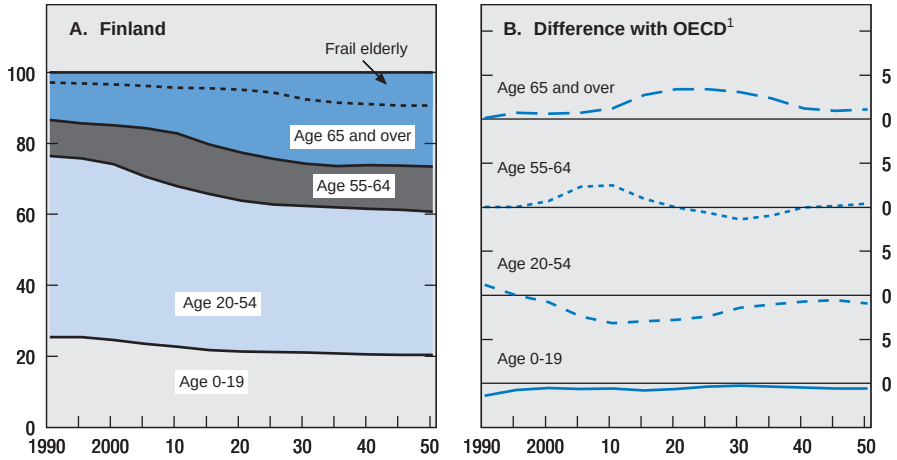
will begin to diminish in the next few years, falling from 61 to 53 per cent by 2050 (Figure 23). The number of pensioners is projected to surge soon since the baby boom generation – those born between 1945 and 1955 – will begin to retire. The share of the elderly in the population will increase sharply, from 15 per cent in 2000 to 27 per cent in 2050. The total population is projected to increase somewhat till 2020 but is expected to be 5 per cent smaller in 2050 than in 2000.[78] Another measure of the pressures stemming from ageing is the sharp deterioration in the projected old-age dependency ratio – the ratio of those aged 65 and over to those of working age. Currently, there are more than four persons of working age for every person of pensionable age. By the year 2035, this is expected to fall to two to one, stabilising thereafter (Figure 24). By contrast, for the OECD as a whole, this ratio is not expected to fall to two to one until the year 2050.

A *low effective retirement age*

This unfavourable demographic evolution is compounded by the long-term trend towards earlier retirement. Finland has a relatively high employment-population ratio for prime-age individuals, but the ratio for older workers – those

Figure 23. **Population trends**
Per cent of total population



1. Excluding Mexico and Turkey.
Source: Statistics Finland, Eurostat, United Nations and OECD Secretariat.

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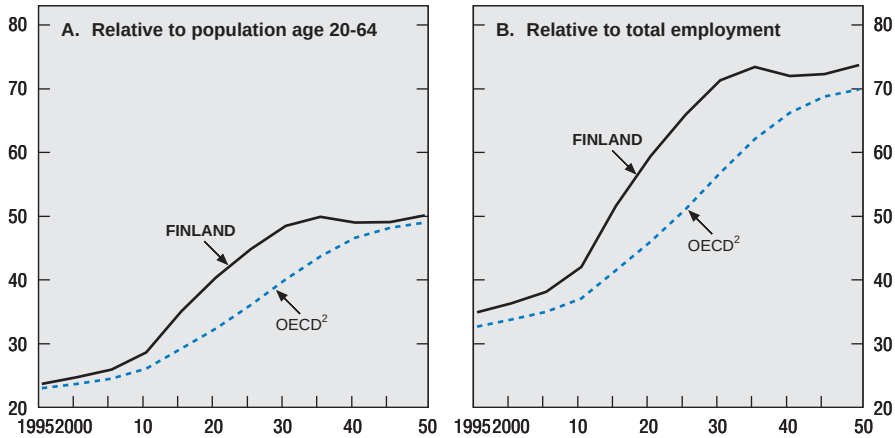
Figure 24. **Old-age[1] dependency ratios**
Per cent



1. Persons aged 65 and above.
2. Average of the rates of individual countries (excluding Mexico and Turkey).
Source: Statistics Finland, Eurostat, United Nations and OECD Secretariat.

aged 55 to 64 – is below the EU average and is significantly below its Nordic neighbours (Figure 25). Employment ratios fall more quickly with age beyond 55 years than in other OECD countries. Around 30 per cent of those aged between 55 and 59 are pensioners, and about 80 per cent of people aged 60 to 64.[79] While the retirement age already declined during the 1970s and the 1980s, the sharp worsening of the labour market situation in the early 1990s had a further negative effect on the employment rate and the timing of retirement (Figure 26). However, the situation has somewhat improved in the recent recovery. Although the official retirement age is 65 years, in practice, the effective average retirement age is somewhat below 60 years.[80] It is even lower if it includes the unemployed aged 55 to 59 years covered by a benefit scheme called "pipeline towards an unemployment pension" (see Box 3 below) who are effectively retired. Thus, a more accurate measure of the scale of the long-term pressures on the funding of retirement and old-age related services is the ratio of those in employment to those aged 65 or more (Figure 24, Panel B).[81] Based on current employment rates by age group, there would be only 1.4 employed persons per person aged 65 or more as early as 2030, while the equivalent ratio for the OECD average will reach 1.5 by 2050.

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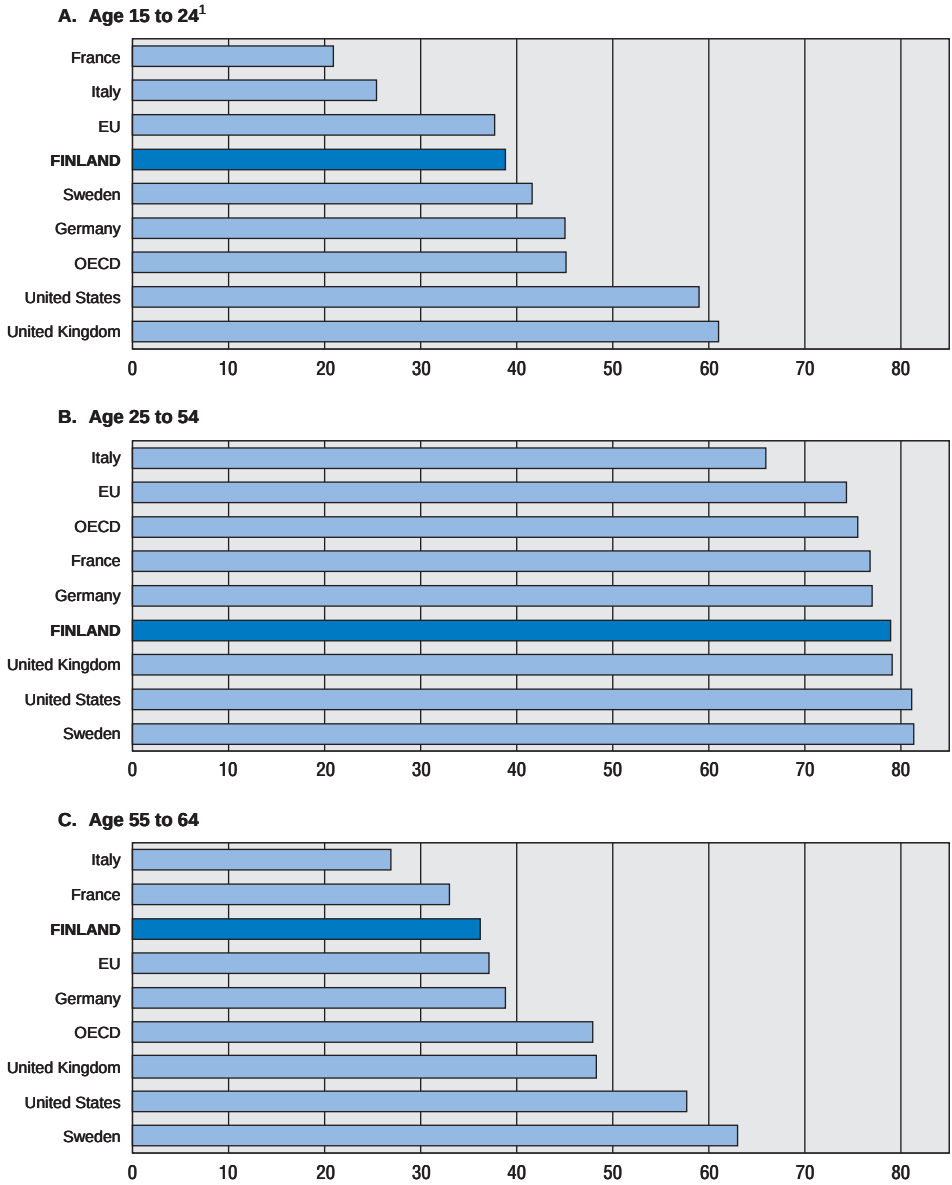
Figure 25. **Employment rates in selected OECD countries**
1998, per cent



1. Age group 16 to 24 for Sweden, the United Kingdom and the United States.
Source: OECD (1999), *Employment Outlook.*

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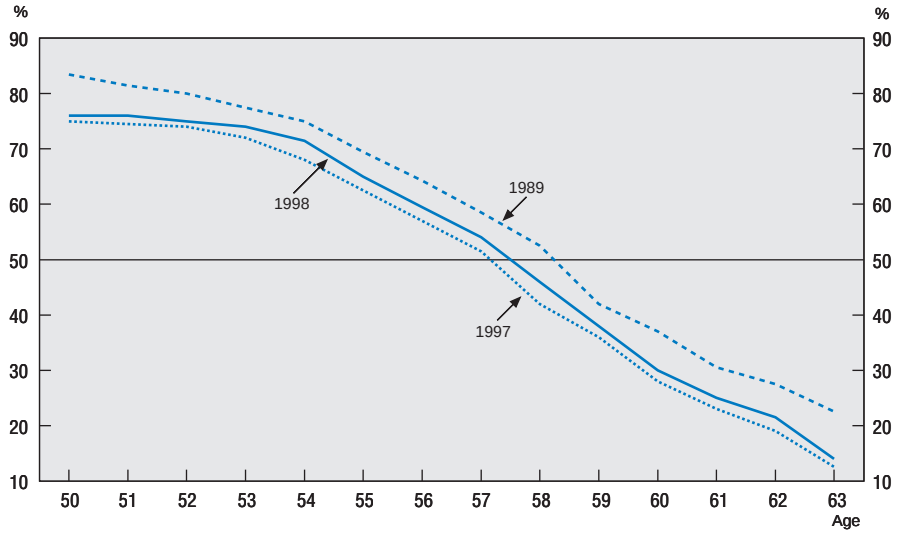
Figure 26. **Employment rates for older workers in Finland**
Persons aged 50 and over



Source: Statistics Finland.

Support for the elderly and incentives for early retirement

The main features of the pension system

There are two main schemes in the Finnish pension system: the national pension scheme and the earnings-related pension scheme. The national pension was introduced in 1957 in its current form and the earnings-related pension scheme for private sector employees was introduced in 1962.[82] The pension system was substantially reformed during the 1990s and the description in this chapter covers rules in vigour at the beginning of the year 2000. In 1998, 77 per cent of pensioners received both pensions, and 10 and 13 per cent received only a national pension or earnings-related pension, respectively. The number of voluntary supplementary pensions is currently small, only around 7 per cent of the working-age population belong to a private supplementary pension scheme, but it is increasing rapidly.

The national pension scheme

The national pension scheme guarantees a minimum income for resident persons who are not entitled to a statutory earnings-related pension or for those

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whose statutory earnings-related pension is small.[83] The national pension scheme pays old-age, disability, unemployment and survivors pensions. It is financed by employers' premiums and government transfers. In the private sector, the employers' contribution rate is 2.0, 4.0 or 4.9 per cent of the payroll depending on the size of payroll and investments.[84] In the public sector, the employers' contribution rate is 3.95 per cent for the state and 3.15 per cent for local authorities. In 1999, the government transfer corresponded to around 50 per cent of the total national pension expenditure.

The full national pension is low: 20 to 24 per cent of the average wage on a gross basis, depending on marital status and municipality, and 30-32 per cent on an after-tax basis.[85] It is means-tested with respect to the earnings-related pension, so that the earnings-related pension reduces the national pension and, above a certain level (41 to 46 per cent of the average wage), the national pension is not paid (Figure 27).[86] It is, however, not means-tested for other revenues and can be topped up by substantial allowances.[87] The national pension is an individual right, so that a married person with no earnings-related pension will get a full national pension even if the spouse is receiving an earnings-related pension or is still working. This and the separate tax treatment encourage employment by the second earner.

With the earnings-related pension scheme maturing, the proportion of retired persons receiving a national pension will fall. It has already fallen from 91 per cent in 1990 to 87 per cent in 1998. However, the national pension will continue to play a role when the earnings-related pension scheme matures in 2002. For instance, a person with average earnings and only 25 years of contributions will still qualify for a national pension.

Earnings-related pension schemes

The earnings-related pension consists of all the pensions that have accrued from each employment contract and from self-employment. It is of a defined-benefit nature, based on tripartite agreements, managed by private pension institutions[88] and governed by several pension acts.[89] These schemes pay old-age, disability, unemployment and survivors pensions. The earnings-related pensions are financed by employers' and employees' contributions and are a mix of a pay-as-you-go system (PAYG) and a funded system.[90] Benefits are based on the number of years of gainful employment, the age-specific accrual rate and the "pensionable wage" which is based on the gross wage net of employees' pension contributions (Box 2). There is a 60 per cent ceiling on the number of accrued pension "points" of pensionable wages. But, mainly due to the way pensionable wages are indexed, the maximum attainable replacement rate is in practice somewhat lower, around 56 per cent. With the system maturing, for a person starting work at 23, the 60 per cent ceiling discourages work after the age of 61, four years

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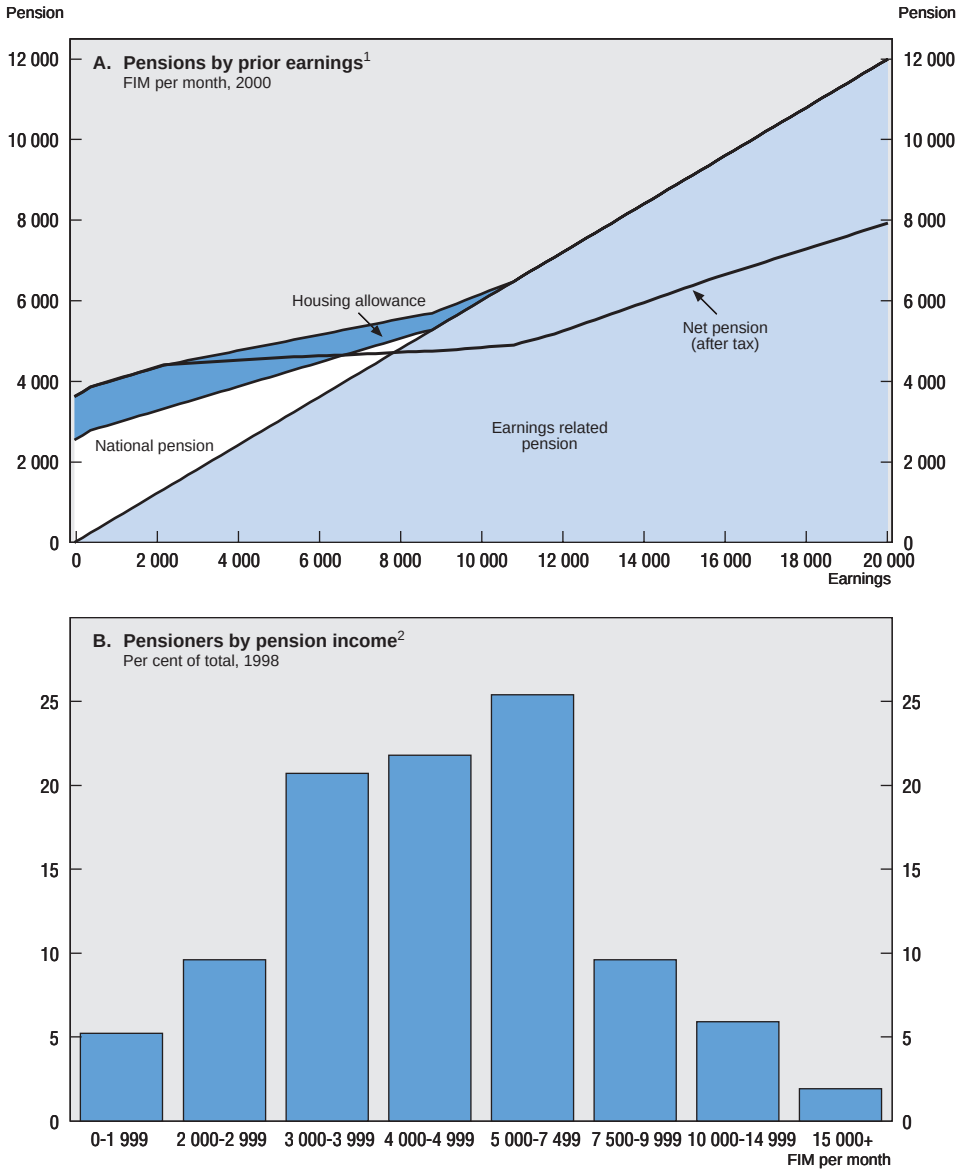
Figure 27. **Pension income**



1. Single recipient, class 2 municipality, housing cost FIM 1 500 per month. Earnings related pension 60% of earnings.
2. Overall pension in FIM per month. Includes recipients of old-age pension, early old-age pension, individual early retirement pension and unemployment pension.

Source: Central Pension Security Institute and Social Insurance Institution (1999), *Statistical Yearbook of Pensioners in Finland*.

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Box 2. Pension benefits in the earnings-related scheme

Pension rights accrue at a rate of 1.5 percentage points a year of gainful employment from age 23 to 59 and at a rate of 2.5 percentage points annually from 60 to 64. When unemployed, pension rights accrue at 1.2 per cent per year. There is, however, a maximum level for accrued pension rights of 60 per cent. This means that those with an uninterrupted working life since age 23 in the same employment relationship hit the pension ceiling at the age of 61, four years before the official retirement age.[1]

Apart from old-age and survivors pensions, earning-related schemes also pay pensions before the official age of retirement in the form of disability and unemployment pensions (Box 3). When calculating disability and unemployment pension benefits, pension rights are based on two components: rights earned before the event occurred and rights granted for the post-event years until the official age of retirement. The post-contingency period on disability pension accrues rights at the standard 1.5 per cent per year before age 50, but at 1.2 per cent per year from 50 to 59 and at 0.8 per cent per year from 60 to 64. The post-contingency period on unemployment pensions does not accrue unemployment pension rights as of January 2000. Periods of unemployment accrue pension rights at 1.2 per cent per year. When reaching 65 disability and unemployment pensions cease and an old-age pension is granted. However, pension rights for the old-age pension after having received an unemployment pension are calculated somewhat differently. During the years on unemployment pension, between 60 and 64 years of age, old-age pension rights accrue at a rate of 0.8 per cent.[2]

The pensionable wage is calculated as the average earnings over the last ten years. To calculate the pensionable wage, gross wages net of employees' pension contributions are revalued annually on the basis of the annual change in consumer prices (weight 50 per cent) and the wage index (weight 50 per cent). This partial indexing to wages and the netting of employees' contributions leads to a maximum attainable replacement rate of less than 60 per cent. The pensionable wage is calculated for each employment relationship. Thus, a person who has had two jobs will have a pensionable wage calculated for his/her first employment and another one for the second employment relationship. The combination of the calculation of average earnings per employment relationship and the partial indexing to wages means that persons with exactly the same wage profile during their

1. Public workers accrued rates are 2.2 per cent for each year of gainful employment until 1995 and 1.5 per cent afterwards. Working before age 23 does not accrue pension rights even though the worker has to pay contributions. This reduces incentives to work before 23.
2. For example, a person who began working at 23 and moves into unemployment or disability pensions at 58 will have 55 percentage points of pension rights accrued on unemployment pensions – 1.5*(58-23) + 1.2*(60-58) + 0*(65-60) – and 59 percentage points on disability pensions. The pension rights accrued for the old-age pension at 65 will be 59 percentage points in both cases.

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Box 2. **Pension benefits in the earnings-related scheme** (*cont.*)

career, but different labour mobility, will have different pensions.[3] Persons who do not change employment will have a higher pension than those frequently moving to another employer.[4] The current system therefore discourages labour mobility.

Once a person is granted a pension, benefits are indexed annually to wages (weight of 20 per cent) and to consumer price inflation (80 per cent), but only after 65.

Pension income is taxed as wage income above the basic deduction for pensions.

3. Even with full indexation to wages, there would be differences from earnings increases due to promotion.
4. A simple two-period example may help to clarify this. Two workers, A and B, have a wage of 100 in the first period and 105 in the second period; the wage index increases 5 per cent in the second period while the consumer price index is constant. Worker A has the same job during the two periods while worker B shifts to another employer after the first period. As in the Finnish situation, the pensionable wage is based on the wage in the last year of the employment contract and the pensionable wage per contract is revalued on the basis of the wage index (with weight of 0.5) and the consumer price index (with weight of 0.5). Worker A's pensionable wage is 105 (wage in second period) while worker B's pensionable wage is 103.75 (the unweighted average of the revalued wage in the first period and the wage in the second period).

before the official retirement age, as those employed who reach the ceiling keep paying pension contributions without accruing rights. Another disadvantage of the current system is that it discourages job mobility (Box 2).

Voluntary supplementary pension schemes

There are two kinds of supplementary pension schemes: group schemes and individual schemes (Lindell, 1999; Lindqvist-Virtanen, 1999). Most group schemes were introduced by large companies in the early 1960s to raise the pension level for elderly employees to the maximum level of the statutory earnings-related pension and to facilitate early retirement. Premiums are almost completely paid by employers and pensions paid are relatively small (6 per cent of the total earnings-related pension). Around 15 per cent of the employees in the private sector are currently covered by a supplementary group scheme, with the share falling over time as many of these schemes are closed for new employees. The importance of individual pension schemes, however, has increased substantially in recent years. Currently around 7 per cent of the working-age population

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has signed up to a private pension scheme from a life insurance company, with the number of persons rising by around 20 per cent annually in recent years. In 1999, the government reduced the tax relief on premiums for voluntary retirement pensions as these schemes were used to retire early.[91]

The social security system allows several routes to early retirement

In principle, old-age pensions are awarded at 65, but there are several ways to stop working and collect a pension before 65 (Box 3). The financial consequences of this will increase substantially in the near future if people continue to retire early at present rates, as the number of early retirees will increase by half due to the bigger cohorts (the baby boom generation) reaching the age of 55 to 64 years. The majority of those exiting the labour market early do so on the disability pension scheme (Table 13). Entrance to the disability scheme is based on a relatively soft medical examination, especially for a specific type of disability pension, the so-called individual early retirement pension (Box 3). The share of people in their respective population groups receiving a disability pension increases sharply in the old-age groups (Figure 28, Panel A). For the age group 60 to 64,

Table 13. **Pension recipients by type of pension**
Persons aged 55 and over by age group, 1998

	Age 55-59	Age 60-64	Age 65+	Total
	Per cent of population[1]			
Population				
Employed	50.8	19.4	2.0	. .
Unemployed	9.3	1.3	0.0	. .
Receiving a pension	24.1	78.3	98.0	. .
Total	84.2	99.0	100.0	. .
	Per cent of pensioners			
Pensioners[2]				
Old age	6.8	16.3	91.8	63.6
Early old age	0.2	6.9	5.3	4.7
Disability	71.9	30.1	0.0	19.8
Individual early retirement	6.8	16.9	0.0	3.6
Unemployment pension	0.0	21.7	0.0	4.0
Part-time pension	6.7	2.5	0.0	0.9
Special pension for farmers	7.7	5.6	2.9	3.4
Total	100.0	100.0	100.0	100.0

1. In same age group.
2. Excluding survivor pensions.

Source: Central Pension Security Institute and Social Insurance Institute (1999), *Statistical Yearbook of Pensioners in Finland*, 1998.

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Box 3. Early retirement pension schemes

Both the earnings-related and the national pension schemes pay pension benefits before 65 under several programmes.

The *disability pension* is granted from 16 to 64 years in case of work incapacity. Benefit levels are based on accrued pension rights during gainful employment as for the old-age pension, but the years since disability occurs until 65 also accrue pension rights but at a different rate (Box 2).

The *individual early retirement pension* is a special type of disability pension paid to someone between 58 and 64 with a long working career whose work capacity has been significantly reduced. When assessing the work capacity, apart from the health status, factors associated with age which could affect work performance are also considered. The benefits are as for the standard disability pension scheme.

The *unemployment pension* is available for those aged 60 to 64, who received an unemployment benefit for the maximum period (500 working days, approximately two years), and have been employed for at least five of the last 15 years. The unemployment pension benefit is lower than the old-age pension benefits as no rights are granted after the age of 60 when calculating the unemployment pension benefit (Box 2). Unemployment pensioners are considered as having withdrawn from the labour force and are, therefore, not included in the unemployment numbers.

The *unemployment benefit paid to* 55 *to* 59 *year olds* can also be seen as a kind of early-retirement scheme. This is the so called "unemployment pipeline to retirement". Those who become unemployed at the age of 55 or more receive an unemployment benefit for the maximum period of 500 working days. Moreover, they are entitled to an extension of a maximum of three years until the age of 60, when they will receive the unemployment pension. The benefit received is around 55 per cent of the previous wage. In practice, they do not have the obligation to look actively for work, although measures introduced at the beginning of this year may change this.

The *early old-age pension* can already be drawn by 60 year olds. The pension is reduced by 0.4 per cent per month of early withdrawal relative to the standard old-age pension at 65. Thus, five years of early retirement imply a pension that is permanently 24 per cent lower than the standard old-age pension. There is also the possibility to defer the old-age pension with the pension increased by 1 per cent for every month of postponement but with the ceiling remaining at 60 per cent of the pensionable wage.

Part-time pensions are available for those between 58 and 64 years who switch from full-time to part-time work. They represent around 9 per cent of all pensions for the age group 55 to 64. In the labour force statistics, these people are considered as employed. This scheme has been established recently and provides an alternative to other early retirement pensions. At the end of June 1999, 14 700 persons (1.2 per cent of all pensioners), twice as many as a year earlier, had retired on a part-time pension.

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those receiving a disability pension were 43 per cent in 1998, up from 39 per cent in 1990. The number of people in the disability scheme has decreased recently in Finland (Figure 28, Panel B), nonetheless, it has relatively more people receiving a disability pension than its Nordic neighbours (Table 14).

Another large portion of the early retirees is covered by the unemployment pension scheme. Those aged 60 to 64, who received an unemployment benefit for the maximum period of 500 working days and have been employed for at least five of the last 15 years, are entitled to receive an unemployment pension. At the end of 1998, around 22 per cent of pensioners aged 60 to 64 were receiving this pension (Table 13). In addition, those aged 55 or more can benefit from the "unemployment pipeline to retirement": those who become unemployed in this age group and have received an unemployment benefit for the maximum period are entitled to a three year extension with, in practice, no obligation to look actively for work (Box 3). About 2 per cent of the labour force is currently covered by the "pipeline" scheme, roughly the same number of people that are receiving an unemployment pension. Therefore, around 21 per cent of the population aged 55 to 64 are either in the "pipeline" or receiving an unemployment pension.

Finally, there is the possibility of an adjusted early old-age pension. However, given the size of the downward adjustment and the availability of other early retirement schemes, less than 5 per cent of retirees between 55 and 64 years have opted for an early old-age pension.

These schemes affect the retirement decision if they are not "actuarially neutral". A pension scheme is "actuarially neutral" if the value of pension wealth of an individual (*i.e.* the discounted sum of pension benefits received during his or her retirement) remains unchanged, irrespective of the scheme and the age of retirement. Calculations of pension wealth show that the present discounted value of the stream of pension benefits of an individual who takes an early old-age pension are 2.5 per cent higher than that of an individual who retires at 65 receiving an old-age pension.[92] Relative to pension wealth at a "normal" retirement at 65, the stream of benefits associated with the unemployment pension is 25 per

Table 14. **Disability pensioners in the Nordic countries**
1997, per cent of respective age group

	50-59	60-64	Total
Denmark	8.4	13.6	4.3
Finland	16.8	43.9	8.8
Iceland	9.7	17.2	5.6
Norway	16.3	33.8	7.6
Sweden	14.2	33.5	7.7

Source: NOSOSCO (1999), *Social Protection in the Nordic Countries*, 1997.

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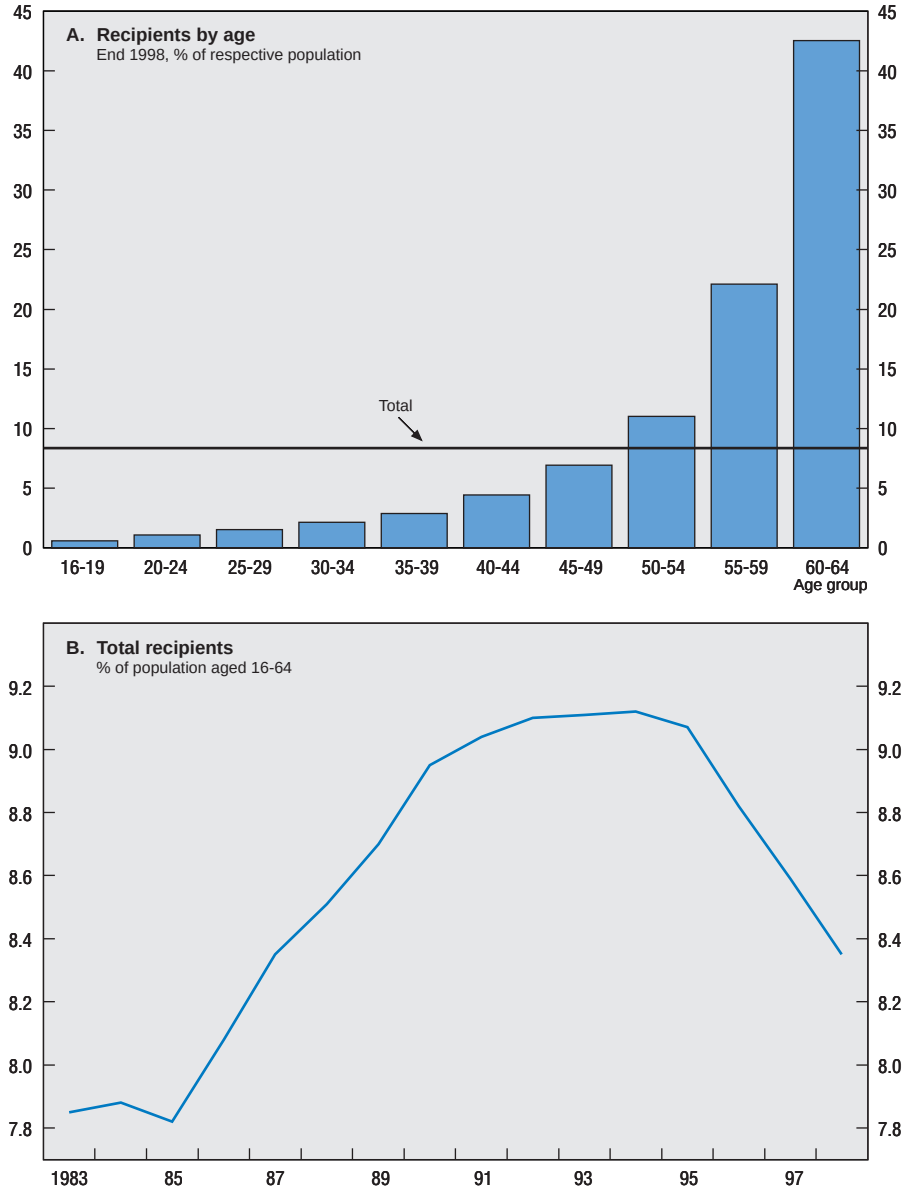
Figure 28. **Disability pensions**



Source: Central Pension Security Institute and Social Insurance Institution (1999), *Statistical Yearbook of Pensioners in Finland.*

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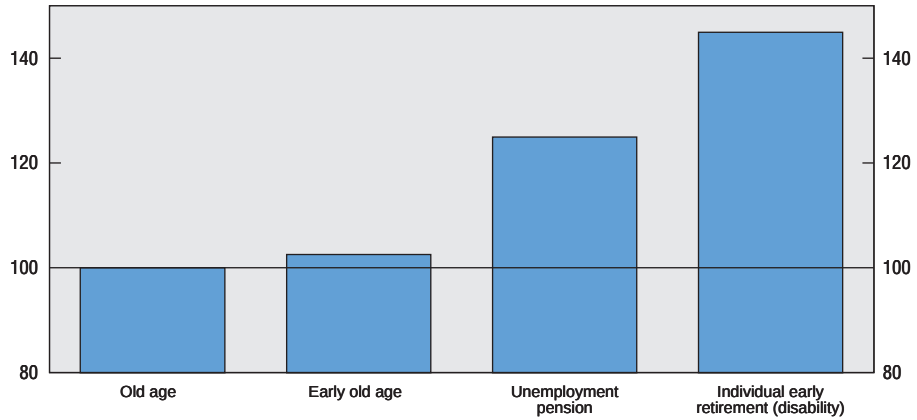
Figure 29. **Pension wealth by route of retirement**[1]
Per cent of old-age pension wealth



1. Present value of the future stream of pension benefits given average life expectancy at age 60. For an individual who began working at age 23 and takes any of the retirement routes as soon as they are available (see Box 3).
Source: OECD Secretariat.

cent higher, while the individual early retirement pension is 45 per cent above (Figure 29).[93] There are, thus, financial incentives for people to move into early retirement, especially for the individual early retirement (disability) and unemployment pension schemes.

The way pensions are financed penalises older workers

The national pension scheme is a PAYG system financed by employers' and government contributions. The earnings-related pension schemes are a mix of PAYG and a funded system where a part of the annual employers' and employees' contributions is used directly to pay for current pensions and another part to fund future pension payments. Thus, the overall contribution rate is divided into several components. It includes a component used to cover the pay-as-you-go part of pension payments and components to pre-fund old-age, disability and unemployment pensions (Figure 30, Panel A). A part of contributions are used to fund a third of old-age pension rights accrued from age 23 to 54. The size of the other components depends on the total expenditure needed to fund new disability and unemployment pensions.[94] Pre-funding is collective and, thus, has no effect on the size of the pension, but it affects the future path of contribution rates and could lead to refunds to employers in case of a high rate of return.

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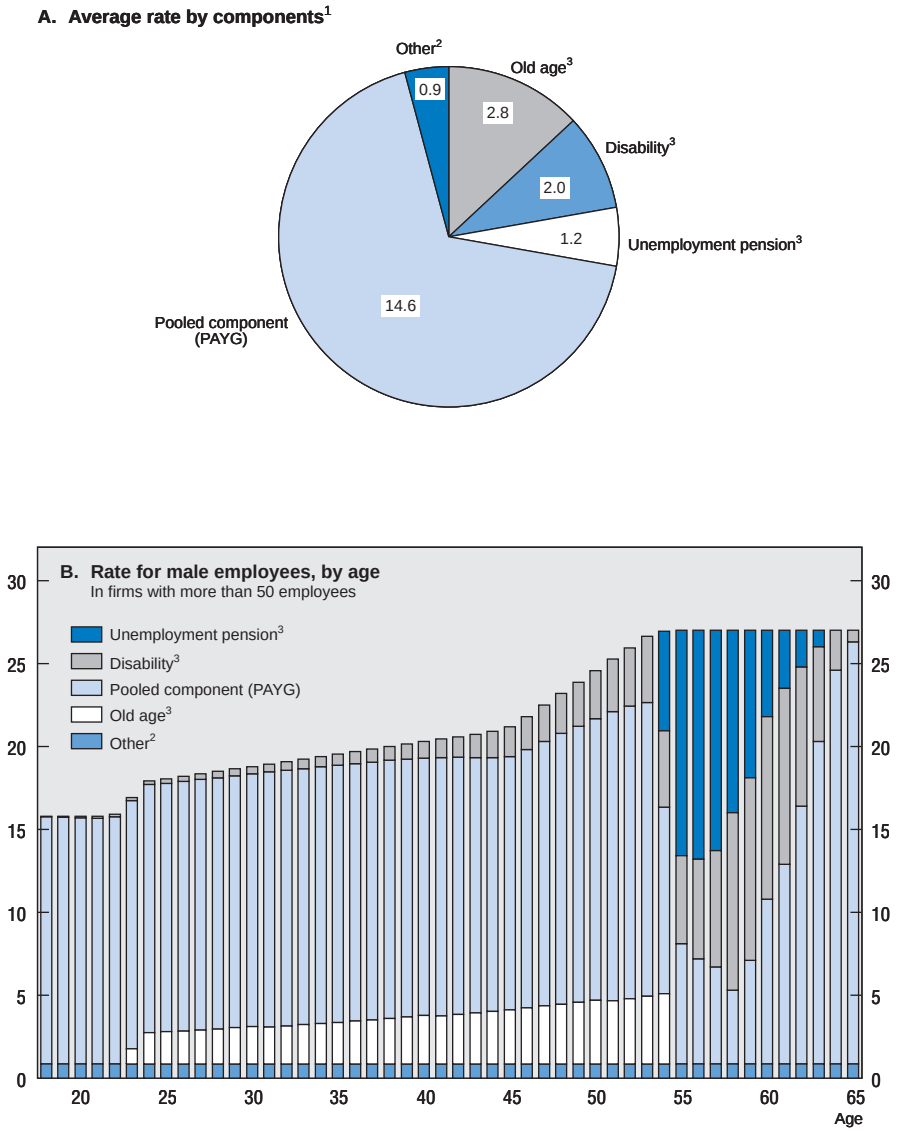
Figure 30. **Contribution rates**

TEL tariff premiums in the private sector in 2000, per cent of wages



1. The total TEL contribution rate is 21.5 per cent.
2. Administration costs.
3. Funded part.

Source: Central Pension Security Institute.

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Box 4. Pre-funding pensions

A part of annual employers' and employees' contributions is used to pre-fund old-age, disability and unemployment pensions (Figure 30, Panel A).

Old-age pensions

A third of the 1.5 percentage points of pension rights accruing to an individual between 23 and 54 years is funded. All pension rights accruing after 54 are completely financed by the pay-as-you-go system. Consequently, around 15-20 per cent of old-age pension benefits are funded.

The pre-funded part of the old-age contribution is calculated taking into account life expectancy at 65, the current age of the individuals and a discount factor of 3 per cent in nominal terms.

Disability and unemployment pensions

Pre-funding of unemployment and disability pensions is 80 per cent of future benefits. The remaining 20 per cent are covered by the PAYG component of the contribution rate. The degree of pre-funding or financing depends on the size of the firm.

Pre-funding is done collectively for firms with 50 or less employees via the components for disability and unemployment pensions of the overall contribution rate (Figure 30, Panel A). However, employers with more than 50 employees are responsible for their disability and unemployment pension expenditures. Their responsibility increases linearly from 0 per cent at 50 employees to 80 per cent with 800 employees.* At the same time, their share of the disability and unemployment premium decreases from 100 to 20 per cent.

Therefore, for firms with 800 employees or more, the employer pays 80 per cent of the principal value of the employer's own new disability and unemployment pensions at the time the disability and unemployment contingency occurs. But they do not pay any premium at all.

The pre-funding components of the contribution rate are calculated assuming an actuarial rate of return, or discount rate, of 3 per cent in nominal terms – around 1 per cent in real terms in 2000. There is also a benchmark rate of return approved by the Ministry of Social Affairs and Health, currently 5.25 per cent in nominal terms. Returns on pension funds over and above 3 per cent but below the benchmark are used to increase funding, but returns to investments above the benchmark can be used by pension funds to compete to attract employers.

* Before 2000, the maximum was 50 per cent for unemployment pensions and 100 per cent for disability pensions. Employers had thus a much greater incentive to use the unemployment pension route. Actually, the number of people under unemployment pensions increased during the 1990s.

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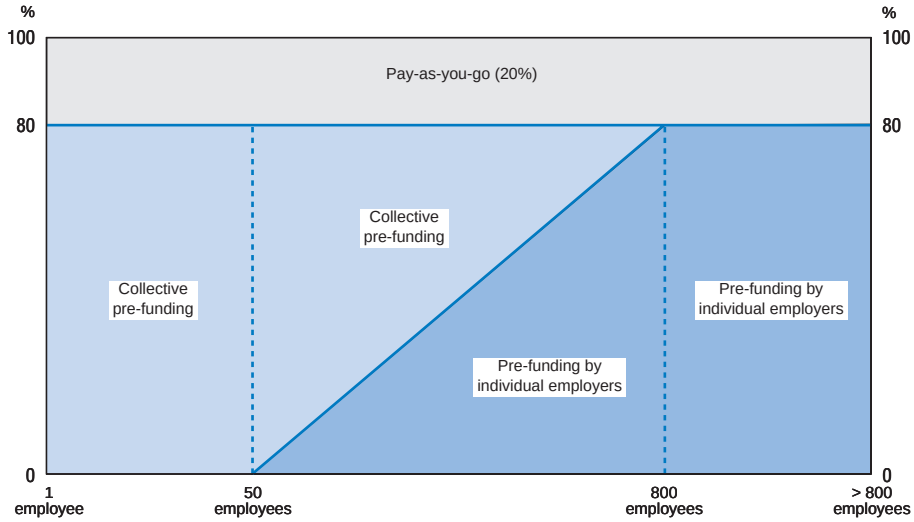
Currently, the average contribution rate in the private sector scheme for permanent employees is 21.5 per cent of gross wages. Unemployed and early-retired do not pay a pension premium although they accrue rights. Employees pay 4.7 per cent and employers, on average, 16.8 per cent.[95] However, the rate varies with firm size. Firms with 50 or fewer employees pay an overall rate of 22 per cent. For firms with more than 50 employees the rate can vary from 14.5 per cent to 30.7 per cent depending on the age and gender of the insured employees (Figure 30, Panel B).[96] The component covering disability and unemployment increases substantially for workers aged 55 and over because the risk increases. This contribution rate profile clearly discourages large firms from retaining older workers. On the other hand, firms with more than 50 employees have to fund the corresponding amount of pension payments for disability and unemployment pensions at the time the disability or unemployment occurs until the official age of retirement (Box 4). The amount of this pre-funding increases with firm size (Figure 31).

Firms with 50 or less workers are clearly indifferent between retaining older workers or letting them retire.[97] Firms with more than 50 workers can save by dismissing older workers and, thus, avoid paying the higher unemployment and

Figure 31. **Financing of unemployment and disability pensions**

Per cent of total by size of firm



Source: OECD Secretariat.

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Box 5. Pension reforms during the 1990s

The severe recession at the beginning of the 1990s and the looming demographic challenge led to several reforms of the pension system to improve its long-term sustainability. The reforms are estimated to have reduced expenditure in 2030 by around 8.5 per cent of the wage sum (Table 15).

In the face of the deteriorating financial situation of the pension system, the first reforms introduced employees' pension contributions in 1993, increased the official retirement age for public sector employees from 63 to 65 years, and reduced the annual accrual rights for civil servants from 2.2 to 1.5 per cent, to bring pension benefits more closely in line with those of private sector employees. The reforms in the public sector are being introduced very gradually, with the transition period ending in 2032. The reform originally only applied to new civil servants but since 1995 all those aged 55 or below were also included, speeding up the reform.

Several other measures were also taken in 1994:

- Pensions were not adjusted for inflation in 1994. This had a permanent, one-time effect on pension expenditures as this was not offset later.
- The lower age limit for individual early retirement pensions was raised from 55 to 58 years and was lowered for part-time pensions from 60 to 58 years.
- The accrual rate for those in gainful employment from 60 to 64 was raised from 1.5 to 2.5 per cent to increase incentives for longer labour market participation.

In 1996, future pension outlays were reduced by extending the period over which pensionable earnings are calculated from the last four years' earnings to the last ten years. This extension is being gradually implemented and will be fully effective in 2002. Pension expenditures were also cut by defining pensionable wages as net of employees' pension contributions and by reducing the weight of wage increases in the pension benefits indexing formula from 50 to 20 per cent and increasing the weight of the consumer price index to 80 per cent. Yet, the way pensionable wages are indexed to wages and prices (50-50) was maintained. Finally, the basic amount of the national pension paid to all was gradually reduced and will be eliminated in 2002, thus extending means-testing for eligibility to the national pension.

Furthermore, in 1996, one of the most important reforms of the 1990s in terms of savings (Table 15) was to reduce the accrual of pension rights during the years in early retirement till the official retirement age of 65. The annual accrual rate for retirement pensions for those in disability, individual early retirement and unemployment pensions was reduced from 1.5 to 1.2 percentage points for those aged 50 to 59 and from 1.5 to 0.8 percentage points for those aged 60 to 64. The changes were retroactive.

In 1997, the rules of pension funding were changed substantially making it possible for pension funds to invest in more risky assets such as shares. This has increased the rate of return on investments and led to some increased funding. The investment yield had already been improved in 1993 by the introduction of mandatory bank guarantees on re-lending of pension contributions to employers.

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Box 5. **Pension reforms during the 1990s** (*cont.*)

Also in 1997, the unemployment "pipeline" was shortened, with indirect favourable effects on the pension system. The number of years of extension of the standard unemployment benefit period for older workers was reduced from 5 to 3 years, shortening the "pipeline" eligibility by two years (from 53-59, to 55-59 year olds).

To increase old-age workers' incentives to remain at least partly in employment, the lower age limit for part-time pensions was lowered temporarily from 58 to 56 years in 1998.

Table 15. **Savings in 2030 due to changes in the pension schemes in the 1990s**

Date	Changes	Billion FIM (in 1998 prices)	% of wage sum
1.1.1996	Pensionable salary	–2	–0.4
	Post-contingency accrual	–7	–1.5
	Indexation	–7	–1.5
	National pension	–4	–0.8
1.1.1994	Retirement ages	–4	–0.7
	Other	0	–0.1
1.1.1993	Public sector reforms	–12	–2.7
1.7.1990	Survivors pensions	–4	–0.8
Total		–40	–8.5

Source: Central Pension Security Institute.

disability premium. However, they have to fund the corresponding amount of pension wealth until the official retirement age. Big firms have two ways to avoid this liability cost: they can transfer older workers to smaller firms (for instance subsidiaries) or can end the contractual relationship early enough.[98]

In summary, there are several channels for early retirement. While pension reforms in the 1990s (see Box 5) and the reform in early 2000 (Box 6) have greatly improved the situation and have reduced the costs of the pension system, the way pension benefits are still calculated introduces incentives to retire early.[99] Moreover, the way of financing disability and unemployment pensions introduces disincentives for employers to keep or hire older workers. Finally, and most importantly, the 60 per cent ceiling on accrued pension rights greatly reduces the incentive to work beyond 61 years.

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Box 6. The 2000 pension reform

The following reforms came into force at the beginning of 2000 based on the agreement reached in July 1999 by the representatives of the social partners and the pension institutions:

- New pensioners will no longer accumulate pension rights for unemployment pensions from the time they receive an unemployment pension until the general retirement age of 65. This lowers the unemployment pension benefits by 7 per cent. However, at 65 the unemployment pension ceases and an old-age pension is granted, and the years of receiving an unemployment pension do accumulate pension rights at 0.8 percentage point (Box 2).
- The financial disincentive for large employers to use the unemployment pension scheme has been raised. Large employers have to pre-fund a larger part of the unemployment pension of an older employee who becomes unemployed (Boxes 3 and 4). Their own risk has been increased to 80 per cent from 50 per cent. At the same time, the financial disincentive for large employers to use the disability pension scheme was aligned with that of the unemployment pension scheme (it was decreased from 100 to 80 per cent) and has therefore become somewhat smaller. Moreover, employers' contributions per employee to unemployment pensions have increased, except for workers hired when aged 50 years or older.
- The age limit of the individual early retirement pension was increased from 58 to 60 years for those born after 1944. Thus, the measure will only start to bite in 2003.
- The temporary reduction of the age limit for part-time pensions from 58 to 56 years was extended to 2002.

The changes came into force at the beginning of 2000 for the private sector and will come into force later for the public sector. Together with these changes, the government introduced labour market measures for those aged 55 to 59 years. This age group will now be covered by the Public Employment Service (PES) the same way as younger unemployed, while before the PES treated them as effectively retired. When 55 to 59 year olds become unemployed, there will be an immediate interview by a PES officer, their ability to work will be examined and they may be offered a job-search training within three weeks. After an unemployment spell of three months, they can be offered vocational training or a training place in the private or public sector. After an unemployment spell of 11 months, they can be offered a subsidised job. The 2000 Budget includes FIM 70 million for subsidised jobs for the 55 to 59 year olds. The impact of these new measures remains to be seen and could be limited as, in line with past experience, they are unlikely to be fully enforced by the PES.

The government will assess in the coming years, together with the social partners, the impact of the new measures on the effective retirement age. It has announced additional measures, if this initiative is considered insufficient, to increase the effective retirement age by 2 to 3 years in the long run, the goal set in the 1999 government programme.*

* This goal is not new. Already the 1990 Pension Committee advised the taking of measures which would increase the effective retirement age by one year per decade until 2020.

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More pensioners are close to the poverty line than the rest of the population

Poverty rates are below the average rate for the whole population for households headed by 64 to 74 year olds but slightly above the average for the group of 75 years and older (Table 16). More old-age households as compared to the rest of the population are, however, just above the poverty line of 50 per cent of the median income and increasing the poverty line to 60 per cent raises poverty levels among old-age households five-fold.[100] When considering the likelihood that an old-age individual, not a household, becomes poor, the picture changes. While Finland has the lowest overall poverty rate among several OECD countries, this is not the case for those 65 years or older. During the 1990s, the poverty rate of pensioners has fallen much more rapidly than for the population average, partly because the deep recession of the early 1990s had a smaller negative effect on pensions than on wages. Pensions are by far the most important source of income for the retired (Table 17), ranging from 89 per cent for the lowest quintile to 67 per cent for the highest quintile. For the lowest quintile, the national pension scheme makes up the largest share while for the other quintiles it is the earnings-related pension schemes. As noted, the importance of the national pension falls as other pension income increases.

Table 16. **Poverty rates by age group**[1]

	All households	–24	25-34	35-44	45-54	55-64	65-74	75+
1990	4.7	16.9	2.7	1.8	2.5	5.3	8.4	19.3
1991	4.3	22.8	3.5	2.0	2.3	4.0	4.0	11.7
1992	4.1	24.0	3.6	2.2	2.0	2.7	3.8	9.0
1993	3.4	22.8	3.6	2.2	2.1	1.4	1.2	3.5
1994	3.5	27.3	3.0	2.1	1.9	2.4	1.1	4.9
1995	3.5	25.0	3.0	2.1	2.0	2.5	1.5	4.7
1996	3.7	29.1	2.8	2.4	2.0	3.5	2.2	3.1
1997	4.1	33.9	4.1	2.0	2.2	2.6	1.4	4.7
1998	4.2	30.3	4.5	2.3	2.4	2.8	1.6	4.4
Memorandum item: 60% poverty line 1998	9.6	47.7	10.8	5.0	5.2	7.2	9.9	17.6

1. Age group refers to the age of the head of the household. The poverty line is 50% of the median equivalent disposable income of all households. Household disposable income includes imputed rents of owner-occupied dwellings. Only non-institutionalised population.

Source: Ministry of Social Affairs and Health, calculations from the Income distribution survey micro data files.

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Table 17. **Income structure of old-age[1] households by quintile**
1997, per cent of gross income

	I	II	III	IV	V	All old age households
Earnings	2.1	1.7	2.5	3.2	11.1	5.9
Capital income	0.7	1.1	1.2	2.3	12.2	5.7
Imputed rent of owner-occupied dwellings	7.7	10.9	10.7	9.5	8.1	9.2
Pensions based on private/individual insurance	0.9	0.4	0.6	1.1	1.5	1.1
Earnings related pensions	36.4	48.1	56.6	62.8	56.8	55.1
Social transfers (including national pensions)	52.2	37.8	28.3	21.2	10.3	23.0
Taxes and social security contributions	–7.3	–10.0	–14.2	–18.5	–27.4	–19.2

1. Age 65 and over.
Source: Ministry of Social Affairs and Health, calculations from the Income distribution survey micro data files.

Care for the elderly

The institutional set-up

Care for the elderly is largely publicly financed and provided. The Finnish health care system, which was reviewed in detail in the 1998 S*urvey* (OECD, 1998*b*), and other care services for the elderly are organised at the municipal level on the basis of general legislation set at the national level that provides the core principles of social welfare. The role of the central government is now limited to providing a general framework governing the scope and standards of care provided. The central government establishes broad guidelines and supplies information on financing, operating costs and investment policy, and monitors compliance. The 1998 OECD S*urvey* indicated that there is scope for further improvements to both the quality and cost-effectiveness of health care.

The health care and social welfare system provide high quality health care and a wide range of services – *e.g.* support services, home help, service housing, institutional care and support for informal care.[101] Spending on health care is close to the OECD average (8 per cent of GDP in 1999) following a very sharp fall in expenditure in real terms in the early 1990s, as highlighted in the 1998 S*urvey*. This was largely achieved through improvements in productivity in the hospital sector. Outlays on care for the elderly represent around 1 per cent of GDP.[102] A large part of the financing is in the hands of the municipalities. This was reinforced in 1993 when the central government transferred responsibility for finance and planning to the local administrations. Financial support by the central government was changed from cost sharing – which encouraged the expansion of local government services – to a fungible block grant covering services provided by the municipalities.

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While municipalities have a large degree of autonomy in deciding on how health care and other care for the elderly is provided, services for the elderly are primarily publicly produced. Ambulatory care is provided at municipal health centres with salaried doctors and staff, although there are private specialists, many of whom also work on a salary basis in hospitals. Municipal health centres also have some in-patient services and about half of these beds are used for long-term care for the elderly. Hospital care is organised at the level of 21 hospital districts (governed by the municipalities) which run one to three acute care hospitals and one to two psychiatric hospitals. Municipalities usually purchase health care from these local providers – on the basis of a range of pricing mechanisms – although they can also purchase from other suppliers.[103] Pharmaceutical drugs are sold in privately owned but highly regulated pharmacies.

The supply of non-health care for the elderly is provided by the municipalities themselves (sometimes jointly or purchased from non-governmental organisations, an option that is on the rise). When an elderly person needs regular care, the quality and quantity of services is ensured through an individual service and care plan which is drawn up together with the older person and his or her immediate family and a working group, often made up of a general practitioner and social workers who can best assess the functional capacity of the older person. Since a key policy objective in this context is to allow individuals to remain independent as long as possible, there is increasing attention paid to using the existing health care and support services to rehabilitate the elderly rather than maintain them in an institutional environment. However, there is probably greater variation in both the type, quantity and quality of care in this area across municipalities than in health care, thus providing scope for improving the cost effectiveness of public policies in this area.

Sharp drop in health care costs and in institutional care

As highlighted in the 1998 *Survey*, health care spending was sharply reduced between 1991 and 1994. This was largely achieved through improved management and resource allocation[104] and a continuing shift from in-patient care towards ambulatory care and pharmaceuticals. Reductions in the scope and quality of care appear to have been limited, although the extent is difficult to judge.

In general, most people of retirement age are independent; 93 per cent of those above the age of 65 live in private accommodation and require little in the way of additional help. In 1996, 7.5 per cent of this group received regular home services. Five per cent of those over 65 and 10 per cent of those over 75 were in long-term care in homes for the elderly or in hospitals and 2.5 per cent of those over 65 were in service housing. The number of individuals in institutional care fell in the 1980s and this trend continued in the 1990s (Figure 32). This was accompanied by increased service housing, thus reducing the operating costs of the

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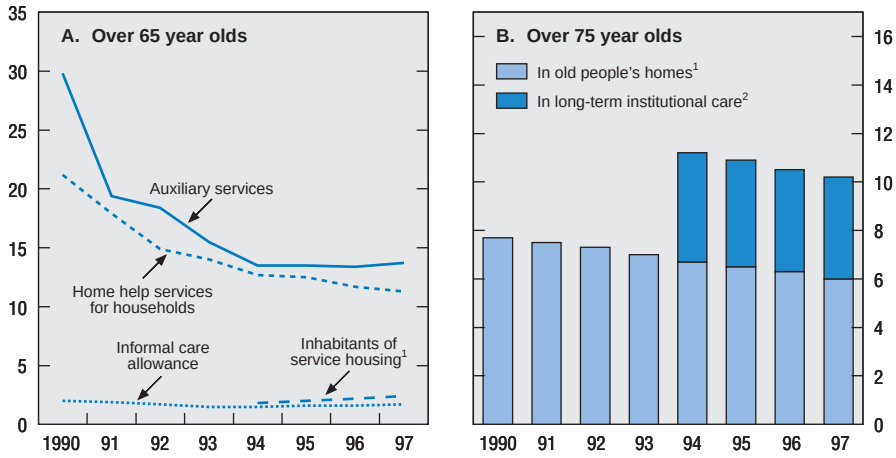
Figure 32. **Recipients of the main forms of care for the elderly**
Per cent of people in same age group



1. At 31 December; no data available 1990-93.
2. In hospitals and health centres for care lasting over 30 days; no data available 1990-93.
Source: Ministry of Social Affairs and Health (1999), *Trends in Social Protection in Finland 1998-1999.*

system, although those entering long-term care are now generally older and in poorer physical and mental condition than in the past. Finland compares favourably with the other Nordic countries: they have the lowest share of the elderly in institutional care or service housing (NOSOSCO, 1999).

Other services for the elderly appear to have declined in volume, possibly reflecting budget restrictions at the municipal level, but possibly also increased service charges. The more limited supply of services has meant that they have been concentrated on those most in need and the policies aimed at rehabilitation may have been neglected. There is some concern that a narrow focus on services may lead to an increased demand for institutional care and service flats as individuals perceive care as difficult to obtain outside institutions. Another concern is the wide variation in the supply and quality of services across municipalities.

Financing of the system: substantial and increasing user fees

A portion of health and social spending is paid in the form of a fungible block grant from the central government, which is calculated on the basis of population, demographic structure, the unemployment rate and classification of its

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financial capacity.[105] The remainder is financed by the municipalities and through user charges. In the event, about three-quarters of health care is financed by the public sector with the remainder in the form of out-of-pocket payments by patients.[106] The share of the latter has increased by 4 to 5 percentage points during the 1990s. For social services – of which one quarter is provided in the form of care for the elderly – only one eighth is financed through out-of-pocket payments. If out-of-pocket payments by patients reach a yearly ceiling, there is no further cost for the individual for additional health services. For other care for the elderly, user charges are limited to the cost of the services and, while certain services are free of charge, the size and the way they are calculated varies across the country. Services are not asset tested.

The current pattern of user fees leads to two problems. *First*, the combination of income taxes, the income-tax deductible housing allowance and ceilings for client fees can lead to a "poverty trap" type development – *i.e.* incomes net of taxes and service charges can decline as gross income increases. In other words, individuals receiving care can be less well off on a net basis with a higher pension and for the same level of services provided (Ministry of Social Affairs and Health, 1999). A *second* problem arises because ceilings on user charges can mean that the user charges do not reflect the relative cost of the services, particularly for high-cost institutional care. For example, individuals living independently, but with a high need for care, may find it financially more attractive to enter institutional care: since food, lodging and medical care and medication are covered they may be better off even where the user cost is a maximum of 80 per cent of net income.

Recent policy changes concerning care for the elderly

With the variation of practices across municipalities a key area of concern, the authorities have established a "Social and Health Care Target and Action Programme", in part to help bring greater consistency to policies in this area and to encourage the achievement of broader health care goals. A first four year programme covers the years 2000-03. This programme has been drawn up by relevant ministries, the Federation of Municipalities and various health-care organisations. While targets and instructions are not binding on the municipalities, policies will be followed and monitored by a set of committees. A major policy goal is to promote the independence of individuals as long as possible. In this context, prevention (*e.g.* voluntary preventive home visits to assess risks of home accidents for all individuals over 80, to assess the need for auxiliary help and repairs), ensuring adequate supply of qualified care personnel in a non-institutional environment and an emphasis on rehabilitation in health care are key areas of consideration. Furthermore, there is the need to introduce more uniform standards and practices in assessing needs and the appropriate quantity and intensity of services. Greater information on best practices may help municipalities

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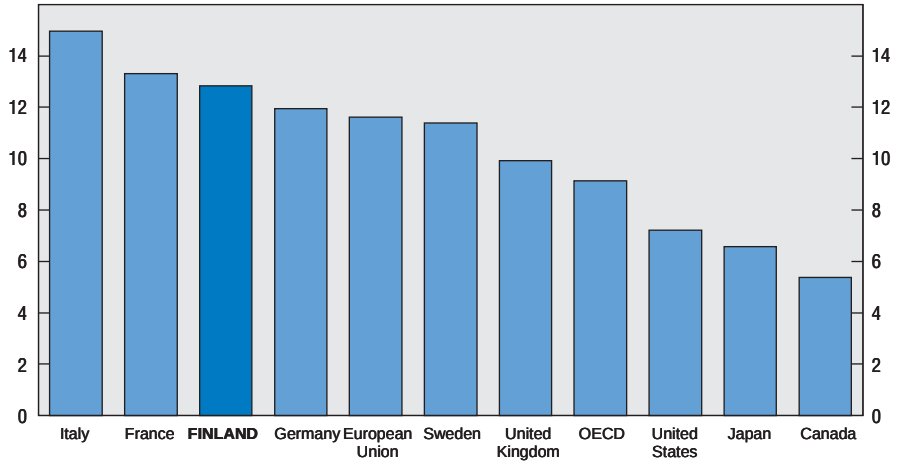
improve the cost effectiveness of their services. Finally, financing of services and policies regarding user charges will also need to be reconsidered so as to minimise the financial incentives to enter an institutional environment.[107]

Ageing will substantially increase the fiscal burden

Pension expenditures in Finland – already high by international comparison (Figure 33) – are expected to increase from around 12 per cent of GDP in 2000 to just over 16 per cent between 2030 and 2050 (Figure 34).[108] The share of statutory earnings-related pensions will increase from 8.3 per cent of GDP in 1998 to an estimated 14.6 per cent by 2050, while the share of national pensions will fall from 2.5 to 1.1 per cent as the earning-related pension system matures.[109]

The projected rise in spending will require, given current benefits and funding rules, an increase in the pension contribution rates of around 10 percentage points, from 21.5 to 32 per cent.[110, 111] The current partial funding arrangements are thus insufficient to prevent a substantial increase in contribution rates. Fund assets would be depleted by 2030 if current contribution rates were kept constant. A rise in the contribution rate of 10 percentage points would clearly jeopardise the labour market performance and the competitive position of the Finnish business sector.

Figure 33. **Pension expenditures in selected OECD countries**[1]
Per cent of GDP, 1995



1. Differences in the tax treatment of pensions across countries are not taken into account.
Source: OECD Social Expenditure database, 1999.

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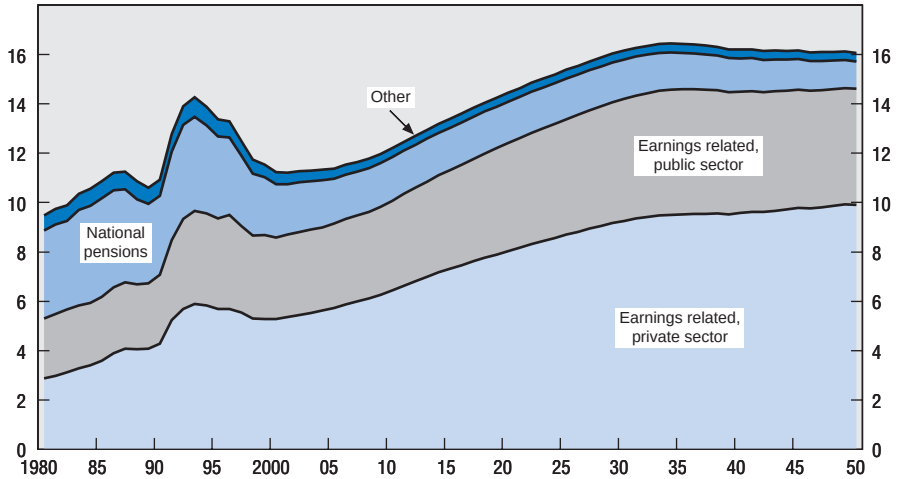
Figure 34. **Projected pension expenditures**
Per cent of GDP



Source: Central Pension Security Institute.

These long-term projections may be optimistic. They assume an increase in the employment rate from 65 to 72 per cent in 2015, which comes almost entirely from a decrease in the unemployment rate from 10 per cent in 2000 to 5 per cent by 2015.[112] Achieving this outcome almost certainly requires additional labour and product market reforms. If unemployment were to remain at 10 per cent, pension expenditure would be around 0.6 to 0.8 percentage point higher than projected (Klaavo *et al.*, 1999).

Although, the risk of a more pessimistic demographic development than officially projected may be somewhat less in Finland than in other countries as official projections are rather cautious, uncertainty over future demographic developments is high.[113] A higher old-age ratio, for instance caused by a drop in fertility or longer life expectancy, could require a rise in the contribution rate to 50 per cent (Lassila and Valkonen, 1999). On the other hand, the projections assume productivity growth of only 1.5 per cent per year. An increase to 2 per cent would reduce expenditure over GDP by 1 percentage point (Klaavo *et al.*, 1999).

The main policy lever to tackle the ageing problem is to increase the effective retirement age. These projections are based on only a marginal increase in the effective retirement age. An increase of the effective retirement age by 2 to 3 years – the government target – would reduce pension outlays by 1.5 percentage

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points of GDP. Contribution rates would still rise by 6.5 percentage points though. Reaching the government target is, therefore, not enough to prevent a sizeable increase in the pension burden.

Outlays on care for the elderly will be affected by the sharp increase in the share of the population aged 65 and by the increase in the average age of the elderly. While the numbers of the elderly will rise from just under 15 per cent of the population in 2000 to around 25 per cent, the share of the very old (80+) could increase from around 3 per cent of the population to around 9 per cent over the same period. Thus, the average age of the elderly will rise, with the sharpest increases occurring between 2020 and 2035. On the basis of the current structure of costs by age, official estimates suggest increases of about 2 percentage points of GDP between now and 2050 for health care spending and an additional 1 to 1½ percentage points for non-health care for the frail elderly (Figure 35).[114] These estimates only take into account the changing population structure and do not allow for a possible lengthening of disability-free lives, or technical progress in the provision of health care (which would lower costs), or more capital intensive health care, or increases in relative wages of health care workers (which would increase it) (Jacobzone *et al.*, 2000).

Options for reform

In summary, ageing poses a serious challenge and it will occur earlier than in most OECD countries. The number of persons of working age per person of pensionable age will fall from four in 2000 to two in 2035, a level reached only in 2050 for the average of OECD countries. Even under "optimistic" assumptions of a considerable rise in the employment rate, the pension contribution rate is projected to increase from 21.5 per cent in 2000 to 32 per cent in 2050. In addition, the impact of ageing on health and non-health care costs for the elderly, estimated at 3½ per cent of GDP, will need to be financed.

To prevent a steep rise in the overall tax burden of the order estimated above, an increase in the effective age of retirement should be pursued as the main policy goal. The measures put in place in January 2000 acknowledge this and are a step in the right direction. They have made retirement through unemployment pensions less favourable and introduced labour market programmes to keep 55 to 59 year olds in work. The new measures are, however, unlikely to be sufficient to reach the government's goal of an increase in the effective retirement age by 2 to 3 years in the long run. Moreover, reaching this goal will only mitigate but not prevent a steep rise in contribution rates.

Several policy options are available to tackle the impact of ageing (Box 7). Lifting the current ceiling to accrue pension rights beyond 60 per cent of the pensionable wage would help to reduce incentives to retire early. With the earnings-related pension system fully maturing in the coming years, this ceiling is

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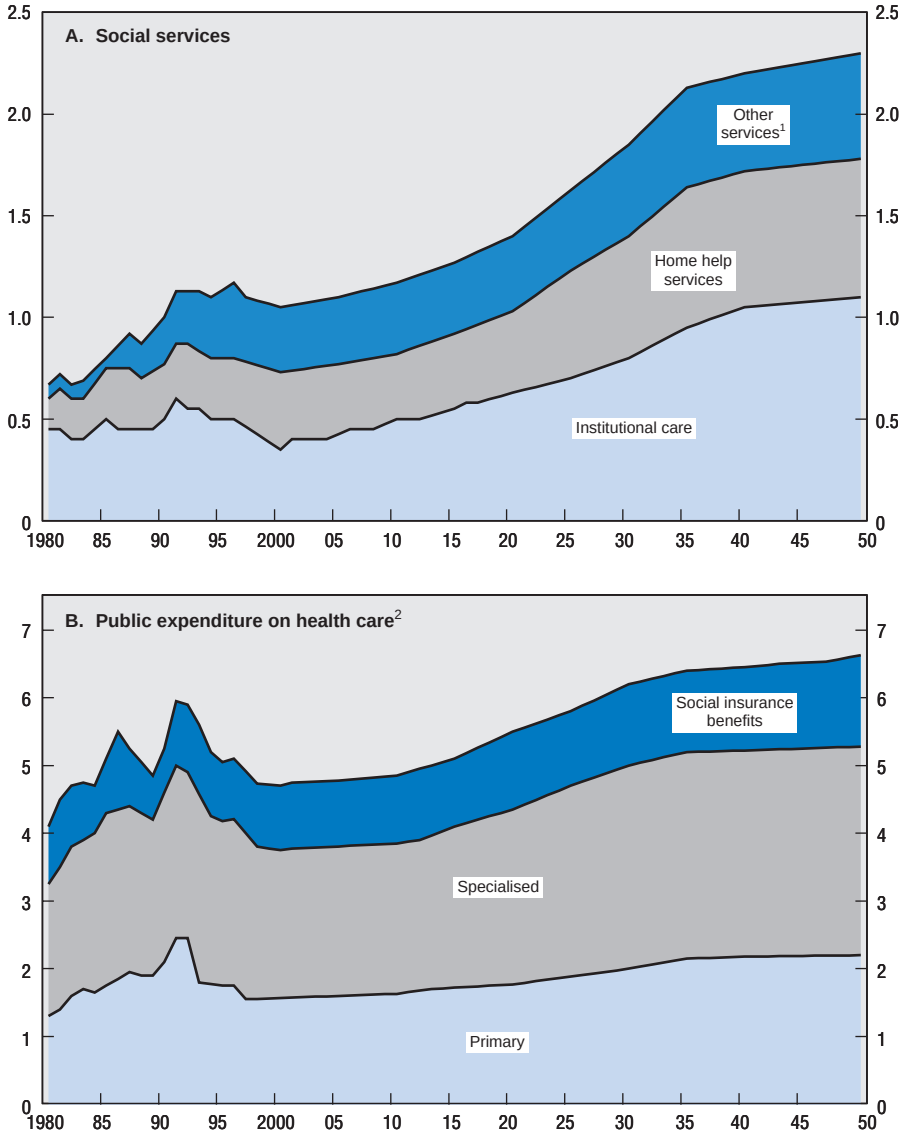
Figure 35. **Health care and other costs for the elderly**
Per cent of GDP



1. For elderly and disabled.
2. Certain items only.

Source: Ministry of Social Affairs and Health.

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Box 7. Synopsis of options to reduce the economic impact of ageing

Remove incentives for early retirement

- Lift the pension ceiling of 60 per cent of the pensionable earnings in order to make work above the age of 60 attractive.
- Abolish old-age pension accrual during early retirement.
- For older workers, shorten the "unemployment" pipeline to early retirement by reducing the extension of unemployment benefits to the standard period.
- Put early retirement schemes on an actuarially sound footing.
- Removal of incentives to early retirement could be combined with using the whole working career earnings to calculate the pensionable wage. At the same time, this would remove the impediment to labour mobility caused by the calculation over the last ten years for each employment contract.
- Increase the statutory age of retirement.
- Decrease accrual rates during gainful employment, in particular from 60 onwards.

Introduce elements of defined contributions in the pension system

- Consider the introduction of personal pension accounts for older workers.

Smooth the future impact of ageing by increasing funding now

- Use higher returns on pension fund investments, as well as any additional contributions from economic windfalls to increase the funding of the earnings-related pension schemes.
- Introduce a properly funded pension scheme for central government employees.

Improve job opportunities for older workers

- Reduce the current age-dependency of the pension contribution rate to raise the incentive for enterprises to keep older workers.
- Step up active labour market measures for older workers.
- Apply sanctions in case older unemployed refuse training or a suitable job.

Prudent fiscal policy should be pursued

- Stick strictly to the goal of the Stability Programme of a sizeable surplus of the general government.
- Avoid an increase in the tax burden to finance higher health and non-health care costs for the elderly.

Enhance the efficiency of the health care and non-health care system for the elderly

- Provide more information on current practices to reduce the wide quality and cost variation between municipalities.

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Box 7. **Synopsis of options to reduce the economic impact of ageing** (*cont.*)

– Review the current system of user charges in order to avoid situations where ceilings lead to a shift to more costly facilities.
– Complement income-testing by asset-testing.

Pursue structural reforms of labour and product markets and the public sector that lift labour productivity

becoming binding for a rising number of older workers. In this respect, the current system is inconsistent: while it provides incentives to stay employed at an older age because of the higher pension accrual rights beyond the age of 60, it also undermines this by putting a ceiling on the extent to which these rights can accrue in practice. In this light, the need to have higher pension accrual rates for people in gainful employment aged from 60 to 65 could be reconsidered. Lifting the 60 per cent ceiling will lead to higher pension payments by increasing replacement rates. One specific alternative would be to lift the ceiling in combination with full funding of the accruing rights after the age of 60 years.[115] A second alternative would be to lift the ceiling in combination with the introduction of personal pension accounts for older workers (Hautala and Tuukkanen, 1999 and 2000).

The personal account would be funded by the pension contributions and the yield on the contributions. The longer persons keep working the higher will be the account at the end of the working career and the higher will be the annuity paid on the basis of the account during retirement.[116] This could create a strong financial incentive to remain longer in the labour force.[117] In general, the introduction of personal accounts leads to the double burden of paying into a personal fund while simultaneously continuing to contribute to the pay-as-you-go scheme. In the case of the introduction at the end of the working career to top up already accrued pension rights, this double burden is, however, limited. This is because many older workers are usually already retired in Finland and, hence, do not make contributions to the system in any case.[118]

As already recommended in previous S*urveys*, the disability and unemployment pension schemes should be made less attractive by eliminating the old-age pension rights granted during the period of early retirement. Also, the entry rules to the disability scheme should be reconsidered. Eligibility should be allowed for medical reasons alone. As noted, for bigger firms, the pension contribution rate for older workers is much higher than for younger ones reflecting the

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higher disability and unemployment risks. To raise the incentive for enterprises to keep older workers, these risks could be spread over the entire employed population, thus eliminating the current age-dependency of the pension contribution rate. Finally, the "pipeline to unemployment pension" scheme should be phased out by shortening gradually the extension of the unemployment period for the 55 to 59 year olds (currently three years, after the standard maximum unemployment benefit period of 500 working days). The improving labour market situation would prevent tensions developing from such measures. In this respect, the labour market policy programmes for older workers introduced at the beginning of the year are welcome. However, to make such policies effective, it is necessary for the Public Employment Service to link unemployment benefits for older workers to the requirement not to refuse training or suitable jobs.

The funded part of the earnings-related pension schemes could be gradually increased to prevent a sharp rise in contribution rates as the baby boom generation enters retirement. At a minimum, contribution windfalls due to stronger employment and output growth or a higher than expected rate of return on investments should be fully used to increase the degree of funding. As part of a comprehensive reform that will remove the 60 per cent ceiling, increase funding and introduce elements of defined contributions, pensionable wages could be calculated on lifetime earnings rather than the last ten years of earnings.

Currently all employees are covered by the earnings-related pension scheme. The introduction of a pension ceiling in combination with individual supplementary pension insurance schemes may be considered. On the other hand, lowering generosity in general is probably not an option as pensions are not high in comparison to average wages.

The distorting effect of the pension system on labour market decisions of employees is possibly smaller in Finland than in some other OECD countries with earnings-related pension schemes. For instance, the individual approach to pensions does not discourage employment by the second earner. However, labour mobility is discouraged by the calculation of pensionable wages and, thus, benefits per each employment contract. This distortion would disappear if pensions were based on the whole working career, as suggested above.

In the area of health care and care for the elderly, Finnish policies appear to have been rather successful to date. While cross-country data are sketchy in this area, they provide a full range of care at a cost which is close to the OECD average. At the same time, the trend towards institutionalising the elderly has been reversed. This may partly reflect the incentives inherent in the current approach to financing the system. By limiting the financial role of the central government to providing a fungible block grant, local authorities face greater pressure to control costs, to find the best balance of institutional and non-institutional care and to improve the linkages between health and social policy more generally. However,

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as reported in the 1998 *Survey*, there may be some problems associated with co-ordination between care providers, which leads to an overlap of health care services supplied by various health care institutions. There is also the need for greater specialisation within the hospital system to improve efficiency and the quality of care. Similarly, despite overall guidelines for policy set at the national level, there is still a wide range of practice in care from one municipality to another. There are no steering mechanisms available to help correct these problems and increase co-ordination between the various levels of care. The recent "Social and Health Care Target and Action Programme" put in place by the government is a first step in this direction and may serve a useful purpose by providing more information on current practices.

Within this context, the use of user charges may require review. While the local authorities need to balance trade-offs between access to services with that of limiting unnecessary demand through user charges, the current approach, which is partly income tested, may create incentives to enter institutional care. As the need for services – such as home help and auxiliary services – increases, their cost, at some point, will be more than the cost of living in a retirement or nursing home (once additional living expenses are taken into account). Given ceilings on user charges, the full cost of long-term care is not visible to the user. One response to this dilemma is to make long-term care subject to an asset as well as an income test, thus increasing user charges on the wealthy and reducing the net cost of these services to the taxpayer. As it stands, subsidies to long-term care of the elderly normally benefit those inheriting the estate, as the assets of the individual are, generally, left untouched in the last years of life if they are in institutional care. Such policies need not imply individuals being forced to sell off their assets: the cost of care could be accumulated and liquidated at the time of the estate. The revenue potential of such policies is difficult to judge. However, it is known that close to 90 per cent of the elderly are homeowners. In considering such policies, careful attention would need to be paid to the risk that assets are transferred to heirs while the person is alive to avoid paying these costs. In any case, such policies would have to be carefully designed if they are not to have adverse effects on household saving.

Finally, structural reforms of the labour and product markets and the public sector that would lift labour productivity growth would ease the future financial burden associated with ageing. They would increase resources available to society and would make it possible for the young to enjoy a growing living standard while maintaining an adequate income for the increasing number of retirees.

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Notes

1. Private consumption is, however, still lagging substantially. It increased by 11 per cent between 1990 and 1999, 10 percentage points less than in the euro area.
2. The banking sector and the pulp and paper industry also boosted FDI abroad.
3. Already several hundred Indian and Hungarian software engineers are working on a temporary basis in Finland. There are preliminary plans to create an international university to attract students who could work in the Finnish ICT industry after finishing their studies.
4. Around 40 per cent of Nokia's R&D expenditure takes place abroad (Ali-Yrkkö *et al.*, 2000).
5. Apart from the ICT cluster, Finland has a developing biotech cluster in university cities. There are currently around 100 biotech companies with approximately 3 000 employees.
6. Trend labour productivity increased from 2.4 per cent per year in 1980-90 to 2.8 per cent in 1995-98 (OECD, 2000; Scarpetta *et al.*, 2000). Trend multifactor productivity increased from 2.2 per cent per year in 1980-90 to 3.5 per cent in 1995-98. The United States also shows a pick-up in productivity (OECD, 2000*e*), while most other OECD countries do not.
7. In Spring 1999, more than 40 per cent of households had a PC and 22 per cent had an Internet connection (OECD, 2000*f*; OECD, 2000*c*). Almost 80 per cent of Finnish households had at least one mobile phone at the end of 1999. In 1998, Finland became the first country with more mobile than wired phones. In 1998, 90 per cent of all enterprises with 20 employees or more were using e-mail and 87 per cent had Internet connections. For smaller firms, Finland had in 1999 the highest penetration rate (OECD, 2000*g*). Relative to population, Finland had the highest number of Internet hosts in July 1999, but its numbers of secure servers – relevant for e-commerce – was below the OECD average (OECD, 2000*h*).
8. Problems with deflating exports of electronic equipment may have led to an upward bias in export volumes.
9. There was also a pick-up for the electronic equipment industry after problems with the production of third-generation mobile phones were solved.
10. At the end of April 2000, non-executed job-related share options were estimated at FIM 63 billion (9 per cent of GDP), of which FIM 54 billion concerned Nokia managers alone.
11. The taxation of undeveloped building plots in land-use planning areas was raised while the tax on proceeds from property sales to local authorities was temporarily lifted.

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12. Unemployment increased temporarily at the end of 1999 and in the first months of 2000 due to a high number of school-leavers entering the labour market.
13. Negative oil-induced carry-over led, however, to a year-on-year drop from 1.4 per cent in 1998 to 1.2 per cent in 1999. The rise in the private consumption deflator was stable at 2.1 per cent.
14. The earnings index measures the developments in average wages and salary earnings for normal working hours. It does not include for example overtime pay, bonuses and job-related share options. The index has fixed weights (currently 1995) and is therefore not influenced by shifts in the employment composition. This is in contrast to wage rates based on the national accounts that include overtime pay, bonuses and exercised job-related share options and are influenced by shifts in the employment composition.
15. M3 increased 6.0 per cent in 1999, marginally (0.2 percentage point) less than the rise in the euro area. The monetary aggregate shows large swings: the twelve-month change was 4.1, 15.0 and 8.7 per cent in January, March and April 2000, respectively.
16. At the time of the publication of the Government Programme, it was estimated that this would mean that outlays excluding interest payments would increase in volume terms by ½ per cent annually. The expenditure guidelines drawn up by the government in May 1999 meant a backloading of measures, as expenditure increases were agreed for 2000 with fall-backs in the following years to the 1999 level. The guidelines agreed in March 2000 show even a rise during the rest of the term of office, from a ceiling of FIM 193.8 billion in 2001 to FIM 194.8 billion in 2003, before falling to FIM 193.1 billion in 2004 (ceilings in 2001 prices).
17. Expenditure categories increasing strongest are individual consumption expenditure of the government (outlays for health, education and social services), by 2.7 per cent, and social security benefit outlays, by 2.7 per cent as well. Individual consumption expenditures were pushed up by the increase in pension contributions for local government employees and for teachers. The rise in social security benefit outlays occurred despite the substantial drop in unemployment benefit payments due to the strong increase in unemployment and old-age pensions. Collective consumption expenditure increased moderately in nominal terms (1.8 per cent) and even fell in real terms (0.2 per cent).
18. The shift from the ESA79 to the ESA95 system of national accounts had the following consequences for the government account: taxes and property income and expenditures are on accrual basis instead of a cash basis; European Union payments and receipts are no longer consolidated in the (national) government account; consumption of fixed capital is introduced for the government sector increasing government consumption expenditures.
19. The cut in the central government income tax rates was partly offset by the average increase of 0.08 percentage point of the local income tax. Other tax and social security changes in 1999 were: an inflation adjustment of 2 per cent to the central government tax scales; the reduction in the unemployment insurance contribution of 0.05 percentage point for wage earners and for employers; the abolition of grading in the sickness insurance contributions for employees; the cut in the sickness insurance contribution rate for pensioners of 0.3 percentage point; the reduction in the depreciation rate for immovable assets in the corporate tax of 5 percentage points to 25 per cent; the rise in real estate tax rates in 170 of the 452 municipalities; the increase in the pension contribution rate of municipal employers and teachers of 0.3 percentage point and 3 percentage points, respectively.

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20. Management stock options are taxed as wage income after they have been exercised. According to the Ministry of Finance, tax receipts on the options exercised in 1999 were around FIM 2½ billion.
21. On a cash basis, and including the privatisation proceeds of FIM 20 billion, the central government had a substantial surplus.
22. The employment share is relevant for the distribution of the local government share of corporate tax revenues to the municipalities.
23. The fiscal indicator of the Ministry of Finance, a Blanchard-type impulse indicator, also shows a tightening fiscal stance.
24. The introduction increases government outlays by FIM 0.4 billion in the long term.
25. The draft budget published in September 1999 did not contain a proposal to cut income taxes as the government did not want to decide before knowing the result of the coming round of wage negotiations. However, in January 2000 it announced the income tax cut to contribute to a moderate wage round.
26. Other tax and social security measures in 2000 are: the increase in the average local income tax rate of 0.05 percentage point; the abolishment of the tax-exempt status of bank deposits; reduction in the tax deduction for private supplementary pension schemes; abolishment of the supplementary tax deduction on paid interest; the increase in the minimum rate of the local real property tax; the reduction of the sickness insurance contribution rate of pensioners by 0.7 percentage point; the increase in the pension contribution rate of municipal employers and teachers by 0.3 percentage point and 3 percentage points, respectively.
27. The EMU buffer funds in the unemployment insurance and the employment pension funds were introduced in 1999. The aim of the funds is to smooth premiums over the business cycle and to prevent pro-cyclical premium increases during downturns. The statutory authorised maximum size is 0.5 per cent of GDP (approximately FIM 3½ billion) for both funds.
28. The projections are based on the technical assumption of currencies remaining at their level of 10 May, implying an exchange rate of US$0.902 per euro and ¥ 99.4 per euro. A rebound of the euro during the projection period would lead to a somewhat stronger negative competitiveness effect and a somewhat smaller export market gain.
29. This projection is the same as the one published in OECD *Economic Outlook* No. 67 (June 2000).
30. Moreover, in international comparison, it should be taken into account that the government sector includes the earnings-related pension system. This is for instance not the case for the Netherlands, although in economic terms its pension system is quite similar to the Finnish one.
31. Under the current legislation, reaching the maximum of the EMU buffer fund in the earnings-related pension scheme will lead to cuts in the contribution rate in the following year.
32. In 1999, the average tax rate was 1.8 percentage points below the peak in 1995 (OECD, 1999*c*), a somewhat smaller drop than the 2.5 percentage points in the European Union (based on a weighted average of EU countries). Over a longer period, the development is less favourable as well: the tax rate was 4.5 percentage points higher in 1999 than in 1985 while it was 0.3 percentage point lower for the European Union. The tax rates are for a one-earner family with two children and an average income, and include employee and employer contributions.

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33. Tax rate for a single person without children and excluding the impact of the housing allowance.
34. Taking into account means-tested assistance, the net replacement rate reaches even 100 per cent for long-term benefit recipients.
35. The reform is, to a great extent, based on the proposals set out in Räisänen and Skog (1998).
36. In 1999, the PES staff held more than a quarter of a million interviews covering 63 per cent of the qualifying unemployed, while more than 100 000 unemployed had a job-search training usually lasting 5 to 10 days.
37. Unemployed persons meet PES staff once every three months on average. However, taking into account the electronic job-seeking contacts and labour market training courses, the contacts are more frequent. The electronic job-seeking is widely used, and the public Internet server of the Ministry of Labour can be used in public libraries free of charge. The use of this Internet server has tripled every year since 1996.
38. In 1999, according to figures of the Ministry of Labour there were 64 000 sanctions leading to a temporary benefit stop, up from the 61 000 in 1998 but down from the 81 000 in 1991. Most sanctions concern quitting a job without acceptable grounds (22 000 in 1999), followed by young unemployed without vocational qualification refusing to accept a job or an ALMP measure (15 000), refusal to participate in labour market training or ending such training (13 000) and refusal to accept a job offer (9 000). It should be added that the total number of sanctions is not necessarily a reliable indicator of effective implementation of existing eligibility rules (OECD, 2000*i* and OECD, 2000*j*). Since 1995, the number of sanctions ordered because of turning down a job offer is on a downward trend.
39. Moreover, the Ministry of Labour now decides on changes in these commuting areas instead of local tripartite bodies.
40. As described in more detail in Box 6, since the beginning of 2000, training and other support is also offered to unemployed aged 55 to 59.
41. In the case of individual dismissal because of lack of work in companies with 30 or more employees, consultation with trade union representatives is required on the reason for dismissal and on ways to avoid the lay-off. In the case of collective dismissals, the local employment office has to be notified and the consultation with trade unions is long (at least 42 days).
42. On the other hand, the majority proposed to reduce the notice period for termination of short-term employment contracts.
43. In November 1999, 1.7 per cent of the Single Market Directives were not yet implemented, the lowest rate after Denmark and less than a third of the rate in Greece, Luxembourg and France (European Commission, 2000).
44. The indicators are based on the OECD Regulatory Indicators Questionnaire and describe the regulatory environment in product markets in 1998 (OECD, 1999*h*; Nicoletti *et al.*, 1999). The answers to the Questionnaire, together with other information, were used to construct cardinal summary measures. The Questionnaire asked for information on more than 1 500 different regulatory provisions concerning economy-wide and sector-specific laws, regulations and administrative procedures. Its focus was exclusively on the relative friendliness of these regulations to market mechanisms and there was no attempt to assess the quality of the regulations or their aptness in achieving their goals. The country rankings should be interpreted with caution, especially when absolute differences are small, since many indicators lack precision.

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45. Moreover, in 1999, the Employment and Economic Development Centres have started to co-operate with the National Board of Patents and Registration.
46. The Ministry of Trade and Industry aims at creating an "evaluation culture" within the ministry, with evaluation no longer treated as an *ex-post* exercise but fully integrated in day-to-day work and design of programmes.
47. Total investment in knowledge (R&D expenditure, public spending on education and expenditure on software) was 9.5 per cent of GDP in 1999, 1.6 percentage points above the OECD average (OECD, 1999*b*).
48. Evaluation of SME policy instruments is a relatively recent phenomenon in Finland and the number of completed studies is low suggesting that assessment of SME policy instruments should be stepped up.
49. The share is, however, substantially higher than the 40 per cent of 1980 (Ministry of Trade and Industry, 1999).
50. Based on the 2000 State Budget Paper, purely national regional support was FIM 25.4 billion in 1999. In addition, partly EU funded regional aid amounted to FIM 5.1 billion, with a national contribution of FIM 3.0 billion. Purely national regional support is defined as all funding outside EU regional programmes which supports regional development or/and has a regional dimension. It includes part of the funding for road construction and maintenance, subsidies to transport in coastal areas and the Finnish archipelago, aid to certain airports, part of the public road transport funding, a part of the costs of ALMPs, investment to support employment in certain regions and a fraction of the funding for environmentally sustainable development.
51. In all regions, the unemployment rate is still higher than before the recession of the early 1990s. Unemployment in the Helsinki region was 1.4 per cent in 1989.
52. Of the national support, FIM 3.6 billion was purely national support while FIM 2.0 billion was the national part of co-funded programmes aimed at the least favoured areas and the environment. Of the EU aid, FIM 1.6 billion was the Common Agricultural Policy (CAP) support and FIM 1.4 billion was the contribution to co-funded activities.
53. The proceeds were three times as high as the public offering of 22.2 per cent of the shares in 1998, reflecting the extraordinarily steep rise in the share price.
54. The share price of this sale was € 92, close to the peak level of € 97 of the first four months of 2000 and 38 per cent above the share price at the end of April.
55. In early 2000, government asked Parliament authorisation for full privatisation. In 1999, Parliament already gave authorisation to reduce the state share from a half to a third. Recently, Parliament has broadened other authorisations: for Patria Industries (defence, civil and military technology) from two-thirds to a half and for Edita (publication and printing house) from a half to a third.
56. A full privatisation of telecommunications company Sonera would generate proceeds of approximately FIM 140 billion on the basis of the share price at the end of April 2000, equal to a third of central government debt. The total value of non-listed state holdings in companies (for instance Alko, Leonia, Posti and VR Group) is estimated at FIM 50 billion.
57. Since 1992, the government has relinquished entirely its holdings in 13 companies and reduced its stake to less than one-third in six companies, but kept full control in 27 companies, a simple majority of shares in four major companies and a minority holding in four other companies. Its stakes in the most important fully or partially

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state-owned companies are: Alko 100 per cent (alcoholic beverages), Finnair 59.8 (airline), Fortum 75.4 (energy), Kemira 53.4 (chemical industry), Leonia 100 (banking), Outokumpu 40 (mining), Partek 30.2 (wood products), Posti 100 (postal services), Rautaruukki 41.8 (metal), Sonera 54.5 (telecommunications), Stora Enso 18 (pulp and paper), Valmet-Rauma 11.6 (machinery), Veikkaus 100 (football pools and lottery), VR Group 100 (railways). Currently, full privatisation is allowed for Leonia Corporate Bank (while the parliament has given a mandate to lower state-ownership in Leonia Bank to a half and in Leonia Corporation to two-thirds), Partek, Stora Enso and Valmet-Rauma.

58. In May, the government confirmed that privatisation proceeds will mainly be used to repay state debt. In addition, the government intends to accumulate funds in the State Pension Fund faster than originally planned and to use FIM 1 billion over 2000-03 for additional expenditures, mainly for universities.

59. According to a study published by the Finnish consulting company Balance Consulting in April 2000, the return on equity of state-owned enterprises was, in 1998 and 1999, half of that of private listed companies and a quarter of that of Finnish foreign-owned companies.

60. The government asked Parliament to allow full privatisation of the major partly state-owned industrial companies. The current minimum state shares of most of these companies is one-third while the actual shares range from 100 to 40 per cent. Moreover, it asked permission to reduce the minimum share in the energy company Fortum from a half to a third; the current share is two-thirds.

61. In 1999, the FCA received 86 concentration notifications, twice as many as expected when the Competition Act was reformed (FCA, 2000). The FCA imposed conditions on the concentration in five cases.

62. The national competition authority of eight EU countries has these powers.

63. According to estimates of the Ministry of Finance, total net public support to the banking sector was 7 per cent of GDP.

64. At the end of 1999, there were 1 650 000 private Internet and telebanking customers, while the number of network transaction agreements with companies was 220 000.

65. Giro ATMs are automatic teller machines used for bank transactions such as money transfers and payments of bills.

66. In May, the Norwegian government rejected the bid but announced it will ask Parliament to allow full privatisation of the bank with decisions on takeover bids taken on commercial grounds. MeritaNordbanken extended its bid after this decision.

67. Furthermore, the co-operation between Leonia Bank and Finland Post was terminated.

68. In 1999, Pohjola agreed on a cross-border merger of its non-life insurance activities with the Swedish Skandia and Norwegian Storebrand, to create the biggest Nordic insurance company with a market share of 20 per cent in the Nordic countries as a whole. However, in May 2000, Pohjola's shareholders voted to pull out of the merger.

69. The first unincorporated state enterprises were founded at the end of 1980s and from 1993 onwards, most of these enterprises have been corporatised into state-owned companies while some state agencies were directly corporatised. In 1989, the Government Printing Centre, the State Catering Centre and the State IT Centre were turned into state-owned companies, followed in 1990 by the Post and Telecommunications of Finland, the State Railways and the Map Centre; in 1991 by the Civil Aviation Administration and in 1993 by the Motor Vehicles Registration Centre. In 1994 the National Forestry Administration was turned into a state-owned enterprise followed in 1995 by the

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Technical Inspection Centre. Also in 1995, the State Railways, the Government Purchasing Centre, the State Uniforms Factory, State Granary and public building services were reorganised into joint-stock companies, while the Administrative Development Agency was reorganised into a state-owned enterprise and renamed the Finnish Institute of Public Management. In 1999, the State Real Estate Board was reorganised into a state-owned company. At the beginning of 2000, the government proposed to split the Finnish National Road Administration into a government office responsible for road planning and contracting and a state-owned enterprise engaged in business activities.

70. Another reform was the reduction in 1997 of the number of provinces from twelve to six. While municipalities have many important tasks, the role of provinces is very limited in the Finnish system.

71. The goal set in the savings programme of 1992 was to reduce the operating costs of the state, by public management reforms, by over FIM 1½ billion before the end of 1995. The government in office from 1995 to 1999 continued the public management reforms, trimming the operating costs of the state administration by FIM 350 million, reducing state support to the municipalities by FIM 3 billion and seizing other savings worth FIM 600 million.

72. The performance contracts can be characterised as quasi-contracts as they refer more to mutually negotiated non-statutory agreements between ministries and executive agencies than to contracts in the strict legal sense. This informal nature of the contracts made the implementation easier but has caused compliance difficulties in some cases.

73. The situation is better for state agencies due to the reform in 1998 of their accounting system to one close to the accrual accounting system used by private enterprises.

74. In Finland, there are 452 municipalities ranging from 129 to over 500 000 inhabitants.

75. One of the few comparative analyses of public sector performance concerns public personnel policy (Manzoor Alam, 1998). It shows that the Finnish performance is close to the average.

76. The committee will consider alternatives for current energy tax relief arrangements given the European Commission concerns about the competition impact. Furthermore, it will consider broadening current energy subsidies to electricity production from burning garbage waste and chemical processes.

77. In 2035, it will be the first country in the OECD to reach its projected maximum level of the ratio of old people over those of working age.

78. This is based on Statistics Finland projections (Statistics Finland, 1998). The projections present a more pessimistic development than Eurostat (Eurostat, 1999) which assumes a slightly higher fertility rate than Statistics Finland, leading to a somewhat higher working-age population in 2050. Statistics Finland also assumes slightly lower net immigration, also leading to a somewhat lower working-age population. Finally, the slightly higher longevity rates assumed by Statistics Finland increase the ageing challenge further.

79. Pennanen (2000) reveals a social tendency for people to take retirement in their late 50s.

80. There are no official data on the effective retirement age, although the government has set the target to raise it by 2 to 3 years in the long run. Indicators differ due to different approaches (cohort or cross-section), different averages (median or arithmetic) and the way very early withdrawal of the labour market (before the age of 50) is taken into

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account (see also Hytti, 1999). The Ministry of Social Affairs and Health estimates the effective retirement age in 1999 at 57 years on a cohort basis and at 58 years on a cross-section basis. The Central Pension Security Institute estimates that for the earnings-related pension scheme, the average age of retirement is 57 years and the median 60 years. The Social Insurance Institute suggests that it is 60 years and the OECD estimate is 59 years for 1995 (Blöndal and Scarpetta, 1998).

81. In the projection, it is assumed that the proportion of employment in the age groups 15-24, 24-54 and 55-64 remains constant at levels in 2000. This is probably pessimistic. Female participation rates have fallen in the 1990s, and could rise again if the current rate of growth continues.

82. The national pension scheme was set up in 1937 as a pure premium-based insurance scheme with personal saving accounts. Inflation during the war period destroyed the system and after the war it became gradually a pay-as-you-go system (Lindqvist-Virtanen, 1999).

83. For a full national pension, residence in Finland or another European Economic Area (EEA) country for at least 40 years after the age of 16 is required. A shorter period leads to a proportional cut.

84. The rate is 2 per cent in the case where the depreciation on investment is less than FIM 300 000 or less than 10 per cent of the payroll. It is 4 per cent if the depreciation is above FIM 300 000 and is between 10 and 30 per cent of the payroll. It is 4.9 per cent in the case where the depreciation exceeds FIM 300 000 and is more than 30 per cent of the payroll. The current system of investment-dependent rates reduces the tax burden for labour-intensive sectors.

85. To take into account cost of living differences, two categories of municipalities are distinguished. In 2000, full national pension for single individuals is FIM 2 655 and FIM 2 542 per month in Class I and Class II municipalities, respectively. The pensions for married recipients are FIM 2 328 and FIM 2 231 respectively. Pensions are tax-exempt up to around FIM 3 300 per month.

86. In 2000, the maximum earnings-related pension for full national pension eligibility is FIM 255 per month (2 per cent of the average wage). Above this amount, the national pension is reduced by half a markka for every additional markka of earnings-related pension. However, irrespective of the earnings-related pension, all pensioners receive the basic amount of FIM 92 per month since March 2000. This basic amount has been gradually reduced since 1996 and will be abolished in 2001.

87. In 2000, the maximum housing allowance for pensioners is FIM 2 719 per month and the maximum care allowance is FIM 1 415 per month. The care allowance is intended to make it possible for pensioners with an illness or a disability to keep living at home. In 1998, both the housing allowance and the care allowance were received by around 15 per cent of pensioners (Central Pension Security Institute and Social Insurance Institution, 1999). Somewhat more than 15 per cent received the war-veteran's supplement (in 2000, FIM 225 for the standard supplement and a maximum of FIM 547 for the additional supplement).

88. There are 61 pension institutions. The pension schemes for the permanent employees in the private sector are run by six insurance companies, 42 company pension funds and eight industry-wide pension funds, with respective market shares of 81, 15 and 4 per cent, in 1997.

89. Six pension acts cover the private sector: TEL, the employees' pension act (the number of insured at the end of 1998 was 1.1 million); LEL, the temporary employees' pension act (80 000); TaEL, the pension act for performing artists and certain other

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employee groups (40 000); MEL, the seamens' pension act (7 000); MYEL, the farmers' pension act (115 000); and YEL, the self-employed persons' pension act (155 000). Three acts exist for the public sector: VEL, state employees' pensions act (185 000); KVTEL, local government employees' pensions act (445 000); and KIEL, Evangelical-Lutheran church pensions act (15 000). The description in this chapter of the earnings-related pension system is based on the TEL scheme as it is by far the biggest and because it is the benchmark for the other schemes. Due to switches during the working career, pensioners may be entitled to pensions from various funds. However, for the private sector (and in the future also for the government sector), the pensioner will receive the total amount from the institution where the person was last insured. The Central Pension Insurance Institute settles the net payments between the pension institutions.

90. The pension scheme for central government employees is completely unfunded. The central government provides transfers to some pension schemes to have contributions and pensions comparable with those of the scheme of permanent employees in the private sector. Transfers cover around three-quarters of the pension outlays for farmers and a third for seamen and constitute an implicit subsidy to these sectors.

91. Premiums are deductible up to 10 per cent of the salary (with a ceiling of FIM 50 000) if this pension is not paid out before the age of 60 and does not lift the total pension above the 60 per cent of pensionable wage.

92. The current adjustment for the early old-age pension is therefore actuarially not completely correct.

93. Pension wealth is calculated for an individual with an uninterrupted working career since age 23. The different schemes are taken at the earliest possible time. Life expectancy is set at age 80, the average life expectancy age in Finland. The stream of pension benefits is discounted at 3 per cent. At 65 all early retirement schemes cease and an old-age pension is granted. However, pension rights accrued differ according to the scheme used to retire in the first place (Box 2).

94. The overall contribution rate is set by negotiations for a specific period. Every year, the funded components are reassessed in the light of the need to fund new pensions, and the pay-as-you-go part is determined by actuarial calculations. In case overall contributions are higher than pension expenditures, the residual goes to a so-called "reserve fund".

95. In case an adjustment of the contribution rate is needed, the two rates are changed by equal amounts.

96. Due to small differences in age composition, the variation in average rates per firm is much smaller: between 18 and 22.5 per cent.

97. Firms may have, in any case, an incentive to substitute older workers by younger ones because older workers have a much lower skill and educational level (Forss, 1999). Moreover, salaries of older workers tend to be higher.

98. The period spent receiving unemployment pensions is considered as early retirement, but the preceding period of unemployment (up to five years) is not and the firm does not have to pay for it and during this period will not pay the higher premiums.

99. Microeconometric analysis shows a significant, although relatively low impact of economic incentives on the retirement probability (Hakola, 1999).

100. This is based on calculations of the Ministry of Social Affairs and Health.

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101. Service housing is accommodation provided for the elderly which is adapted to their needs and has certain services such as cleaning, presence of nurses and meals provided on site.

102. This figure refers to services for the elderly (OECD Social Expenditure database).

103. There is a strong incentive not to do so, however, as the municipality is obliged to cover the deficits of the health care providers. Another reason for purchasing from local providers is support to local employment, especially in regions with high unemployment.

104. For example, between 1990 and 1995 the number of hospital bed-days per inhabitant fell by around 40 per cent and the average length of hospital stays fell from around 10.4 to 6.6, a fall of around 36 per cent (OECD, 1998*b*).

105. The central government also finances capital spending on health care (between 25 and 50 per cent depending on the per capita income of the municipality) and it maintains some oversight, particularly for large projects. It also provides grants to university hospitals for teaching and research.

106. User fees for both health care and care for the elderly can vary from one municipality to another with the maximum amounts set out in central government legislation. For ambulatory care the maximum is a flat fee of FIM 120 per year or FIM 60 per visit; for outpatient care (specialist care) at a hospital it amounts to FIM 120 per visit; for hospitals the maximum is a flat fee of FIM 150 as a basic charge and FIM 135 per day for hospital care. As regards drugs, individuals pay the first FIM 50, with a certain share of additional spending paid for by the insurance.

107. The programme also aims at integrating the issue of ageing within broader policies concerning housing and other services (such as transport, education, culture and sports) aimed at ensuring the quality of life of the elderly. In this context, better co-ordination among the various municipal services (health, social services and housing) would appear essential.

108. The Central Pension Security Institute published long-term projections on pension expenditures for the earnings-related pension schemes (Klaavo *et al.*, 1999). The Social Insurance Institute published projections for the national pension scheme and for the national health insurance scheme (Social Insurance Institute, 1999). Finally, the Economic Council published comprehensive economic scenarios up to 2050 (Economic Council, 1999). The first two projections are the primary source drawn upon in the report.

109. The drop is also partly caused by the abolishment in 2001 of the basic amount of the national pension. This basic amount has been gradually reduced since 1996.

110. Current rules for partial funding of the earnings-related pensions are taken into account. Assets are assumed to have a real rate of return of 3 per cent. An increase from 3 to 4 per cent would reduce the increase in contribution rates to 8 percentage points.

111. This increase will be offset to a limited extent by a drop in employers' contributions to the national pension scheme.

112. The participation rate is also assumed to increase from 73 to 76 per cent in 2015.

113. Alho (1998) calculated confidence intervals for the ratio of the population aged 60 and over to the population aged 20 to 59. The 80 per cent confidence interval for the ratio in 2030 is from 0.61 to 0.79 compared with a current ratio of 0.35.

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114. The national health insurance already shows a deficit excluding government transfers. The government transfer is currently 9 per cent of the health outlays under this scheme, but would rise to 16 per cent in 2020 and 14 per cent in 2050, if premiums remain unchanged (Social Insurance Institute, 1999).

115. Full funding is needed to prevent the additional contributions in the short run – due to the delay in retirement – leading to an initial drop in the overall contribution rate, thus magnifying the rise in the contribution rate in the longer run.

116. Calculations by the Secretariat suggest that the replacement rate will increase by 9 percentage points in case of an introduction of personal accounts at the age of 60 and the person working till the official retirement age of 65.

117. Other advantages are the greater individual choice concerning the timing of retirement, the simplification of the early retirement schemes (five schemes are replaced by one scheme) and a more balanced investment yield risk distribution between the younger and older parts of the population. The main disadvantage is that the system may be too harsh for those having to stop working for medical reasons at the age of 55 or slightly above. As their pension would be based on the accrued rights before the age of 55 it would be only 48 per cent of the pensionable wage.

118. Hautala and Tuukkanen (2000) estimates that a temporary increase in the contribution rate of 1.5 percentage points is necessary to introduce the personal accounts in one go for workers beyond 54 years. The increase would be negligible in the case of introduction for workers of 60 years and older as practically none of them is currently employed and therefore do not pay pension contributions. As a consequence, there is in practice no double burden problem in this case.

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Glossary

ALMP	Active Labour Market Programme
ATM	Automatic Teller Machine
CAP	Common Agricultural Policy
CO_2	Carbon dioxide
€	Euro
ECB	European Central Bank
e-commerce	Electronic commerce
EDI	Electronic Data Interchange
EEA	European Economic Area
EMU	Economic and Monetary Union
ESA95	European System of Accounts 95
EU	European Union
FCA	Finnish Competition Authority
FDI	Foreign Direct Investment
FIM	Finnish markka
FSA	Financial Supervision Authority
GDP	Gross Domestic Product
ICT	Information and Communication Technologies
ISA	Insurance Supervision Authority
ISP	Internet Service Provider
LFA	Least Favoured Area
NAWRU	Non-Accelerating Wage Rate of Unemployment
NO_x	Nitrogen oxide
PAYG	Pay-As-You-Go
PC	Personal Computer
PES	Public Employment Service
R&D	Research and Development
SAK	Confederation of Trade Unions
SME	Small and Medium-sized Enterprises
SO_2	Sulphur dioxide
TEKES	Technology development centres of the Ministry of Trade and Industry
TEL	Pension scheme for private sector employees
VAT	Value Added Tax
¥	Japanese yen

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Annex

Calendar of main economic events

1999

January

Finland becomes a part of the euro area as of 1 January 1999; state-owned markka-denominated serial bonds and treasury bills are denominated in euro.

The Budget for 1999 is adopted. Expenditure amounts to FIM 188.5 billion which is somewhat lower than in 1998, while revenues are projected to be 8.8 per cent higher. The income brackets in all tax scales for 1999 are raised by 2 per cent and all marginal tax rates except the highest one are lowered by 0.5 percentage point.

February

Government adopts expenditure guidelines for 2000 amounting to a total of FIM 191.5 billion (at 1999 prices).

March

In the parliamentary elections of 21 March, the Social Democratic Party (SDP) of Prime Minister Paavo Lipponen remains the biggest party despite a substantial loss (23 per cent of votes in 1999 compared to 28 per cent in 1995). The other main party in government, the Conservatives, has its best result ever (21 per cent of votes in 1999 compared to 18 per cent in 1995). The main opposition party, the Centre Party, also made gains (22 per cent of votes in 1999 compared to 20 per cent in 1995).

A government decision on Finland's National Forest Programme (NFP) is adopted. NFP 2010 covers Finland's forest policy objectives, to be implemented in collaboration with forest organisations.

April

The "rainbow" coalition government stays on with Paavo Lipponen as Prime Minister and Sauli Niinistö as Minister of Finance. Both parties have six ministerial posts in the new government (compared to seven SDP and five Conservative ministers in the previous government). The Left Alliance has two ministerial posts, while the Greens and the Swedish People's Party have one and a half each. Kalevi Hemilä continues as Minister of Agriculture and Forestry, without party affiliation.

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A new Insurance Supervision Authority is set up. The function of the new authority is to supervise and audit insurance and pension institutions as well as other agents operating in the insurance field.

May

The government agrees on medium-term expenditure guidelines. The central government spending ceilings (in 2000 prices) are set at FIM 193, 193.5, 191.2 and 190.2 billion for 2000 to 2003, respectively, compared with FIM 191 billion in 1999.

June

The government proposes to Parliament to abolish the tax exemption on bank deposit interest receipts and to toughen eligibility conditions on tax deductions on voluntary pension insurance. Interest receipts disbursed on home saving deposit accounts, however, remain tax exempt. The supplementary deduction on interest of housing loans is abolished.

Parliament adopts the first supplementary budget for the year, with additional budget expenditure and revenue amounting to FIM 4.2 billion.

July

Finland holds the EU presidency for the second half of 1999.

Tax-free sales for passenger traffic in the Member States of the European Union cease.

The representatives of the social partners and the pension institutions (the Puro working group) reach an agreement on pension system reform aimed at reducing early retirement. Later in the year, the proposals are taken over by government and approved by Parliament. The changes are to come into force at the beginning of 2000.

August

The government presents to Parliament its proposal for a rural development plan. The plan comprises systems for compensation to less-favoured areas and agri-environmental support for the period 2000-06.

September

The Budget Proposal for 2000 is presented to Parliament. Overall revenue totals FIM 198.9 billion. With expenditure amounting to FIM 192.9 billion, the draft Budget shows a surplus of FIM 6.0 billion. Expenditure is set to increase in 2000 by just over 2 per cent. Adjustments in income tax rates are not included in the draft budget as they depend on the coming wage negotiations.

The government approves the Finnish Stability Programme. The Programme outlines Finland's economic policy premises and objectives, especially concerning fiscal policy, and provides projections until 2003. In the programme economic growth is predicted to slow down from 3.9 per cent in 2000 to 2.6 per cent by 2003. Over the period 2000-03, the general government surplus will hover around 4½ per cent of GDP, while the general government debt is expected to drop by 7½ percentage points to around 35 per cent of GDP.

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October

The government agrees on the merger of state-owned bank Leonia and the private insurance company Sampo. The new financial group will offer bank, insurance and asset management services. The state's shareholding in the new company will be 43 per cent. The government intends to lower its stake to 20 per cent.

November

The official interest rates of the ECB are raised. The interest rate on the main refinancing operations of the Eurosystem is increased by 0.5 percentage point to 3.0 per cent. In addition, the interest rates on both the marginal lending facility and the deposit facility are raised by 0.5 percentage point to 4.0 and 2.0 per cent respectively.

December

Parliament authorises the government to relinquish the state's majority shareholding in Sonera, however, it has to retain a stake amounting to at least 34 per cent of all Sonera shares. The government is also authorised to make decisions on the ownership arrangements of Patria Industries (defence) and reduce its holdings in the company to a half of shares. In addition, Parliament authorises the government to reduce state ownership in Edita company (publishing) to one-third.

Nokia becomes Europe's largest company by market capitalisation and the world's largest producer of mobile phones. Since December 1998, Nokia's stock price has more than tripled.

2000

January

The age limit in eligibility for individual early retirement is raised from 58 to 60 years and the unemployment pension benefit is reduced by 7 per cent. The financial disincentive for large employers to use the unemployment pension scheme is raised as large employers have to pre-fund a larger part of the unemployment pension of an older employee who becomes unemployed. In addition, unemployed aged 55 to 59 years will be covered by the Public Employment Service (PES) the same way as younger unemployed, while before the PES treated them as effectively retired.

The government agrees on income tax cuts for 2000 to speed up stalling pay talks. The reduction on tax receipts amounts to FIM 1.55 billion overall. The marginal tax rates in the income tax scales are lowered by 0.5 percentage point in all income brackets.

The first wage settlements are reached in the metal and construction industries. The settlements are for one year and raise labour costs by 3.1 per cent in 2000.

The tax rate for capital income is raised from 28 to 29 per cent. The corporate tax shares are revised: 61.12 per cent for the central government, 37.25 per cent for municipalities and 1.63 per cent for parishes.

February

Social Democrat Foreign Minister Tarja Halonen is elected Finland's 11th President to serve a six-year term. She is the first woman to hold the position and succeeds President Martti Ahtisaari in the post from the beginning of March 2000. In the decisive second round

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run-off, Halonen collected 51.6 per cent of the votes, to leave her roughly 103 000 votes ahead of her rival, the Centre Party Chairman and former Prime Minister Esko Aho. Voter turnout was 80.2 per cent in the second round.

The government authorises the sale of all Medivire Työterveyspalvelut company (occupational health care) holdings to Randum company for a sales price of FIM 60 million.

The Ministry of Finance publishes a revised forecast for 2000. The output growth projection is raised from 3.9 to 4.7 per cent and the general government surplus is revised from 4.7 to 3.7 per cent of GDP.

The ECB's official interest rates are increased. The interest rate on the main refinancing operations of the Eurosystem is raised by 0.25 percentage point to 3.25 per cent and the interest rates on both the marginal lending facility and the deposit facility are raised by the same amount to 4.25 and 2.25 per cent, respectively.

March

The government agrees on expenditure guidelines for 2001-04; the ceilings are set at FIM 193.8, 194.4, 194.8 and 193.1 billion respectively. The guidelines are drawn up using price and cost levels for 2001. According to the government, a strict stance in fiscal policy is justified as signs of overheating are becoming ever more visible in the Finnish economy. Labour shortages are increasing in construction and in the expanding information technology industries. Economic developments in the labour, house and stock markets are starting to show signs of overheating of the kind last seen in the late 1980s, when the Finnish economy was driven into recession.

The government sells off 3½ per cent of the telecommunications operator Sonera in an international tender to institutional investors at the price of € 92, close to the peak level of € 97 of the first four months of 2000 and 38 per cent above the share price at the end of April. The sale raises around FIM 12 billion and is accompanied by statements from the Ministry of Transport and Communications that the government would like gradually to lower its stake in the company from its current level of over 50 per cent to zero. At present, the mandate exists to bring state ownership down to 34 per cent.

The ECB's official interest rates are increased. The interest rate on the main refinancing operations of the Eurosystem is raised by 0.25 percentage point to 3.5 per cent and the interest rates on both the marginal lending facility and the deposit facility are raised by the same amount to 4.5 and 2.5 per cent, respectively.

April

The agreed wage increase in 2000 for 90 per cent of the employees is 3.1 per cent. After strikes, higher contract wage rises were agreed, however, for the chemical sector (4.1 per cent), the transport sector (4.9 per cent) and the paper industry (3.8 per cent).

The Bank of Finland is to reduce the staff of its branch offices. The main role of the current four branch offices of the Bank of Finland is to supply commercial banks with banknotes but, as commercial banks have agreed to concentrate their banknote supply to a jointly owned company – Automatia, the workload at the branch offices of the central bank will be reduced.

The ECB's official interest rates are increased. The interest rate on the main refinancing operations of the Eurosystem is raised by 0.25 percentage point to 3.75 per cent and the interest rates on both the marginal lending facility and the deposit facility are raised by the same amount to 4.75 and 2.75 per cent, respectively.

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May

Pohjola insurance company wants to withdraw from the merger agreed with the Swedish Skandia and Norwegian Storebrand. Skandia and Storebrand announce their intention to take Pohjola to court over breach of contractual obligations.

The government asks Parliament to allow full privatisation of the major partly state-owned industrial companies, including Kemira, Outokumpu and Rautaruukki. The current minimum state shares of most of these companies is a third while the actual shares range from 100 to 40 per cent. Moreover, it asks permission to reduce the minimum share in the energy company Fortum from a half to a third; the current share is two-thirds. The government confirms that privatisation proceeds will mainly be used to repay state debt. The government intends to use some proceeds to accumulate funds in the State Pension Fund faster than originally planned and to use FIM 1 billion over 2000-03 for additional expenditures, mainly for universities.

June

Prime Minister Paavo Lipponen pronounces for bolder tax cuts than envisaged in the Government Programme and for setting the long-term goal of bringing the tax burden down to the EU level.

The ECB's official interest rates are increased. The main refinancing operation of the Eurosystem is raised by 0.5 percentage point to 4.25 per cent and the interest rates on both the marginal lending facility and the deposit facility are raised by the same amount to 5.25 and 3.25 per cent, respectively.

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BASIC STATISTICS:

INTERNATIONAL COMPARISONS

BASIC STATISTICS: INTERNATIONAL COMPARISONS

	Units	Reference period[1]	Australia	Austria	Belgium	Canada	Czech Republic	Denmark	Finland	France	Germany	Greece
Population												
Total	Thousands	1996	18 289	8 060	10 157	29 964	10 316	5 262	5 125	58 380	81 877	10 465
Inhabitants per sq. km	Number	1996	2	96	333	3	131	122	15	106	229	79
Net average annual increase over previous 10 years	%	1996	1.3	0.6	0.3	1.3	0	0.3	0.4	0.5	3	0.5
Employment												
Total civilian employment (TCE)[2]	Thousands	1996	8 344	3 737 (94)	3 675 (95)	13 676	4 918	2 593	2 087	21 951	35 360	3 824 (95)
of which: Agriculture	% of TCE	1996	5.1	7.2 (94)	2.5 (95)	4.1	6.3	4	7.1	4.6	3.3	20.4 (95)
Industry	% of TCE	1996	22.5	33.2 (94)	26.7 (95)	22.8	42	27	27.6	25.9	37.5	23.2 (95)
Services	% of TCE	1996	72.4	59.6 (94)	71.4 (95)	73.1	51.7	69	65.3	69.5	59.1	56.4 (95)
Gross domestic product (GDP)												
At current prices and current exchange rates	Bill. US$	1996	398.9	228.7	268.2	579.2	56.2	174.9	125.1	1 536.6	2 353.5	91.2 (95)
Per capita	US$	1996	21 812	28 384	26 409	19 330	5 445	33 230	24 420	26 323	28 738	8 722 (95)
At current prices using current PPPs[3]	Bill. US$	1996	372.7	172.4	222	645.1	..	118	96.7	1 198.6	1 736.1	133.5
Per capita	US$	1996	20 376	21 395	21 856	21 529	..	22 418	18 871	20 533	21 200	12 743
Average annual volume growth over previous 5 years	%	1996	3.9	1.6	1.2	2.2	2	2.2	1.6	1.2	1.4	1.3 (95)
Gross fixed capital formation (GFCF)	% of GDP	1996	20.3	23.8	17.3	17.7	33	16.7	16.1	17.4	20.6	17 (95)
of which: Machinery and equipment	% of GDP	1996	10.2 (95)	8.8 (95)	7.5 (95)	6.6	..	7.9 (95)	6.4 (95)	7.8	7.6	7.7 (95)
Residential construction	% of GDP	1996	4.6 (95)	5.9 (95)	4.6 (95)	5.4	..	3.2 (95)	3.5 (95)	4.4	7.3	3.3 (95)
Average annual volume growth over previous 5 years	%	1996	5.6	2.1	0.3	2.2	9.4	2	–4.1	–1.5	0.2	0.5 (95)
Gross saving ratio[4]	% of GDP	1996	18	21.9	22.2	17.8	..	17.6	19.6	18.7	20	16 (95)
General government												
Current expenditure on goods and services	% of GDP	1996	17	19.8	14.5	18.7	21.5	25.2	21.9	19.4	19.8	20.8 (95)
Current disbursements[5]	% of GDP	1995	35.6	48.6	52.2	45.8	..	59.6	55.9	50.9	46.6	52.1
Current receipts	% of GDP	1995	34.9	47.4	49.9	42.7	..	58.1	52.8	46.9	45.9	45
Net official development assistance	% of GNP	1995	0.36	0.33	0.38	0.38	..	0.96	0.32	0.55	0.31	0.13
Indicators of living standards												
Private consumption per capita using current PPPs[3]	US$	1996	12 596	12 152	13 793	12 959	..	12 027	10 282	12 506	12 244	9 473
Passenger cars, per 1 000 inhabitants	Number	1994	460	433	416	466	282	312	368	430	488	199
Telephones, per 1 000 inhabitants	Number	1994	496	466	449	576	209	604	551	547	483[8]	478
Television sets, per 1 000 inhabitants	Number	1993	489	479	453	618	476	538	504	412	559	202
Doctors, per 1 000 inhabitants	Number	1995	2.2 (91)	2.7	3.7 (94)	2.2	2.9	2.9 (94)	2.8	2.9	3.4	3.9 (94)
Infant mortality per 1 000 live births	Number	1995	5.7	5.4	7.6 (94)	6.3 (94)	7.7	5.5	4	5.8 (94)	5.3	8.1
Wages and prices (average annual increase over previous 5 years)												
Wages (earnings or rates according to availability)	%	1996	1.7	5.2	2.7	2.4	..	3.2	3.8	2.6	4.2	11.8
Consumer prices	%	1996	2.4	2.9	2.2	1.4	11.9	1.9	1.5	2	3.1	11.6
Foreign trade												
Exports of goods, fob*	Mill. US$	1996	60 288	57 870	170 223[7]	202 320	21 910	51 030	40 576	288 450	521 263	11 501
As % of GDP	%	1996	15.1	25.3	63.5	34.9	39	29.2	32.4	18.8	22.1	12.9 (95)
Average annual increase over previous 5 years	%	1996	7.5	7.1	7.6	9.7	..	6.2	12.1	6.3	5.4	5.8
Imports of goods, cif*	Mill. US$	1996	61 374	67 376	160 917[7]	170 931	27 721	44 987	30 911	271 348	455 741	27 402
As % of GDP	%	1996	15.4	29.5	60	29.5	49.3	25.7	24.7	17.7	19.4	30.4 (95)
Average annual increase over previous 5 years	%	1996	9.7	5.9	5.9	7.7	..	5.6	7.3	3.9	3.3	6.6
Total official reserves[6]	Mill. SDRs	1996	10 107	15 901	11 789[7]	14 202	8 590	9 834	4 810	18 635	57 844	12 171
As ratio of average monthly imports of goods	Ratio	1996	2	2.8	0.9	1	..	2.6	1.9	0.8	1.5	5.3

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Including non-residential construction.
10. Refers to the public sector including public enterprises.

Sources: Population and Employment: OECD, *Labour Force Statistics.* GDP, GFCF and General Government: OECD, *National Accounts,* Vol. I and *OECD Economic Outlook,* Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators.* Foreign trade: OECD, *Monthly Foreign Trade Statistics,* Series A. Total official reserves: IMF, *International Financial Statistics.*

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Hungary	Iceland	Ireland	Italy	Japan	Korea	Luxembourg	Mexico	Netherlands	New Zealand
Population												
Total	Thousands	1996	10 193	270	3 621	57 473	125 864	45 545	418	96 582	15 494	3 640
Inhabitants per sq. km	Number	1996	77	3	52	191	333	458	161	48	380	14
Net average annual increase over previous 10 years	%	1996	–0.3	1.1	0.2	0	0.4	1	1.3	2	0.6	1.1
Employment												
Total civilian employment (TCE)[2]	Thousands	1996	3 605	142	1 307	20 036	64 860	20 764	212 (95)	32 385 (95)	6 983	1 688
of which: Agriculture	% of TCE	1996	8.4	9.2	10.7	7	5.5	11.6	2.8 (95)	23.5 (95)	3.9	9.5
Industry	% of TCE	1996	33	23.9	27.2	32.1	33.3	32.5	30.7 (90)	21.7 (95)	22.4	24.6
Services	% of TCE	1996	58.6	66.2	62.3	60.9	61.2	55.9	66.1 (90)	54.8 (95)	73.8	65.9
Gross domestic product (GDP)												
At current prices and current exchange rates	Bill. US$	1996	43.7 (95)	7.3	70.7	1 214.2	4 595.2	484.8	17	329.4	396	65.9
Per capita	US$	1996	4 273 (95)	27 076	19 525	21 127	36 509	10 644	40 791	3 411	25 511	18 093
At current prices using current PPPs[3]	Bill. US$	1996	..	6.3	68.8	1 148	2 924.5	618.5	13.5	751.1	324.5	63.6
Per capita	US$	1996	..	23 242	18 988	19 974	23 235	13 580	32 416	7 776	20 905	17 473
Average annual volume growth over previous 5 years	%	1996	–2.4 (95)	1.5	7.1	1	1.5	7.1	4.8	1.7	2.3	3.7
Gross fixed capital formation (GFCF)	% of GDP	1996	19.3 (95)	17.5	17.2	17	29.7	36.8	20.8	18	19.7	20.9
of which: Machinery and equipment	% of GDP	1996	..	6.7	5.5 (95)	8.8	10.1 (95)	13	..	8.8	9.4	10
Residential construction	% of GDP	1996	. .	3.9	4.9 (95)	4.5	5.3 (95)	7.6	..	4.7	5	5.6
Average annual volume growth over previous 5 years	%	1996	–0.9 (95)	–1.4	6	–1.4	1.3	6.9	0.2	–0.7	2.2	9.6
Gross saving ratio[4]	% of GDP	1996	..	15.6	21.7	20.5	31.4	34.2	37.5	22.7	25.7	16
General government												
Current expenditure on goods and services	% of GDP	1996	24.9 (95)	20.8	14.1	16.4	9.7	10.6	13.6	9.7[10]	14	14.4
Current disbursements[5]	% of GDP	1995	..	35.1	39.2 (94)	49.5	28.5	15.1	..	..	51.8	..
Current receipts	% of GDP	1995	..	36	39.3 (94)	44.5	32	25.1	..	..	50	..
Net official development assistance	% of GNP	1995	..	..	0.29	0.15	0.28	0.03	0.36	..	0.81	0.23
Indicators of living standards												
Private consumption per capita using current PPPs[3]	US$	1996	..	14 244	10 020	12 224	13 912	7 354	17 811	5 045	12 477	10 895
Passenger cars, per 1 000 inhabitants	Number	1994	212	434	264	517	342	115	544	91	383	457
Telephones, per 1 000 inhabitants	Number	1994	170	557	350	429	480	397	564	93	509	470
Television sets, per 1 000 inhabitants	Number	1993	427	335	301	429	618	215	261	150	491	
Doctors, per 1 000 inhabitants	Number	1995	3.4	3.9 (94)	3.4	3.0 (94)	1.7	1.6 (92)	1.8 (94)	1.1	2.2 (93)	1.6
Infant mortality per 1 000 live births	Number	1995	11	6.1	6.3	6.6 (94)	4.3	9	5.3 (94)	17 (94)	5.5	7.2 (94)
Wages and prices (average annual increase over previous 5 years)												
Wages (earnings or rates according to availability)	%	1996	..	..	3.7	3.5	1.8	..	..	–1.6	2.4	1.5
Consumer prices	%	1996	23.2	2.6	2.2	4.5	0.7	5.3	2.4	19.7	2.5	2
Foreign trade												
Exports of goods, fob*	Mill. US$	1996	15 674	1 891	48 416	250 842	411 067	129 715	..	96 000	203 953	14 316
As % of GDP	%	1996	35.9	26	68.5	20.7	8.9	26.8	..	29.1	51.5	21.7
Average annual increase over previous 5 years	%	1996	8.9	4	14.8	8.2	5.5	12.5	..	17.6	8.9	8.2
Imports of goods, cif*	Mill. US$	1996	18 105	2 032	35 763	206 904	349 149	150 340	..	89 469	184 389	14 682
As % of GDP	%	1996	41.4	27.9	50.6	17	7.6	31	..	27.2	46.6	22.3
Average annual increase over previous 5 years	%	1996	9.6	3.4	11.5	2.5	8	13.9	..	12.4	7.8	11.8
Total official reserves[6]	Mill. SDRs	1996	6 812	316	5 706	31 954	150 663	23 670	..	13 514	18 615	4 140
As ratio of average monthly imports of goods	Ratio	1996	..	1.9	1.9	1.9	5.2	..	..	1.8	1.2	3.4

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Including non-residential construction.
10. Refers to the public sector including public enterprises.

Sources: Population and Employment: OECD, *Labour Force Statistics.* GDP, GFCF and General Government: OECD, *National Accounts,* Vol. I and *OECD Economic Outlook,* Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators.* Foreign trade: OECD, *Monthly Foreign Trade Statistics,* Series A. Total official reserves: IMF, *International Financial Statistics.*

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Norway	Poland	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States
Population											
Total	Thousands	1996	4 370	38 618	9 935	39 270	8 901	7 085	62 695	58 782	265 557
Inhabitants per sq. km	Number	1996	13	123	108	78	20	172	80	240	28
Net average annual increase over previous 10 years	%	1996	0.5	0.3	–0.1	0.2	0.6	0.8	2	0.3	1
Employment											
Total civilian employment (TCE)[2]	Thousands	1996	2 110	14 977	4 475	12 394	3 963	3 803	20 895	26 088	126 708
of which: Agriculture	% of TCE	1996	5.2	22.1	12.2	8.7	2.9	4.5	44.9	2	2.8
Industry	% of TCE	1996	23.4 (95)	31.7	31.4	29.7	26.1	27.7	22	27.4	23.8
Services	% of TCE	1996	71.5 (95)	46.2	56.4	61.6	71	67.4	33.1	71	73.3
Gross domestic product (GDP)											
At current prices and current exchange rates	Bill. US$	1996	157.8	117.9 (95)	103.6	584.9	251.7	294.3	181.5	1 153.4	7 388.1
Per capita	US$	1996	36 020	3 057 (95)	10 425	14 894	28 283	41 411	2 894	19 621	27 821
At current prices using current PPPs[3]	Bill. US$	1996	106.7	..	130.1	587.2	171.4	180.6	383.3	1 095.5	7 388.1
Per capita	US$	1996	24 364	..	13 100	14 954	19 258	25 402	6 114	18 636	27 821
Average annual volume growth over previous 5 years	%	1996	4.1	2.2 (95)	1.5	1.3	1	0.1	4.4	2.2	2.8
Gross fixed capital formation (GFCF)	% of GDP	1996	20.5	17.1 (95)	24.1	20.1	14.8	20.2	25	15.5	17.6
of which: Machinery and equipment	% of GDP	1996	8.4	..	11.7 (93)	6.1 (95)	7.9	9.3	11.9	7.6	8.3 (95)
Residential construction	% of GDP	1996	2.6 (94)	..	5.2 (93)	4.3 (95)	1.9	11[9]	8.4 (95)	3	4.1 (95)
Average annual volume growth over previous 5 years	%	1996	2.8	5.4 (95)	2.2	–1	–2.6	–0.8	6.9	1.3	6.9
Gross saving ratio[4]	% of GDP	1996	29.9	..	21.6	20.7	16	27.1	22.3	14.6	16.6
General government											
Current expenditure on goods and services	% of GDP	1996	20.5	16.9 (95)	18.5	16.3	26.2	14.3	11.6	21.1	15.6
Current disbursements[5]	% of GDP	1995	45.8	..	42.5 (93)	41.2	63.8	47.7	..	42.3 (94)	34.3
Current receipts	% of GDP	1995	50.9	..	39.8 (93)	37.9	57.5	53.8	..	37.2 (94)	32.1
Net official development assistance	% of GNP	1995	0.87	..	0.27	0.24	0.77	0.34	0.07	0.28	0.1
Indicators of living standards											
Private consumption per capita using current PPPs[3]	US$	1996	11 593	..	8 522	9 339	10 096	15 632	4 130	11 865	18 908
Passenger cars, per 1 000 inhabitants	Number	1994	381	186	357	351	406 (93)	451	47	372	565
Telephones, per 1 000 inhabitants	Number	1994	554	131	350	371	683	597	201	489	602
Television sets, per 1 000 inhabitants	Number	1993	427	298	190	400	470	400	176	435	816
Doctors, per 1 000 inhabitants	Number	1995	2.8	2.3	3	4.1 (93)	3.1	3.1 (94)	1.2	1.6 (94)	2.6 (94)
Infant mortality per 1 000 live births	Number	1995	4	13.6	7.4	6 (94)	4	5	46.8 (94)	6.2 (94)	8 (94)
Wages and prices (average annual increase over previous 5 years)											
Wages (earnings or rates according to availability)	%	1996	3.2	..	..	5.8	4.8	..	..	4.9	2.7
Consumer prices	%	1996	1.9	..	5.6	4.7	2.7	2.2	81.6	2.7	2.9
Foreign trade											
Exports of goods, fob*	Mill. US$	1996	49 576	24 417	24 614	102 067	84 836	79 581	23 301	259 941	625 075
As % of GDP	%	1996	31.4	20.7	23.8	17.5	33.7	27	12.8	22.5	8.5
Average annual increase over previous 5 years	%	1996	7.8	..	8.6	11.2	9	5.3	11.1	7	8.2
Imports of goods, cif*	Mill. US$	1996	35 575	37 185	35 192	121 838	66 825	78 052	43 094	287 033	795 289
As % of GDP	%	1996	22.5	31.5	34	20.8	26.5	26.5	23.7	24.9	10.8
Average annual increase over previous 5 years	%	1996	6.9	..	6.1	5.5	6	3.2	15.1	6.5	10.3
Total official reserves[6]	Mill. SDRs	1996	18 441	12 409	11 070	40 284	13 288	26 727	11 430	27 745	44 536
As ratio of average monthly imports of goods	Ratio	1996	6.2	..	3.8	4	2.4	4.1	3.2	1.2	0.7

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
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